

Client Advisor Competency Standards (CACS) Study Guide

Paper 1

Wealth Management Legislations, Regulations and
Industry Codes of Practice

1

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Wealth Management Legislations, Regulations and
Industry Codes of Practice

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CACS Assessment Board

Mr Ananth Shenoy, Citi Private Bank
Mr David Ong, UBS AG
Mr Darryl Tan, Bank of Singapore
Mr Gary Tiernan, Standard Chartered Bank
Mr John Paterson, Credit Suisse AG
Ms Karen Tiah, Allen & Gledhill LLP
Mr Kwok Wui San, PricewaterhouseCoopers LLP
Mr Vikram Malhotra, Barclays Wealth
Mr Wee Yan Hann, DBS Bank
Mrs Yvette Cheak, BNP Paribas

Chief Editor

Professor Francis Koh, Deputy Dean, Lee Kong Chian School of Business
Singapore Management University

Study Guide Writers

Mr Alexander Tan
Mr Benjamin Yap
Ms Celine Tan
Mr Th'ng Beng Hooi

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Preface

In April 2011, the private banking industry launched a Code of Conduct for the private banking industry in Singapore (PB Code). The PB Code, which takes effect from 1 September 2011, has been developed to foster professional standards, enhance transparency to clients and confidence in the private banking industry in Singapore.

It sets out standards of good practice on competency and market conduct expected of financial institutions (including their staff) operating in Singapore which are providing financial services to High Net Worth Individuals.

Such financial institutions are termed “Covered Entities” within the PB Code and their client-facing staff who provide financial advisory service(s) to High Net Worth Individuals are termed “Covered Persons”. Please refer to www.abs.org.sg for a copy of the PB Code.

Client Advisor Competency Standards (CACS)

Under the PB Code, Covered Persons are expected to pass a common competency assessment called the Client Advisor Competency Standards (CACS) before they can provide any financial advice. The CACS is intended to broaden and deepen the capabilities of these professionals in the provision of comprehensive private banking services.

This assessment will be introduced from 1 September 2011. The CACS will assess the knowledge dominant competencies of Covered Persons in the areas of market conduct and product knowledge. The Institute of Banking and Finance (IBF) has been appointed as the administrator of the CACS.

The CACS is organized as a two-paper assessment: Paper 1 will cover concepts on Wealth Management Legislations, Regulations and Industry Codes of Practice; and Paper 2 will cover concepts on Wealth Management Industry and Product Knowledge. Candidates will have to pass both papers in order to be deemed to have passed the CACS.

The CACS assessment will be conducted at the IBF’s Assessment Centre. The Assessment will comprise of multiple-choice questions, and will include both questions testing on concepts, as well as computations. Candidates are expected to have prepared themselves adequately for the Assessment through the use of the Study Guide as well as other relevant reference materials.

Please refer to the IBF’s website at www.ibf.org.sg for the rules and regulations regarding the CACS assessment.

Paper 1: Wealth Management Legislations, Regulations, and Industry Codes of Practice

Objective of Study Guide

The objective of this Study Guide is to provide candidates with a good understanding of the following topics, in preparing for the CACS Paper 1 assessment:

- An overview of the Private Banking business;
- Obligations and regulatory requirements relating to the following key activities of a Private Banker:
 - Marketing activities and client acquisition;
 - KYC and understanding client's needs;
 - Develop solutions and advise client;
 - Obtain client's agreement and implement solutions;
 - Monitor and review client's portfolios; and
- Wealth transfers and succession planning for private banking clients.

All references made to "Covered Person" or "Covered Entity" within this Study Guide is to be taken in the context of the PB Code. The standards in the Code are intended to provide broad guidance and are not meant to be exhaustive or to replace any legislations, regulations, or guidelines issued by the relevant authorities in Singapore.

While this Study Guide highlights obligations imposed on Covered Persons and Covered Entities, it should be read in conjunction with the corresponding sections of the PB Code and all applicable legislation, regulations and guidelines, for a holistic understanding of the desired professional standards of a Covered Person and Covered Entity.

Organisation of the Study Guide

This Study Guide consists of 7 chapters, starting with an introduction of the private banking business. Chapters 2 to 6 provide candidates with information on the various obligations and regulations according to key activities of a Covered Person. The Study Guide ends off with Chapter 7 which gives candidates an appreciation of wealth transfers and succession planning needs of High Net Worth individuals.

Each chapter begins with a list of learning objectives, followed by a chapter introduction which provides an overview of the chapter. Tips / key points are provided at various junctures within each chapter to highlight important learning points. Examples and case studies are also used extensively in the Study Guide to enhance candidate's understanding and application of issues discussed.

A summary of each chapter is provided below:-

- **Chapter1: Overview of the Private Banking Business** – This chapter provides an overview of the Private Banking landscape and discusses the three

generic focus areas and four guiding principles of private banking or wealth management. Implications of Singapore's regulations on the activities of Covered Persons and Covered Entities, the different types of market misconduct and penalties are also addressed in this chapter.

- **Chapter 2: Marketing Activities and Client Acquisition** – This chapter introduces the various marketing activities and client acquisition aspects related to private banking. The chapter further identifies the different ways in which a Covered Person may violate compliance regulations in his/her marketing activities and client acquisition processes and the importance of fully understanding the rules and regulations related to these activities.
- **Chapter 3: KYC and Understanding Client's Needs** – The Know Your Client (KYC) process is a vital due diligence process that must be performed in order to identify, understand and gather relevant information of a prospective client. This chapter highlights the reasons for conducting the KYC process, and also explains how this process is conducted. The chapter also discusses client profiling and performing client needs analysis by means of a rational, structured and systematic approach.
- **Chapter 4: Develop Solutions and Advise Client** – This chapter begins by examining the process of developing solutions for clients as well as the various considerations when giving advice and making recommendations. The various regulatory aspects that a Covered Person will need to be aware of in relation to developing solutions and making recommendations are also discussed.
- **Chapter 5: Obtaining Client's Agreement and Implementation** – This chapter emphasizes the need to secure a client's understanding and agreement regarding any proposed wealth solution. The Covered Person also has to implement the proposed solutions diligently. He has both fiduciary and legal responsibilities as a trusted wealth adviser.
- **Chapter 6: Monitor and Review Client's Portfolios** – This chapter discusses proper business conduct to carry out the process of portfolio monitoring and review for Covered Entities and Covered Persons. It also highlights the fiduciary and legal obligations during the monitoring and review process, the importance of reporting misconduct and client confidentiality.
- **Chapter 7: Wealth Transfers and Succession Planning for Private Banking Client** – This chapter discusses the needs and concerns of High Net Worth Individuals (HNWIs) in planning for wealth transfers and succession. It also introduces the topics of trusts and foundations, and the use of insurance for wealth preservation and wealth transfer.

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Chapter 1:

Overview of the Private Banking Business

Objective

The candidate should be able to:

- ✓ Understand the Private Banking landscape
- ✓ Identify the various types of Covered Entities and Covered Persons
- ✓ Identify the various regulatory authorities in Singapore which may have purview over his activities and have a general understanding of the functions of these regulatory authorities
- ✓ Gain an overview of the different licensing regimes which may be applicable to Covered Entities and the types of activities which Covered Entities can carry out
- ✓ Appreciate the implications of holding an SGX membership and its impact on securities and futures trading
- ✓ Understand the issues arising from dealing with client accounts which are booked offshore and client accounts which are booked in Singapore but held by offshore clients
- ✓ Gain an overview of the guidelines included in the Code of Conduct for the private banking industry in Singapore
- ✓ Identify market misconduct and penalties

1.1 Introduction

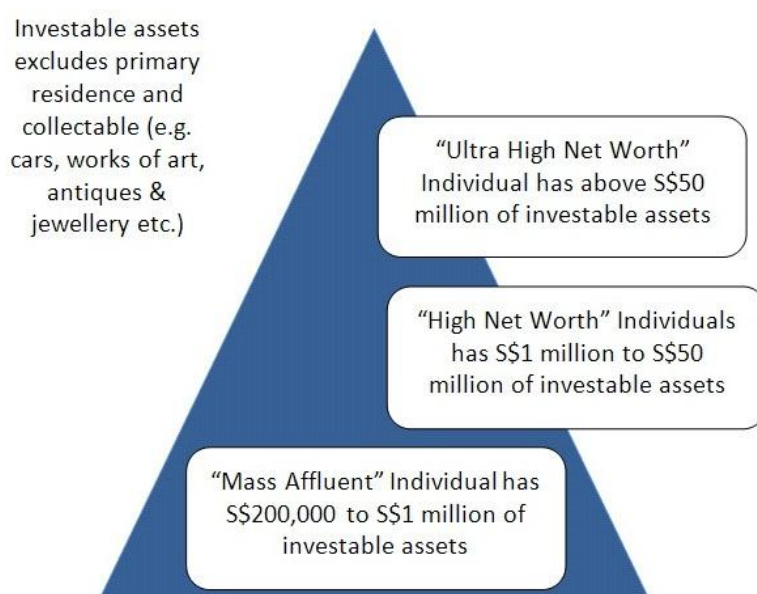
This chapter provides an overview of the diverse landscape of “Private Banking”. Private banking or wealth management (terms will be used inter-changeably throughout this study guide) services are provided by many types of firms to a pyramid of **clients**. Firms, which fall within the ambit of the “Private Banking in Singapore - Code of Conduct”, are termed “**Covered Entities**”. Certain categories of client-facing persons, employed by or acting on behalf of the Covered Entities, are termed “**Covered Persons**”.

These terms will be explained later in this chapter. This chapter further discusses the three generic focus areas in private banking, and the key principles and precepts stated in the Code of Conduct. Lastly, the different types of market misconduct and penalties under Singapore's regulations on the activities of Covered Persons are also identified.

1.2 Clients of Private Banking

Clients of private banking are typically known as High Net Worth Individuals (**HNWIs**) or Ultra High Net Worth Individuals (**UHNWIs**), depending on the level of investable assets that they possess. Private Banks often classify their clients guided by the amount of assets that the clients place under management with them. A typical segmentation of clients is illustrated in Exhibit 1.1 below.

Exhibit 1.1 Illustration of Client Segmentation



Generally, in Singapore, HNWIs¹ are defined as:

- Individuals who have a minimum of S\$1 million of assets, or the equivalent in foreign currencies, in any or all of the following forms:
 - Bank deposits, including structured deposits;
 - Capital market products;

¹ The definition of “HNWI” is found in the Guidelines on Exemption for Specialised Units Serving High Net Worth Individuals under Section 100(2) of the FAA, administered by the Monetary Authority of Singapore.

- Life policies; and/or
- Other investment products as may be prescribed by MAS;
- Individuals whose total net personal assets exceed S\$2 million in value of the equivalent in foreign currencies;
- Individuals whose annual income is not less than S\$300,000 or the equivalent in foreign currencies; and
- Individuals who are assessed by the Covered Entity to have the potential to become a person described in the first bullet above within a period of two years.

1.3 Covered Entities

Generally, a “Covered Entity” refers to any financial institution (or a division of the institution) which:

- Provides services to HNWI;
- Is regulated by the Monetary Authority of Singapore (**MAS**); and
- Falls under the ambit of the Private Banking Code of Conduct.

These entities may hold different types of operating licences in Singapore, which include:

- Full Bank Licence
- Wholesale Bank Licence
- Offshore Bank Licence
- Merchant Bank Licence
- Capital Markets Services Licence

Regardless of the licence that a Covered Entity holds, it has to comply with various MAS guidelines and regulations related to wealth management.

1.3.1 Covered Entities Providing Comprehensive Services

Amongst private banking businesses, there are many which offer comprehensive services and “holistic” wealth management solutions to clients as a core business. In addition to providing private banking services, these entities may also do the following:

- Manage the business assets and liabilities of a client (and his family);
- Assist the client to carry out estate planning, set up a family office and establish a structure for family governance to facilitate continuity; and

- Provide management succession of operating businesses or divestment of family-owned businesses.

Not all private banks are comprehensive entities. Some firms only focus on managing the privately-held assets of their clients and would not address their clients' private business operations.

1.3.2 Covered Entities Providing Distribution Services

Some private banking businesses are akin to “distributional entities”. These are firms which serve as intermediaries for various investment products, including insurance. They compete with Comprehensive Entities for a share of the client's wallet.

They often offer wealth management solutions that integrate financial planning with a wide variety of investment and insurance products through an open-sourcing approach, e.g. sourcing the best Universal Life Insurance policy to meet a client's need for estate planning. Typically, these firms are banks or merchant banks with wealth management units. They may market their own proprietary products as well as the products of other firms.

1.3.3 Boutique Private Banks

Boutique Private Banks are niche entities which focus on specialized services based on their specific capabilities. These include the traditional Swiss Private Banks which are limited partnerships. They distinguish themselves with pro-active, client-centric and highly personalised service. Typically, they do not offer credit facilities, not even using a client's assets as collateral.

1.3.4 Regulatory Authorities of Covered Entities

Covered Entities are subject to the regulatory requirements set out in the following statutes:

- Banking Act (Cap. 19);
- Financial Advisers Act (Cap. 110) (the “**FAA**”);
- Monetary Authority of Singapore Act (Cap. 186);
- Securities and Futures Act (Cap. 289) (the “**SFA**”);
- Trust Companies Act (Cap. 336) (the “**TCA**”).

Non-compliance with the above statutes may attract criminal liabilities punishable with fine and/or imprisonment.

Apart from the provisions and regulations prescribed under these statutes, a Covered Entity (and its staff who are Covered Persons) must also comply with

notices, and are encouraged to comply with guidelines, issued by the MAS. The regulatory authorities governing wealth management, including MAS and the Singapore Exchange Securities Trading Limited (SGX-ST), are briefly discussed below.

The Monetary Authority of Singapore (MAS)

The MAS is the central bank of Singapore responsible for monetary policy and is empowered to act as a banker to and financial agent of the Singapore Government. It is entrusted with promoting monetary stability and credit and exchange policies conducive to the growth of the economy.

The MAS has the authority to regulate all elements of monetary, banking and financial aspects of Singapore. It conducts integrated supervision of financial services and financial stability surveillance. Other than the supervision of banks and other financial institutions, it is responsible for regulating the insurance industry and the securities and futures industry.

Singapore Exchange Securities Trading Limited

The Singapore Exchange Securities Trading Limited (**SGX-ST**), a subsidiary of the Singapore Exchange Limited (**SGX**), is the only approved securities exchange in Singapore. SGX-ST undertakes the day-to-day regulation of the securities market. It administers the SGX-ST Rules, which govern access to and conduct in the securities market of the SGX-ST.

The Rules set out, among other things, membership requirements and trading requirements, and also penalties for non-compliance with any of these requirements. A Covered Entity which holds a trading membership with the SGX-ST will be governed by the SGX-ST Rules.

Singapore Exchange Derivatives Trading Limited

Another subsidiary of SGX, the Singapore Exchange Derivatives Trading Limited ("**SGX-DT**"), is an approved futures exchange in Singapore. Financial and commodity futures and options on futures are traded on the SGX-DT. The SGX-DT administers the Futures Trading Rules, which govern access to and conduct on the futures market of the SGX-DT.

The Futures Trading Rules set out, among other things, membership requirements and trading requirements, and also penalties for non-compliance with any of these requirements. Trading on the SGX-DT is subject to compliance with the Futures Trading Rules.

A Covered Entity which holds a trading membership with the SGX-DT will be governed by the latter's rules and regulations. A Covered Person who carries on futures trading activities on behalf of a Covered Entity, which is a trading member of the SGX-DT, must be aware of the applicable trading rules under the Futures Trading Rules.

1.3.5 Types of Covered Entities

Covered Entities include licensed banks. The Banking Act sets out the basic regulatory framework for the banking industry. More detailed regulatory requirements are contained in notices, guidelines and circulars by the MAS. Under the Banking Act, banking business may only be transacted in Singapore by an entity holding a valid banking licence granted by the MAS.

Banking business means the business of receiving money on current or deposit account, paying and collecting cheques drawn by or paid in by customers and the making of advances to customers. MAS issues different types of licences to qualified firms. Covered Entities may be licensed as Full banks, Wholesale banks, and Offshore banks.

A Covered Person who works for one of these banks should take note of the licence issued to his/her employer to determine the types of permissible activities.

Full Banks

Full banks provide the whole range of banking business approved under the Banking Act as compared to Wholesale and Offshore Banks which may only provide a restricted range of banking services.

Wholesale Bank

Wholesale banks can generally carry on a wide range of banking business, subject to certain restrictions on Singapore dollar business. Notably, a wholesale bank may only accept fixed deposits where the initial deposit and the outstanding deposit at all times must not be less than S\$250,000.

The range of activities permitted to conduct and the restrictions imposed on them are set out in the Guidelines for Operation of Wholesale Banks. Specifically, a wholesale bank may:

- Transact any banking business with any bank, finance company, merchant bank, or insurer licensed, approved or registered in Singapore;
- Transact banking business with clients who are not banks, finance companies, merchant banks, or insurers licensed, approved or registered in Singapore, subject to the following restrictions:
 - It must not operate savings accounts denominated in Singapore dollars, except with the prior approval of MAS;
 - It may accept fixed deposits but in respect of Singapore dollar fixed deposits, the initial deposit shall not be less than S\$250,000 and the outstanding deposits (including interest) shall not be less than this sum at all times except on termination of the account or the withdrawal of all deposits standing to the credit of the depositor; and

- It may operate current accounts, but in respect of current accounts denominated in Singapore dollars where the customer is a natural person and a “resident of Singapore”, the current account shall not be interest-bearing, except with the prior approval of MAS. In other words, a Covered Person must generally ensure that, when an interest-bearing current account denominated in Singapore dollars is opened for a customer who is a natural person, the customer must not be a “resident of Singapore” unless MAS approval has been obtained.
- Issue, in Singapore, bonds and negotiable certificates of deposit, provided that:
 - The bonds or negotiable certificates of deposit are to be denominated in foreign currency; or
 - Where the bonds or negotiable certificates of deposit are denominated in Singapore dollars, they shall:
 - i) Have an original maturity period of not less than 12 months;
 - ii) Be issued in a denomination of not less than S\$200,000; or
 - iii) Be issued to “sophisticated investors” or their nominees.

Where bonds and negotiable certificates of deposit are issued to “sophisticated investors” or their nominees, and a Covered Person reasonably expects or foresees that the bonds or negotiable certificates of deposit (as the case may be) will not be held at all times by persons who are “sophisticated investors”, the Covered Person must ensure that the offering documents distributed to such investors contain the relevant additional disclosure information.

Covered Persons should consult their legal and compliance departments for guidance on the relevant additional disclosure information and generally in terms of their bank’s position on the distribution of bonds and negotiable certificates of deposit to “sophisticated investors”. The terms “residents of Singapore” and “sophisticated investors” are defined terms. Their definitions are provided in the Appendix at the end of this Chapter.

Offshore Banks

Offshore banks can generally carry on any banking business, subject to certain restrictions on Singapore dollar business. Notably, an offshore bank cannot operate Singapore dollar-denominated savings accounts and fixed deposits for residents of Singapore.

Generally, an offshore bank may:

- Transact any banking business with any bank, finance company, merchant bank, or insurer licensed, approved or registered in Singapore;

- Transact banking business with clients who are not banks, finance companies, merchant banks, or insurers licensed, approved or registered in Singapore, subject to the following restrictions:
 - If such clients are “residents of Singapore”:
 - i) The bank shall not operate savings accounts or accept fixed deposits denominated in Singapore dollars;
 - ii) The bank may operate current accounts, but in respect of current accounts denominated in Singapore dollars, these shall only be offered:
 - In connection with credit facilities granted to or other business dealings with the customer; or
 - To a customer who has an existing banking relationship with the bank's head office or any overseas branch;

and provided always that if the customer is a natural person, the Singapore dollar current account shall not be interest-bearing; and
 - iii) The aggregate amount outstanding from credit facilities denominated in Singapore dollars granted to residents of Singapore that are not approved financial institutions shall not exceed S\$500 million at any one time, except with the prior approval of MAS; and
 - If such clients are “non-residents of Singapore”:
 - i) the bank shall not operate savings accounts denominated in Singapore dollars; and
 - ii) it may accept fixed deposits but in respect of Singapore dollar fixed deposits, the initial deposit shall not be less than S\$250,000 and the outstanding deposits (including interest) shall not be less than this sum at all times except on termination of the account or the withdrawal of all deposits standing to the credit of the depositor;
- Issue, in Singapore, bonds and negotiable certificates of deposit, provided that:
 - The bonds or negotiable certificates of deposit are to be denominated in foreign currency; or
 - Where the bonds or negotiable certificates of deposit are denominated in Singapore dollars, they shall:
 - i) Have an original maturity period of not less than 12 months;
 - ii) Be issued in a denomination of not less than S\$200,000; or
 - iii) Be issued to “sophisticated investors” or their nominees;

- Enter into foreign exchange and currency swaps, except that an offshore bank must not enter into any transaction or series of transactions (whether these be swaps or other types of financial instruments) that will enable it to receive, directly or indirectly, what is in effect a deposit of Singapore dollar funds, in deliberate circumvention of the restrictions otherwise set out in these Guidelines.

Where bonds and negotiable certificates of deposit are issued to “sophisticated investors” or their nominees, and a Covered Person reasonably expects or foresees that the bonds or negotiable certificates of deposit (as the case may be) will not be held at all times by persons who are “sophisticated investors”, the Covered Person must ensure that the offering documents distributed to such investors contain the relevant additional disclosure information.

Covered Persons should consult their legal and compliance departments for guidance on the relevant additional disclosure information and generally in terms of their bank’s position on the distribution of bonds and negotiable certificates of deposit to “sophisticated investors”.

Merchant Banks

Merchants banks are regulated by the MAS as approved financial institutions under the Monetary Authority of Singapore Act and operate within the Guidelines for Operation of Merchant Banks issued by the MAS.

The typical activities of a merchant bank include corporate finance, the underwriting of share and bond issues, advising on mergers and acquisitions, portfolio investment management, management consultancy and other fee-based activities.

A merchant bank may conduct the following activities:

- Floatation, underwriting, buying and selling of shares, loan stocks and bond issues and other securities;
- Investment portfolio management, investment advisory services and nominee services;
- Unit trust management and sales;
- Advice on corporate reconstruction, takeovers and mergers;
- Management advisory services;
- Arranging finance, lending or participating in syndicated loans and acting as guarantors;
- Financing or lending in the institutional money markets;
- Discounting of negotiable securities or money market instruments in Singapore dollars;
- Dealing in gold and foreign exchange.

A merchant bank must not:

- Accept deposits or borrow from the public in any form except from banks, finance companies, shareholders and companies controlled by shareholders;

- Raise monies by issuing promissory notes, commercial papers, certificates of deposit or by acceptance or endorsing of bills of exchange;
- Operate an Asian Currency Unit (ACU) Account, except with specific permission from the MAS.

ACU and other Activities of Banks and Merchant Banks

An ACU is an accounting unit which a bank or merchant bank may use to book its foreign currency-denominated transactions. A bank or merchant bank can operate an ACU if it obtains permission from the MAS to do so. An ACU is permitted to, among other things, accept non-Singapore dollar-denominated time and demand deposits (including savings and checking accounts) and extend loans and advances in any currency except Singapore dollars.

Essentially, an ACU can conduct non-Singapore dollar-denominated banking business. The terms and conditions of operation of an ACU are set out in the Asian Currency Unit Terms and Conditions of Operation issued by the MAS. The ACU operations of a bank or merchant bank are also subject to the Banking Act.

Banks and Merchant banks may carry on financial advisory services and/or regulated activities under the SFA without being separately licensed as a financial adviser or a holder of a capital markets services licence under the FAA or the SFA respectively. However, banks and merchant banks and their representatives must comply with the business conduct requirements prescribed in the FAA and the SFA in respect of their financial advisory services and regulated activities under the SFA.

It should be noted that professionals in banks and merchant banks, who carry on financial advisory services and/or regulated activities under the SFA and deemed as Covered Persons, must be separately appointed as “appointed representatives” under the FAA or the SFA.

Capital Markets Services Licence (CMSL) Holders

Entities authorized to carry out capital market services. Subject to certain exceptions, a Covered Entity which is a CMSL holder is generally not allowed to use the word “bank” or any of its derivatives in any language, or any other word indicating it transacts banking business in its name or the description or title under which it is transacting its business.

A CMSL holder may apply to carry on any or all of the following regulated activities under the SFA:

- Dealing in securities;
- Trading in futures contracts;
- Leveraged foreign exchange trading;
- Advising on corporate finance;
- fund management;
- Real estate investment trust management;

- Securities financing;
- Providing custodial services for securities.

Professionals, who carry on any or all of the abovementioned regulated activities on behalf of a CMSL holder, would be appointed as “appointed representatives” for the relevant regulated activity.

1.3.6 Dealing with Offshore Accounts from Singapore

Generally, regulatory or other issues may arise when Covered Persons in Singapore deal with client accounts which are booked offshore or offshore clients with accounts which are booked in Singapore. In particular, where client accounts belonging to Singapore clients are booked offshore, this may raise licensing issues under Singapore law in respect of the offshore booking entity.

There is a risk that an offshore booking entity holding accounts belonging to Singapore clients may trigger licensing issues under the Banking Act, the SFA or the FAA. The SFA and FAA in particular state that it has extra-territorial effect. Covered Persons must consult their legal and compliance department for guidance and permission before soliciting or booking client accounts belonging to Singapore clients with an offshore entity.

In addition, when Covered Persons deal with accounts of offshore clients which are booked in Singapore, this may raise licensing or other regulatory issues for the Singapore Covered Entity and/or the Covered Person in the relevant offshore jurisdictions. There is a risk that the Singapore Covered Entity holding accounts belonging to offshore clients and the Covered Person servicing such offshore clients may trigger licensing or other regulatory requirements under foreign law, which may result in criminal or other adverse consequences for the Singapore Covered Entity and/or the Covered Person.

Covered Persons should consult their legal and compliance department for guidance and permission before booking offshore client accounts with the Singapore Covered Entity or otherwise servicing clients outside Singapore.

1.4 Covered Persons in Private Banking

In the Private Banking in Singapore - Code of Conduct, a Covered Person refers to an individual who is in a client-facing role and provides financial advisory service(s) to HNWI on behalf of a Covered Entity. Covered Persons may include, but are not limited to Relationship Managers/Client Advisors, Investment Advisors/Investment Consultants/Investment Specialists and Product Specialists.

It should be noted that Covered Persons employed by Covered Entities (which hold different operating licences) may be subject to a variety of rules and regulations.

1.4.1 Covered Persons of Banks and Merchant Banks

Covered Persons who perform financial services on behalf of Covered Entities which are licensed as banks or merchant banks are required to comply with the conduct of business requirements under the Banking Act (for banks and for merchant banks with ACUs) and the MAS Notices and Guidelines on anti-money laundering measures that are issued to banks and merchant banks.

In addition, if these Covered Persons carry on activities providing capital markets services and financial advisory services which are regulated under the SFA and FAA, on behalf of the Covered Entities which are banks or merchant banks (referred to as the “Exempt CMSL Holders” in the context of the SFA or the “Exempt FAs” in the context of the FAA), they must be appointed as “appointed representatives” under the SFA and FAA and are subject to many of the conduct of business requirements prescribed in the SFA and the FAA.

The conduct of business requirements in the SFA consists of general obligations as well as requirements which are specific to certain types of regulated activity. Covered Persons should consult their legal and compliance department, if in doubt, for guidance on the extent of the application of these requirements to them in respect of the provision of capital markets services.

A Covered Entity, which is a CMSL Holder that is also providing financial advisory services, is exempted from the licensing requirements under the FAA (also referred to as the “Exempt FA” in this Chapter). Their Covered Persons who carry out financial advisory services on their behalf must be separately appointed as “appointed representatives” under the FAA. The Covered Entity and its Covered Persons who provide financial advisory services on its behalf are subject to certain applicable conduct of business requirements prescribed in the FAA.

If a Covered Entity performs “trust business” services in the course of its business, it may be required to be licensed and regulated under the TCA. The Covered Entity is required to hold a trust business licence unless it qualifies for one of the licensing exemptions under the TCA (the “Exempt Trust Company”). The following types of Covered Entities and their Covered persons are subject to some of the compliance and business conduct requirements in the TCA:

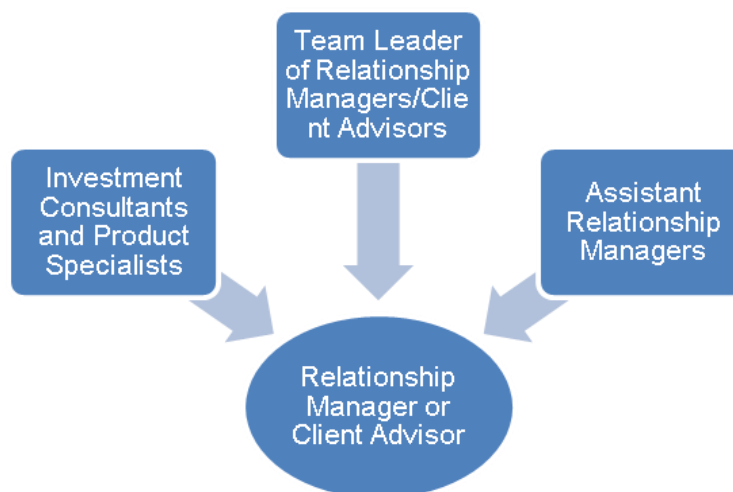
- **Banks** licensed under the Banking Act in respect of:
 - The provision of services in relation to the creation of an express trust;
 - The arrangement for any person to act as trustee in relation to an express trust; or
 - The provision of trust administration services which are procedural and non-discretionary;
- **Merchant Banks** approved as financial institutions under the Monetary Authority of Singapore Act in respect of:
 - The provision of services in relation to the creation of an express trust;

- The arrangement for any person to act as trustee in relation to an express trust; or
 - The provision of trust administration services which are procedural and non-discretionary;
- **CMSL Holders or Exempt CMSL Holders** for providing “fund management” or “custodial services for securities” under the SFA in respect of the provision of fund management or custodial services for securities; and
 - **Private Trust Companies** in respect of Regulation 5 of the Trust Companies (Exemption) Regulations (Cap. 336, Rg 1) read with Section 15 of the TCA and Regulation 4 of the Trust Companies (Exemption) Regulations.

1.4.2 Collaborative Relationships of Covered Persons

In a typical firm providing comprehensive private banking wealth management services, there could be different client-facing employees who actively support the client relationship management processes. The diagram below illustrates a typical setting.

Exhibit 1.2 Collaborative Relationships of Covered Persons in Private Banking



Relationship Manager/Client Advisor

The lead player between the private banking firm and the client, he is likely to be a generalist, who frequently relies on the specialist banking expertise, teamwork and labour of other client-facing employees in order to serve his clients well.

Investment Consultant and Product Specialist

A specialist in one or more asset classes, he routinely accompanies the Relationship Manager on joint marketing or sales meetings with prospective and existing clients to support client needs analysis, provide professional explanations, industry or market updates and answer detailed questions on their respective area of expertise. He may perform some of the following roles:

- Offers the Relationship Manager expert views on the pricing of specialized products and services;
- Helps the Relationship Manager write proposals on strategic asset allocation, investment selection, product recommendations, wealth planning solutions or client credit proposals;
- Assists to develop product customizations or innovations to suit specific client needs; and
- Liaises internally with other business divisions or subsidiaries on transaction execution and other client-related matters on behalf of the Relationship Manager.

Assistant Relationship Manager

The Assistant Relationship Manager may also be referred to as a Client Advisor Assistant, Private Banking Assistant or Marketing Assistant. These professionals may work directly under one or more Relationship Managers as part of a dedicated pool of support staff in the same marketing team.

The Assistant Relationship Manager may perform a number of roles including:

- Handling client enquiries and performing various administrative tasks;
- Preparing account documentation;
- Checking account balances and outstanding transactions for clients;
- Providing information to clients on changing price of securities;
- Quoting current foreign exchange, deposit and loan rates to clients;
- Providing clients market reports and economic research; and
- Attending to clients' ad hoc requests (e.g. printing the latest bank statements)

He also executes banking requests and investment transaction orders, such as:

- Fund transfers;
- Credit card payments;
- Time deposit placements and rollovers;
- Loan drawdown and repayments; and
- Purchase and sale of foreign currency, investment funds, OTC and exchange traded securities or the investment of generic structured products.

These support roles are especially important when the Relationship Manager is away on business travel. For this reason, the Private Banking Code of Conduct is equally applicable to this group of professionals, provided they meet the two-pronged definition of “Covered Persons”.

Team Leader

Heads a team of Relationship Managers, he frequently attends marketing or sales meetings with prospective and existing clients for business development. He often plays the following functions:

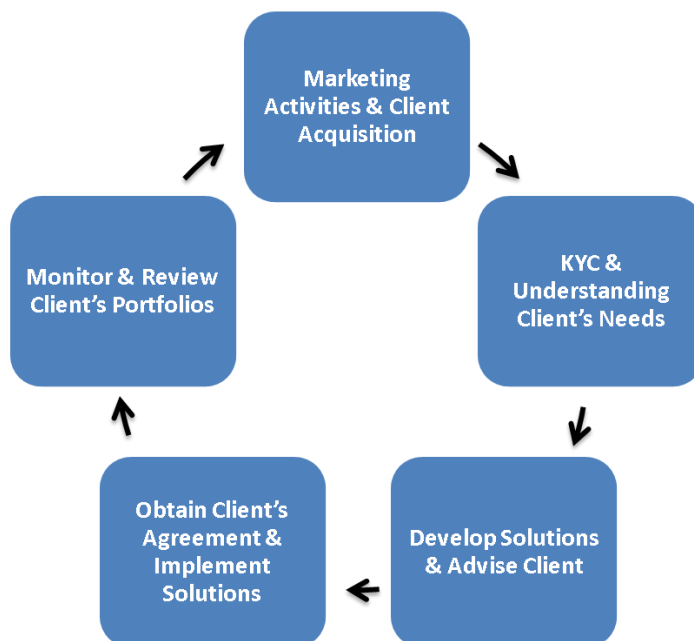
- Helps to enhance or accelerate clients’ appreciation of the value propositions presented by the Relationship Manager;
- Provides on-the-spot deal approvals and management decisions on business terms and conditions in support of the Relationship Manager’s proposal; and
- Reinforces client relationship and sustains client retention.

1.4.3 Essential Roles and Activities of a Covered Person

The main roles of client-facing Covered Persons are:

- Marketing;
- Dealing with a prospective client;
- Commencing a client relationship – KYC and client profiling;
- Developing wealth management strategies and implementing recommendations, in accordance with the client’s mandate (if any); and
- Monitoring and reviewing a client’s portfolio in accordance with the client’s mandate (if any).

Exhibit 1.3 Essential Roles of a Covered Person


Marketing Activities and Client Acquisition

- Prospecting for Clients through personal contacts;
- Prospecting for Clients through referrals; and
- Prospecting for Clients through introducers.

KYC and Understand Client's (Wealth Management or Investment) Needs

- Collection of financial and non-financial data for client profile;
- Investor profiling / suitability analysis;
- Assessing of risk tolerance;
- Assessing financial situation, including liquidity needs;
- Assessing investment goals and priorities;
- Understanding Client's personal circumstances; and
- Understanding Client's wealth management or investment needs.

Develop (Wealth Management or Investment) Solutions and Advise Client in Accordance with the Client's Mandate (if any)

- Develop holistic solutions taking full account of the client profile;
- Assess and understand the features and risk-reward of products;
- Ensure reasonable basis for suitable product recommendations;
- Provide full and relevant disclosures of risks, benefits, pricing, product features and fees etc.; and
- Ensure client understands by using plain language.

Obtain Client's Agreement and Implement Solutions

- Ensure client's understanding of their contractual agreements;
- No inducing or coercion of client into agreement;
- Ensure client orders are implemented with appropriate sales surveillance and compliance;
- Monitoring tools to identify issues relating to sales practices and suitability;
- Apply fair dealing practices and avoid any conflict of interest; and
- Maintain adequate controls over the recording and execution of transactions.

Monitor and Review Client's Portfolios in Accordance with the Client's Mandate (if any)

- Monitor the progress and effectiveness of solutions;
- Provide timely updates and conduct regular portfolio reviews;
- Identify changes to client's wealth management needs & priorities; and
- Independent, prompt and appropriate handling of client dispute and complaint resolution.

1.4.4 Competencies of Covered Persons

The role and activities of a Covered Person are modelled after the Wealth Management: Relationship Management – Relationship Management (High Net Worth) job family under the Financial Industry Competency Standards (FICS) Framework. The key performance criteria can be grouped into the following categories:

- Acquisition of and continuous updates on knowledge of financial instruments, products and services, industry trends and current events, industry best practices, market data and current developments related to "Private Banking" or "Wealth Management". Covered Persons are expected to be able to apply this knowledge in the provision of "Wealth Management" solutions for clients.
- Acquisition of and continuous updates on knowledge of rules and regulations, local and international concerns and issues regarding the compliance requirements, their practical applications, industry best practices and where or how to obtain help in understanding them within and outside of one's own Covered Entity. Covered Persons are expected to practise proper compliance and risk management in serving the best interests of their clients and upholding good faith and trust in the industry.
- Application and continuous improvements of a Covered Person's own wealth management experience and skills to perform effectively activities related to client acquisition, relationship management and the delivery of an ethical, client-centric, consultative approach to financial services. Covered

Persons are expected to competently address their clients' wealth management needs and unique requirements with professional behaviour.

The above activities and related performance criteria are to be regularly reviewed and revised, with feedback and input from experienced, senior industry practitioners. All Covered Persons are expected to maintain their own records of how Continuous Professional Development (CPD) hours are met annually.

1.4.5 Personal Obligations of Covered Persons

In addition to observing the conduct of business requirements that govern a Covered Person's dealings with his clients, a Covered Person has various personal obligations under the law. These requirements are primarily designed to ensure that investors are dealing with professionals who are fit and proper.

Examination Requirements

A Covered Person is required to comply with the examination requirements set out in the following Notices issued by the MAS before he may be appointed as an "appointed representative" of a Covered Entity:

- MAS Notice on Minimum Entry and Examination Requirements for Representatives of Holders of Capital Markets Services Licence and Exempt Financial Institutions (SFA 04-N09) (the "**SFA Exam Notice**") when he is providing capital markets services;
- MAS Notice on Minimum Entry and Examination Requirements for Representatives of Licensed Financial Advisers and Exempt Financial Advisers (FAA – N013) (the "**FAA Exam Notice**") when he is providing financial advisory services; and/or
- Under the Private Banking in Singapore – Code of Conduct, Covered Persons are expected to pass a common competency assessment called the **Client Advisor Competency Standards (CACS)** before they can provide any financial advice.

A Covered Person may however be exempted from certain examination requirements prescribed in these MAS Notices if he possesses specified qualifications and experience or if he confines his regulated activities to a limited segment of the market.

For example, **exemptions** from the examination requirements are available in the following circumstances:

- **For Fund Management** – When a Covered Person conducts venture capital fund management or manages funds only for "accredited investors" (please refer to Appendix 1 for the definition of "accredited investor");

- **For Various Regulated Activities under the SFA** – When a Covered Person works in a specialised unit serving HNWI that has obtained the “Unit Exemption” under section 100(2) of the FAA;
- **For Financial Advisory Services** – When a Covered Person only provides financial advisory services in respect of:
 - Capital markets products to “expert investors” (please refer to Appendix 1 for the definition of “expert investor”);
 - Investment products to “accredited investors” (please refer to Appendix 1 for the definition of “accredited investor”), “institutional investors” (please refer to Appendix 1 for the definition of “institutional investor”), related corporations or connected persons of his Covered Entity, or certain overseas investors (see paragraph 24(a)(ii)(E) and (F) of the FAA Exam Notice); or
 - Any Singapore Government Securities, etc.

Please refer to the above MAS Notices that are available on the MAS website (www.mas.gov.sg) for full details relating to these examination requirements. Covered Persons are advised to consult their legal and compliance department on the examination modules that are applicable to them and whether they may be exempted from the examination requirements.

Acting for Only One Principal

A Covered Person of a Covered Entity is not allowed to be an “appointed representative” of more than one principal at any one time, unless:

- He is approved by the MAS in writing to do so; or
- The principals are related corporations.

A person who breaches the above requirement is guilty of an offence punishable with fine and/or imprisonment (Section 99J of the SFA and Section 23G of the FAA).

Disqualification from Acting as a Covered Person

A Covered Person must be honest, competent, have integrity and sound financial standing. Unless with the written consent of the MAS, a Covered Person of a Covered Entity which is a bank or merchant bank is disqualified from acting as an employee of the Covered Entity if he, among other things:

- Is or becomes bankrupt, suspends payments or compounds with his creditors; or
- Has been convicted of an offence involving fraud or dishonesty. (Section 65 the Banking Act and MAS Directive 20 to Merchant Banks)

In addition, a Covered Person is expected to be a “**fit and proper**” person in compliance with the MAS Guidelines on Fit and Proper Criteria (FSG – G01). The MAS will take into account the following criteria in considering whether a Covered Person is “fit and proper”:

- Honesty, integrity and reputation;
- Competence and capability;
- Financial soundness.

The MAS Guidelines has stated a list of factors relevant to the assessment of **honesty, integrity and reputation**. The factors include but are not limited as to whether the relevant person:

- Has been refused the right or restricted in his right to carry on any trade, business or profession for which a specific license, registration or other authorisation is required by law in any jurisdiction;
- Has been issued a prohibition order under any Act administered by the MAS or has been prohibited from operating in any jurisdiction by any financial services regulatory authority;
- Has been censured, disciplined, suspended or refused membership or registration by the MAS, any other regulatory authority, an operator of a market or clearing facility, any professional body or government agency, whether in Singapore or elsewhere;
- Has been the subject of any complaint made reasonably and in good faith, relating to activities that are regulated by the MAS or under any law in any jurisdiction;
- Has contravened or abetted another person in breach of any laws or regulations, business rules or codes of conduct, whether in Singapore or elsewhere;
- Has been the subject of any investigations or disciplinary proceedings or been issued a warning or reprimand by MAS, any other regulatory authority, an operator of a market or clearing facility, any professional body or government agency, whether in Singapore or elsewhere;
- Has been convicted of any offence, or is being subject to any pending proceedings which may lead to such a conviction, under any law in any jurisdiction;
- Has accepted civil liability for fraud or misrepresentation under any law in any jurisdiction; or
- Has had any civil penalty enforcement action taken against it or him by MAS or any other regulatory authority under any law in any jurisdiction;

- Is or has been a director, partner, substantial shareholder or concerned in the management of a business that has been censured, disciplined, prosecuted or convicted of a criminal offence while the Covered Person was a director, partner, substantial shareholder or concerned in the management of the business;
- Has been a director, partner, substantial shareholder or concerned in the management of a business that has gone into insolvency, liquidation or administration during the period when, or within a period of one year after, the Covered Person was a director, partner, substantial shareholder or concerned in the management of the business, whether in Singapore or elsewhere; and
- Has been dismissed or asked to resign from any office, employment, a position of trust or a fiduciary appointment or similar position, whether in Singapore or elsewhere.

The MAS Guidelines has also stated a list of factors relevant to the assessment of **competency and capability of a relevant person**. The factors include but are not limited as to whether the relevant person:

- Has satisfactory past performance or expertise, having regard to the nature of the Covered Person's business or duties, as the case may be, whether in Singapore or elsewhere;
- Assumes concurrent responsibilities, whether such responsibilities would give rise to a conflict of interest or otherwise impair his ability to discharge his duties in relation to any activity regulated by the MAS under the relevant legislation;

Further, the factors to consider with regards to **financial soundness** include whether the relevant person:

- Is or has been unable to fulfil any of his financial obligations, whether in Singapore or elsewhere;
- Has entered into a compromise or scheme of arrangement with his creditors or made an assignment for the benefit of his creditors, being a compromise or scheme of arrangement or assignment that is still in operation, whether in Singapore or elsewhere;
- Is subject to a judgment debt which is unsatisfied, either in whole or in part, whether in Singapore or elsewhere;
- Is or has been the subject of a bankruptcy petition, whether in Singapore or elsewhere;
- Has been adjudicated a bankrupt and the bankruptcy is undischarged, whether in Singapore or elsewhere, etc.

Please refer to the MAS Guidelines on Fit and Proper Criteria that is available on the MAS website (www.mas.gov.sg) for a complete list of circumstances in which a person may be considered as not “fit and proper” under the FAA and SFA.

The failure by a Covered Person to meet the “fit and proper” criteria set out in these Guidelines may not lead to an automatic revocation of the status of an “appointed representative”. The significance of a Covered Person failing to meet a specific criterion depends on:

- The seriousness of, and surrounding circumstances resulting in the Covered Person not meeting the specific criterion;
- The relevance of the failure by the Covered Person to meet the specific criterion to the duties that are, or are to be, performed and the responsibilities that are, or are to be, assumed by the Covered Person; and
- The passage of time since the failure by the Covered Person to meet the specific criterion.

A Covered Entity has a duty to report to the MAS if any of its Covered Persons has failed to satisfy the MAS Guidelines on Fit and Proper Criteria. Please refer to the Covered Entity’s obligations under the MAS Notice on Reporting of Misconduct of Representatives by Holders of Capital Markets Services Licence and Exempt Financial Institutions (**SFA 04 – N11**) and the MAS Notice on Reporting of Misconduct of Representatives by Financial Advisers (**FAA – N14**).

1.4.6 Compliance with Prescribed Standards of Conduct

The MAS Guidelines on Standards of Conduct for Financial Advisers and Representatives (FAA - G04) set out the standards of conduct expected of Covered Persons when they are performing any financial advisory service on behalf of their Covered Entities which are Exempt FAs.

The MAS Guidelines supplement the conduct of business requirements in the FAA and its regulations which are applicable to the representatives. The MAS Guidelines provide that a Covered Person must, among other things:

- Provide advice only in those areas in which he has the necessary competence and skills;
- Take all reasonable steps to process client orders promptly, in accordance with the instructions of clients and on the best available terms;
- Provide written confirmation or documentation that the clients’ orders have been executed to the clients promptly;
- Draw a client’s attention to the warnings, exclusions and disclaimers in all documents, advertising materials and literature relating to an investment product it is recommending to the client;

- Distinguish facts and opinion when he is presenting his recommendation to the client; and
- Maintain adequate knowledge of and comply with all applicable laws, rules and regulations relevant to their business activity, including these Guidelines.

1.4.7 Notification of Change in Personal Particulars

A Covered Person is required to notify the Covered Entity of any changes in the following particulars within seven days after the occurrence of such changes:

- His personal particulars, e.g. residential address, contact details, nationality;
- Information about his spouse;
- Regulated activities for which he is to act as a representative; or
- His business interests and shareholdings in any business or corporation in Singapore or elsewhere (Regulation 5 of SFR (L&C)).

1.4.8 Market Misconduct

The SFA prohibits the following market misconduct which applies to a Covered Person:

- False trading and market rigging;
- Securities market manipulation;
- Dissemination of false or misleading statements and information;
- Employment of manipulative and deceptive devices;
- Dissemination of information about illegal transactions;
- Insider trading; and
- Securities hawking.

Insider Trading

Under the SFA, a person commits insider trading when he:

- Subscribes for, purchases or sells, or enters into an agreement to subscribe for, purchase or sell any securities ("**deals in securities**");
- Whilst in possession of "**non-public price-sensitive information**"; and

- When he is a:
 - **“Connected person”**, knows or ought reasonably to know that the information is non-public and price-sensitive, or
 - **“Unconnected person”**, knows that the information is non-public and price-sensitive.

In the case of securities that are traded on the SGX-ST or the SGX-DT, a person in possession of non-public price-sensitive information is also prohibited from:

- Procuring another person to deal in the relevant securities; or
- Communicating the non-public price-sensitive information to another person if the person knew or ought reasonably to have known that the other person would or would likely deal in the relevant securities or procure another person to so deal.

“Non-public price-sensitive information” concerning any securities refers to:

- Information that is not generally available (non-public); and
- If it were generally available, it might have a material effect on the price or value of the securities (price-sensitive).

The SFA distinguishes insider trading offences committed by a “connected” as opposed to an “unconnected” person. Section 218 of the SFA sets out the offences relevant to “connected persons” while section 219 of the SFA sets out the offences relevant to “unconnected persons”.

For the purpose of section 218 of the SFA, a “connected person” of a corporation is:

- An officer of that corporation or of its related corporation;
- A substantial shareholder of that corporation or of its related corporation;
- An officer of a substantial shareholder of that corporation or of a related corporation; or
- A person (or his employer or a corporation of which he is an officer) who has any professional or business relationship with that corporation or a related corporation (this may include a Covered Person).

The differences between the offences applicable to a “connected person” under section 218 and an “unconnected person” under section 219 are:

- There is a rebuttable presumption that a “connected person” found to be in possession of non-public price sensitive information is deemed to know that the information is non-public and price-sensitive but there is no such presumption against an “unconnected person”; and

- A “connected person” is liable for insider trading if he dealt in securities of a company whilst he **knew or ought reasonably to have known** that the information in his possession is non-public price-sensitive information in relation to those securities. On the other hand, an “unconnected person” is only liable for insider trading if he traded in those securities whilst he **knew** that the information is non-public price-sensitive information.

Securities Hawking

Securities hawking refers to making an offer of securities in an unsolicited meeting. However, the prohibition against securities hawking does not apply where:

- Securities may be offered without a prospectus under the public offering exemptions prescribed in section 274, 275, 304 or 305 of the SFA for institutional investors, accredited investors and other “relevant persons”; and
- An offer or invitation of securities is made to another person for subscription or purchase, or arising from an unsolicited meeting with that other person of units in a collective investment scheme authorised under Section 286 or recognised under Section 287 of the SFA,

This exemption would essentially cover collective investment schemes offered to the retail public (Section 309 of the SFA read with Securities and Futures (Exemption from Securities Hawking Prohibition) Regulations (Cap. 289, Rg 16)).

1.4.9 Prohibition against Falsification of Records

A Covered Person is prohibited from:

- Wilfully making, or causing to be made, a false entry in any book of the Covered Entity;
- Wilfully omitting to make, or causing to be omitted, an entry in any such book; or
- Wilfully altering, extracting, concealing or destroying, or causing to be altered, extracted, concealed or destroyed, an entry in any such book.

A breach of this requirement is an offence punishable with fine and/or imprisonment (FAA, SFA and TCA).

1.4.10 Duty Not to Furnish False Information to the MAS

A Covered Person is prohibited from furnishing false information to the MAS. He must use due care to ensure that any submitted information is not untrue or

misleading (S62 of the TCA, S86 of the FAA and S329 of the SFA). A breach of this requirement is an offence punishable with fine and/or imprisonment.

1.5 Wealth Management Focus Areas and Principles

1.5.1 The Focus Areas of Wealth Management

Generally, Covered Entities providing wealth management services and products focus on 3 main areas:

- Wealth accumulation;
- Wealth preservation; and
- Wealth succession.

These 3 focus areas and their associated investment products and services are illustrated in Exhibits 1.4 and 1.5.

Exhibit 1.4 Illustration of the 3 Focus Areas of Wealth Management

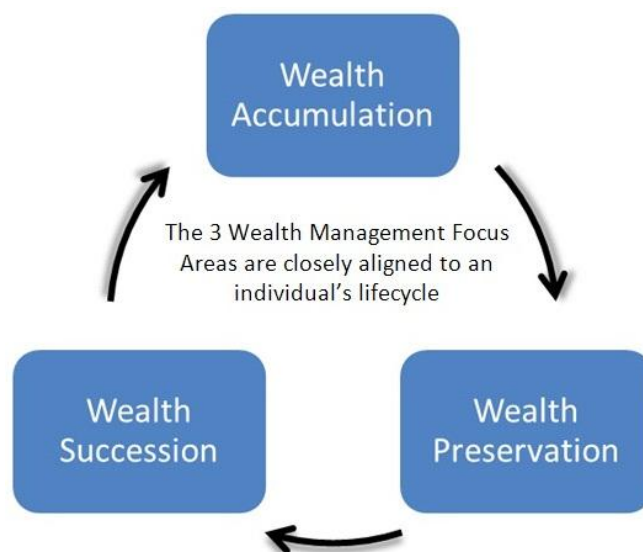
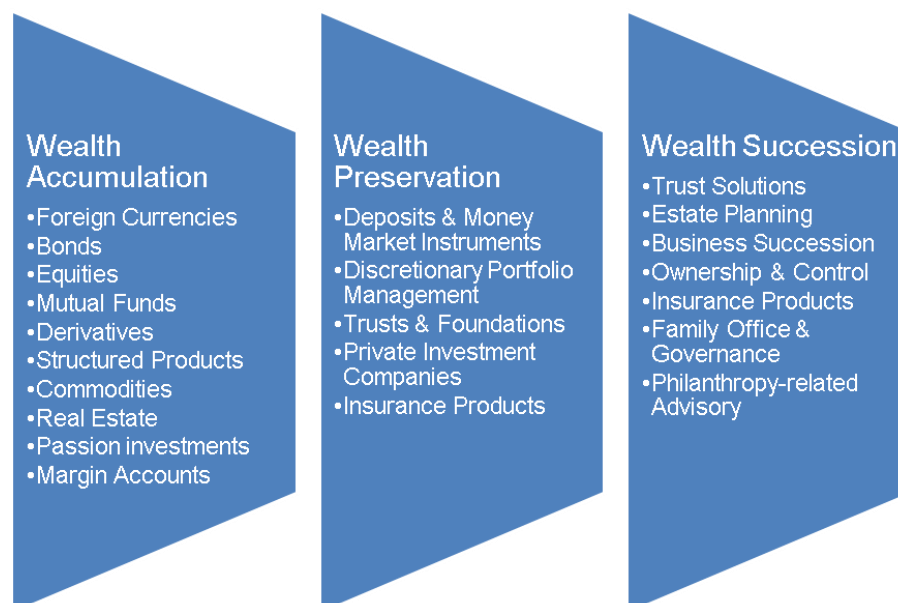


Exhibit 1.5 Illustration of the Services and Products offered in the Focus Areas



1.5.2 Wealth Accumulation

No HNWI wants to lose their wealth or decrease their overall net worth. On the contrary, HNWI clients of Covered Entities seek to grow their wealth, at the very minimum to keep up with the rising costs of living and thus maintain a certain living standard for themselves and close family members.

Some clients pursue “Wealth Accumulation” more aggressively than others, depending on their personal tolerance for risk taking and their purpose for specific investments. “Wealth Accumulation” is however not just about taking investment risks and making aggressive investment decisions to grow one’s wealth. This focus is intimately linked to “Wealth Preservation”.

For without prudent application of risk management tactics and contingency plans to safeguard investment losses, clients’ aggressive risk taking in the financial markets can produce results akin to gambling. Accordingly, if a Covered Entity has been mandated by clients to advise on their investment decisions, it is the professional responsibility of a Covered Person to advise the clients according to their needs.

Covered Persons may need to consider investment selection, investment due diligence and oversight in addressing individual client’s needs for “Wealth Accumulation”, in accordance with the client’s mandate. A Covered Person should therefore assess and understand the features and risk-reward characteristics of a financial product before recommending them to the client, and be mindful of any client segment for which the product is not suitable.

Based on the lifecycle approach, younger clients (those well below retirement age) tend to prioritize “Wealth Accumulation” over “Wealth Preservation” though there are always exceptions to look out for, which is why understanding clients’ financial situation, investment goals and aspirations must be an on-going due diligence process because changing life circumstances (e.g. inheritance of wealth) and life changing experiences (e.g. death of a close family member) can transform a client’s outlook and perspective towards wealth management.

1.5.3 Wealth Preservation

HNWIs seek “Wealth Preservation” strategies and tactics to stay ahead of price inflation, to minimize the impact of taxation on their earned income and capital gains, to deal with financial liability management, and to mitigate the potential risk of financial losses brought about by political, economic and financial market upheavals.

Asset ownership, asset protection and asset control are therefore important topics within “Wealth Preservation”. Accompanying these issues are various services which a Covered Person may provide, depending on the mandate and scope of services agreed with the client. For example, some of the services could include, depending on the mandate, to:

- Provide advice on asset titling with the use of suitable corporate structures, types of Trusts and Foundations to achieve clients’ specific wealth planning and management priorities;
- Provide investment advice that takes into account of each individual client’s financial situation, investment objectives, investment risk tolerance, investment knowledge and experience, investment time horizon and liquidity needs;
- Exercise due diligence and vigilance in re-balancing or shielding clients’ investment portfolios and family businesses from volatility during uncertain times;
- Provide clients full transparency to all fees and expenses;
- Conduct regular, formal and informal investment reviews for clients with agreed performance measurements and analytics; and
- Offer clients timely and comprehensive reporting of all types of investment performance issues for contingency actions and decisions.

As a conscientious professional in the “Private Banking” industry, Covered Persons should reflect continuously on how diligently they appreciate this important focus of wealth management.

1.5.4 Wealth Succession

While the application of the first two foci of “Wealth Management” is like a balancing act, “Wealth Succession” is perhaps more to do with achieving the goals and aspirations of HNWI and UHNWI towards the end of a client’s lifecycle. HNWI typically focuses on wealth transfer issues after a lifetime of “Wealth Accumulation” and “Wealth Preservation”.

“Wealth Succession” facilitates efficient and legal transfer of wealth from the client to client’s beneficiaries. A holistic approach could involve handling some sensitive and delicate issues if the client relationship is to endure well beyond one generation. Asset titling (mentioned earlier) with the use of suitable corporate structures, various types of Trusts and Foundations to achieve clients’ wealth planning and management priorities can achieve the following:

- Pre-empt family quarrels and legal disputes over a client’s wealth transfer intentions;
- Remove assets from time-consuming and tedious probate process; and
- Implement clients’ philanthropic goals and aspirations in accordance with their stated values and legacy wishes.

A portfolio of insurance policies may also be built to address unforeseen events and certain eventualities of succession for clients’ family and operating businesses. However if the cultivation of enduring client relationships with multiple inter-generational wealth transfers is considered desirable by a Covered Entity, then it may be mandated to offer advice for structuring clients’ ‘Family Governance’.

Successful execution of ‘Family Governance’ helps to integrate and align clients’ evolving family values and social behaviour with the family’s goals and aspirations, wealth structures, running of family businesses, wealth preservation and asset management strategies for multiple generations.

To support ‘Family Governance’, Covered Entities may also provide complementary ‘Family Office’ services to help cultivate leadership and entrepreneurship of key family members as well as prepare younger members to take an interest in and responsibility for continuing the family’s success in running the family business.

1.6 Observing Industry Codes of Practices

As mentioned in the preface, on 5 April 2011, the Private Banking Advisory Group (PBAG) launched the Code of Conduct for the private banking industry in Singapore (**The Code**). The Code sets out key relevant competencies required in the new financial landscape, the assessment and training of Covered Persons, and market conduct standards.

The Code also establishes standards relating to the continuous training and assessment of Covered Persons. The objective behind the assessment provisions is to ensure that Covered Persons (and Covered Entities) conduct business activities with integrity and professionalism as well as to ensure that they possess a requisite level of competence and knowledge.

1.6.1 Competency

The Code introduces a competency assessment in the form of the Client Advisor Competency Standards (**CACS**) which all Covered Persons are expected to pass before they are able to provide financial advisory services to HNWI on behalf of their Covered Entity.

The Code requires Covered Persons to achieve a minimum of 15 hours of continuing professional development (**CPD**) in a year. The onus is on the Covered Entity to ensure that its Covered Persons meet this requirement. The requirement for CPD has been introduced to ensure that knowledge and skills are kept current with industry and regulatory developments.

While not stipulating the format which CPD activities should take, the Code does provide that these activities should generally be via formal, documented learning (such as seminars and workshops).

The Covered Person is expected to achieve the stipulated minimum of 15 hours through CPD activities comprising an appropriate combination of:

- Relevant market conduct requirements;
- Relevant product knowledge;
- Relevant skills/competencies; and
- Relevant compliance-related matters.

What is considered an appropriate combination is left to be determined by the Covered Person's Covered Entity. Should the CPD hours earned exceed 15 hours in a calendar year, the balance cannot be carried forward into the next calendar year.

1.6.2 Market Conduct

The Code stipulates that both the Covered Entity and its Covered Persons are expected to:

- Promote the integrity and credibility of the financial system. The Covered Person is to ensure that his personal conduct and dealings do not adversely reflect on his professional reputation, integrity or competence. The Covered Person's Covered Entity is required to set out expected ethical values and general principles in this regard in its code of conduct.

- Exercise sound judgment and maintain a professional relationship with clients at all times. Covered Persons must conduct their activities in a manner which is in the best interests of the client and the Covered Entity, including addressing situations which may lead to actual, perceived or potential conflict of interest.
- Not act upon inside information in a manner which includes but is not limited to the following ways:
 - Influencing or inducing any client or any third party to enter into any transaction;
 - Communicating such information to any client or third party; and
 - Engaging in unauthorised transfer of inside information and/or insider trading.
- Not engage in activities that are not in the best interests of the client, such as front-running or parallel-running of the client's transactions. The Code prescribes steps the Covered Entities may undertake as safeguards in this regard.
- Take reasonable steps to ensure that client orders are executed on the best available terms, taking into account the relevant market, nature and size of transaction.
- Allocate client orders in accordance with the Covered Entity's trade allocation policies and procedures.
- Act in the best interests of clients and mitigate the risks of potential market abuse for sale and purchase transactions between client accounts. Guidance in this regard may be provided by the Covered Entity.

1.6.3 Conflicts of Interest

The Code stipulates that both the Covered Entity and its Covered persons are expected to:

- Manage any actual, perceived or potential conflict of interest, including appropriate disclosures to the client under certain circumstances, to minimise any potential adverse impact on the client.
- Ensure that the offering and receipt of gifts and entertainment with the client, counterparty, broker or other third party is appropriate.

1.6.4 Client Relationship Management

The Code provides required actions on the part of the Covered Entity in relation to aspects of Client Relationship Management. These responsibilities are set out in

detail in the Code. The actions involving Covered Persons are briefly highlighted below.

Know Your Client

The Code states that Covered Entities are expected to play their part in preserving the integrity of the financial system.

In particular, the Covered Entity is to guard against the use of its operations to knowingly or deliberately facilitate any transaction that is or may be connected with money-laundering, terrorist financing, proliferation financing, tax evasion, or the conduct of any other criminal activities.

The Covered Entity will require all relevant staff to take steps to establish and verify the identity of the client and reasonably establish the source of funds to be legitimate as part of client acceptance procedures. The Covered Entity will also require all accounts to be approved by persons other than the Covered Person handling the specific relationship.

Sales Practices

It is the responsibility of the Covered Entity to ensure that Covered Persons understand the product features and risk-reward characteristics before marketing the product to the client. The Code sets out what information in a client's profile (e.g. risk tolerance, financial situation, etc.) Covered Persons should understand, analyse and record.

Covered Persons are expected to remind the client that the overall assessment of the client's profile and product recommendation made by the Covered Entity and its Covered Persons (in accordance with the client mandate (if any)) will be based on the information provided by the client.

The Code states that a Covered Person is to assess whether the Covered Entity's existing systems and processes are able to support the sale of complex products and/or those with higher risk of loss such as leveraged or complex over-the-counter financial products prior to recommending such products.

Where appropriate, Covered Entities should implement additional due diligence procedures to clients when its Covered Persons are recommending such products. Appropriate sales surveillance and compliance monitoring tools to identify issues relating to sales practices and suitability, including grounds for escalation to senior management, are also expected to be implemented.

Communication

The Covered Entity may set disclosure and documentation standards relating to mandating relevant Covered Persons' communications with the client (including telephone, facsimile, e-mails, and face-to-face meetings).

The Code also requires Covered Persons to maintain proper documentation and records of significant transaction-related communications with the client, including situations where verbal confirmation may be required. The onus is on the Covered Entity to ensure that this is done by its Covered Persons.

Disclosure Standards

In addition to communication standards as discussed above, the Code sets out measures and standards in relation to disclosure that the Covered Entity should undertake. Some requirements may necessarily involve Covered Persons, such as the requirement that the Covered Entity take reasonable measures to ensure that information communicated to the client are clear, adequate, relevant, not false, not misleading and timely.

A Covered Person should ensure that a client is provided with key terms of every transaction. This may include:

- Applicable fees and charges;
- Any conflicts of interests;
- Key risks associated with the transaction; and
- Termination clauses.

If a client has a margin account, key information about the margin account which includes details of the margin requirements, interest charges, margin calls and circumstances under which the client's position may be closed-out and its implications, etc, must be disclosed to the client. The client must be given reasonable written notice before a Covered Entity effects any subsequent material variation in the terms and conditions of any written agreement or transaction.

The Code also requires the Covered Entity to ensure that Covered Persons explain both the general and specific risks associated with the transaction before the transaction is entered into or carried out, taking into account the complexity of the transaction, financial sophistication of the client and applicable regulatory requirements in the relevant jurisdictions, when recommending a particular product to the client.

Client Complaints

The Code sets out standards and procedures for the Covered Entity to observe in relation to the handling of client complaints, including ensuring that periodic reports on complaints are submitted to management so that timely rectification of systemic problems, if any, can be undertaken.

Operational Framework

Covered Entities are to implement an operational framework that is commensurate with their business activities and operations, including specifying risk and control limits where relevant. The Code sets out the responsibilities of Covered Entities and the procedures to put in place in this regard.

In relation to Covered Persons, the Code specifies that a Covered Entity is required to ensure that the valuation of assets is performed fairly and independent of Covered Persons. There should be appropriate documented methodology and management oversight on the identification, valuation and reporting of illiquid positions.

1.7 Types of Market Misconduct and Penalties

1.7.1 Types of Market Misconduct

There are many areas where misconduct may take place. The various types of 'Market Misconduct' generally relevant to a Covered Person are:

- **Acts Involving Fraud and Dishonesty** – Such as cheating; forgery of client's signature on legal documents and for financial transactions; misappropriation of monies from client accounts; criminal breach of trust.
- **Acts Relating to Market Conduct** – Such as false trading and market rigging transactions; effecting securities market manipulation; making false or misleading statements about an investment; fraudulently inducing clients to deal in securities; employing manipulative and deceptive devices, schemes or artifice to defraud and disseminating information about illegal transactions, insider trading.
- **Failure to Satisfy Guidelines on Fit and Proper Criteria** – The criteria for considering whether or not a Covered Person is fit and proper include: their honesty, integrity and reputation, which should not be tainted by prior conviction of an offence involving fraud or dishonesty; competence and capability; financial soundness, which should not be compromised by being or becoming bankrupt.
- **Acts Involving Inappropriate Advice, Misrepresentation or Inadequate Disclosure of Information Under the FAA**
 - Making a recommendation to a client without due consideration to the client's investment objectives, financial situation or particular needs;
 - Making a deceptive, false or misleading statement to a client or failing to disclose to a client all material information relating to any designated investment product recommended, as specified in the MAS' Notice on Information to Clients and Product Information Disclosure.

1.7.2 Other Forms of Misconduct

These are, generally, non-compliance with any requirement imposed by the SFA, FAA and Insurance Act, including serious breaches of the Covered Entity's internal policies such as staff code of conduct.

1.7.3 Penalties for Market Misconduct

The type of disciplinary or other action that may be taken in respect of misconduct committed depends on the severity of the case and may include one or more of the following:

- Suspension ;
- Restitution of misappropriated monies;
- Fine;
- Formal warning;
- Demotion; or
- Termination of employment.

1.8 Chapter Summary

The Private Banking in Singapore - Code of Conduct sets out standards of good practice on competency and market conduct expected of Covered Entities and Covered Persons operating in Singapore which are providing financial services to HNWIs.

There are different licensing regimes which may be applicable to Covered Entities and the types of activities which a Covered Entity can carry out. Covered Entities holding an SGX membership have additional reporting and compliance requirements.

The chapter has also discussed issues arising from dealing with clients' accounts which are booked offshore and clients' accounts which are booked in Singapore but held by offshore clients. It has also addressed the types of market misconduct and the penalties for misconduct.

Appendices

Appendix 1.1: Glossary of Defined Terms

A **“non-resident of Singapore”** means any person who is not a “resident of Singapore”, and includes, for the avoidance of doubt:

- A person whose permanent or registered address is outside Singapore (including an overseas resident using a bank in Singapore or a Singapore address as an accommodation address, and a tourist, traveller or person exercising employment abroad or gaining his earnings from activities and investments abroad);
- A company or other body whose permanent or registered address is outside Singapore (including an overseas branch or subsidiary of Singapore registered companies or institutions);
- A member of the diplomatic, consular or military staff of a foreign embassy, consulate, official mission or an establishment of a foreign armed forces, stationed in Singapore;
- An establishment of a foreign government or foreign public authority, stationed in Singapore; and
- An agent or agency located in Singapore not being a permanent establishment acting on behalf of or for the account of a non-resident of Singapore.

A **“resident of Singapore”** means:

- A person whose main centre of interests is in Singapore or whose main source of income is derived from Singapore or whose period of residence in Singapore exceeds one year;
- A person who has been granted permanent residency in Singapore;
- A company or other body whose permanent or registered address is in Singapore (including a branch or subsidiary located within Singapore or overseas registered companies or foreign institutions);
- A member of the diplomatic, consular or military staff of a Singapore embassy, consulate, official mission or establishment of the Singapore armed forces, stationed outside Singapore; or
- An agent or agency located abroad acting on behalf of or for the account of a resident of Singapore.

An “**accredited investor**” means:

- An individual
 - Whose net personal assets exceed in value S\$2million (or its equivalent in a foreign currency) or such other amount as the MAS may prescribe in place of the first amount; or
 - Whose income in the preceding 12 months is not less than S\$300,000 (or its equivalent in a foreign currency) or such other amount as the MAS may prescribe in place of the first amount;
- A corporation with net assets exceeding S\$10 million in value (or its equivalent in a foreign currency) or such other amount as the Authority may prescribe, in place of the first amount, as determined by:
 - The most recent audited balance-sheet of the corporation; or
 - Where the corporation is not required to prepare audited accounts regularly, a balance-sheet of the corporation certified by the corporation as giving a true and fair view of the state of affairs of the corporation as of the date of the balance-sheet, which date shall be within the preceding 12 months;
 - A trustee of a trust of which all property and rights of any kind whatsoever held on trust for the beneficiaries of the trust exceed S\$10 million in value (or its equivalent in foreign currency);
 - An entity (other than a corporation) with net assets exceeding S\$10 million in value (or its equivalent in a foreign currency);
 - A partnership (other than a limited liability partnership within the meaning of the Limited Liability Partnerships Act (Cap. 163A)) in which each partner is an accredited investor;
 - A corporation, the sole business of which is to hold investments and the entire share capital of which is owned by one or more persons, each of whom is an accredited investor; or
 - Such other person as the MAS may prescribe.

An “**expert investor**” means

- A person whose business involves the acquisition and disposal, or the holding, of capital markets products, whether as principal or agent;
- The trustee of such trust as the MAS may prescribe, when acting in that capacity; or

- Such other person as the MAS may prescribe.

A “**sophisticated investor**”, in relation to a bank issuing bonds or negotiable certificates of deposit, means a person

- In the case of an individual, whose net personal assets, at the time of the issue, exceeds in value S\$2 million (or its equivalent in foreign currency), or whose income in the 12 months preceding the issue, is not less than S\$300,000 (or its equivalent in foreign currency);
- In the case of a corporation, whose net assets exceeds in value S\$10 million (or its equivalent in foreign currency), as determined by the last audited balance sheet of the corporation; or
- Who is an officer or close relative of an officer of the bank.

Chapter 2:

Marketing Activities and Client Acquisition

Objective

The candidate should be able to:

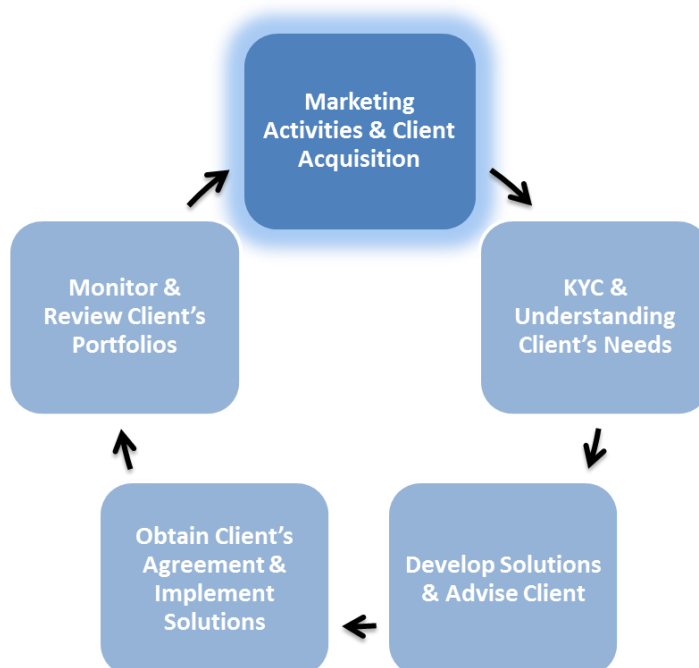
- ✓ Recognise the restrictions and requirements applicable to marketing activities
- ✓ Appreciate the legal issues triggered by cross-border activities
- ✓ Be aware of the international rules which are applicable to cross-border activities

2.1 Introduction

The Private Banking Client Process is illustrated in Exhibit 2.1. The starting point of the cycle involves marketing activities and client acquisition. This chapter introduces the various marketing activities and client acquisition aspects related to private banking.

The chapter further identifies the different ways a Covered Person can violate compliance regulations in his/her marketing activities and client acquisition processes. It is vital that a Covered Person fully understands the rules and regulations related to these activities. When in doubt, a Covered Person is advised to consult the legal and compliance department of his/her Covered Entity.

Exhibit 2.1 Essential Roles of a Covered Person



2.2 Marketing Activities

2.2.1 Marketing Activities of a Covered Entity

A part of a Covered Entity's marketing activities involves the use of materials such as media advertisements, corporate image brochures, product brochures and flyers, standard corporate presentation slide packs or pitch books, etc. These materials are typically reviewed and approved by the firm's legal and compliance department before they are circulated for use by its Covered Persons.

The use of obsolete marketing materials with invalid data, inaccuracies or out-dated information can be a cause of compliance violations. Poorly written emails sent to prospective clients containing exaggerated statements about the performance of a product can be construed as deliberate misrepresentation by a Covered Person to deceive and mislead the recipients.

Marketing activities are also conducted through prospecting events, organised by a Covered Entity. Such events may be organised in a foreign country and as such will be subject to the local laws and any cross-border regulatory issues. Marketing activities during prospecting events may range from a simple socializing opportunity with prospective clients to unsolicited, aggressive selling of restricted products by a Covered Person.

The latter conduct may result in serious regulatory violations of the host country. A Covered Person should approach the Covered Entity's compliance department for a

full understanding of the applicable rules of engagement of the particular country before marketing in a foreign country

2.2.2 Restrictions on Content of Advertisements

A Covered Person must take note that the (Securities and Futures Act) SFA imposes some restrictions with regard to advertisements published, circulated or distributed by a Covered Entity or himself when they are providing capital markets services. Under the Regulations issued under the SFA², an advertisement must not contain:

- References to past recommendations of the Covered Entity which were or would have been profitable. However, the Covered Entity or Covered Person may refer in an advertisement to a list of all recommendations made by the Covered Entity or Covered Person at least one year before the date the advertisement is published, circulated or distributed by the Covered Entity or Covered Person. If this list is furnished separately from the advertisement, it must:
 - State the name of each securities or futures contract recommended, the date and nature of the recommendation, the market price at that time, the price at which the recommendation was to be acted upon, and the market price of the securities or futures contract as of the most recent practicable date; and
 - Contain a statement, in as large a font as the largest font used in the body of the advertisement, to the effect that the past performance of the securities or futures contracts in the list is not indicative of the future performance of the securities or futures contracts.
- Representations that any graph, chart, formula or other device in the advertisement:
 - Can, in and of itself, be used to determine which securities or futures contracts to buy or sell, or when to buy or sell them; or
 - Will assist any person in deciding which securities or futures contracts to buy or sell, or when to buy or sell them,

without prominently disclosing in the advertisement the limitations thereof and the difficulties with respect to its use;

- Statements suggesting that any report, analysis or other service will be furnished free unless it will in fact be furnished in its entirety and without any condition or obligation; or

² Regulation 46 of the Securities and Futures (Licensing and Conduct of Business) Regulations (Cap. 289, Rg 10).

- Inaccurate or misleading statement or presentation, or any exaggerated statement or presentation calculated to exploit an individual's inexperience and knowledge.

A person who breaches the above requirement is guilty of an offence punishable with fine.

When a Covered Entity that is an Exempt Trust Company performs “trust business” services, there is a similar requirement in the Trust Companies Act (“TCA”) that prohibits it from publishing, circulating or distributing any advertisement which contains any inaccurate or misleading statement or presentation, or any exaggerated statement or presentation that is calculated to exploit a person’s lack of experience and knowledge. Non-compliance with this requirement is an offence punishable with fine (Regulation 16 of the Trust Companies Regulations (Cap. 336, Rg 4)).

2.2.3 Using the Term “Independent”

The Financial Advisers Regulations (the “FAR”) issued under the Financial Advisors Act (“FAA”) restrict a Covered Person from using the word “independent” or any of its derivatives in any language, or any other words that are of like import to “independent”, in acting as a Covered Person of a Covered Entity which is an Exempt FA.

The circumstances under which a Covered Entity may use the term “independent” are elaborated in Regulation 21 of the FAR and the MAS Guidelines on the Use of The Term “Independent” by Financial Advisers (FAA-G05).

A person who breaches this requirement is guilty of an offence punishable with fine. A Covered Person is advised to obtain the approval from the legal and compliance department of his Covered Entity before using the term “independent”.

2.2.4 Appointment and Use of Introducers

The MAS Notice on Appointment and Use of Introducers by Financial Advisers (FAA – N02) requires a Covered Entity which is performing financial advisory services to:

- Meet certain standards with respect to the appointment and use of persons carrying out introducing activities; and
- Institute adequate control systems and procedures to ensure the proper conduct of an introducer engaged by the Covered Entity, including ensuring that the introducer does not get involved in the provision of financial advisory services other than to the extent of carrying out introducing activities.

A Covered Entity must ensure that its Covered Persons comply with the following requirements in the MAS Notice:

- Should not enter into any agreement with an introducer other than on behalf of the Covered Entity;
- If a Covered Person is carrying out introducing activities on behalf of the Covered Entity, the Covered Person must disclose that:
 - He is carrying out introducing activities on behalf of the Covered Entity;
 - The Covered Entity acts for one or more introducees;
 - That, when carrying out introducing activities, he shall not give advice or provide recommendations on any investment product to the client, market any collective investment schemes; or arrange any contract of insurance in respect of life policies, other than to the extent of carrying out introducing activities;
 - Whether he or the Covered Entity is or will be remunerated by one or more introducees for carrying out introducing activities;
 - Where he or the Covered Entity is or will be remunerated by one or more introducees, the amount of remuneration if so requested by the client;
- Where the Covered Person carries out introducing activities on behalf of the Covered Entity for more than one introducee, with the consent of the client, he should introduce that client to every introducee that provides the type or types of financial advisory service required by that client; and
- The Covered Person should not receive or deal with client's money or property in relation to introducing activities.

The Covered Entity must provide a script to its Covered Persons to provide guidance to him in his introducing activities specifying:

- The above information which the representatives are required to disclose to clients;
- The factual information that the representatives are to provide to clients on the Covered Entity; and
- The factual information on the investment products to which the introducing activities relate.

In engaging an introducer to carry out introducing activities, the Covered Entity must:

- Enter into a written agreement with the introducer which spells out clearly the scope of introducing activities to be carried out by the introducer;
- Monitor the conduct of the introducer to satisfy itself that the introducer operates within the terms and conditions of the written agreement;
- Require the introducer to disclose to all clients the information prescribed in the law which includes, among other things, the scope of activities allowed to be carried out by an introducer and the remuneration of the introducer for carrying out the introducing activities (if any);
- Provide a script containing certain prescribed information to the introducer to provide guidance to the introducer in its or his introducing activities;
- Ensure that the introducer does not receive or deal with client's money or property in relation to its carrying out of introducing activities;
- Maintain a register of introducers containing the information prescribed in the MAS Notice on Appointment and Use of Introducers by Financial Advisers; and
- Ensure that the introducer establishes and maintains a register of representatives of the introducer who carry out introducing activities on its/his behalf.

Covered Entities or their units which have been approved under the MAS Guidelines on Exemption for Specialised Units Serving HNWIs under Section 100(2) of the Financial Advisers Act (FAA-G07) may be exempt from the requirements of the MAS Notice on Appointment and Use of Introducers by Financial Advisers.

Covered Persons should consult their legal and compliance department on the availability of this exemption, and the specific coverage of this exemption.

2.3 Client Acquisition – Dealing With a Prospective Client

2.3.1 Cross-Border Issues

A Covered Entity's client base typically transcends multiple nationalities and domiciles, and a Covered Entity's business consequently involves different locations and jurisdictions. When Covered Persons in Singapore serve existing clients located outside Singapore or contact prospective clients located outside Singapore on behalf of a Covered Entity, this raises cross-border regulatory issues.

Therefore when a Covered Person deals with clients or prospective clients located in another jurisdiction, he should be aware that:

- His dealings with the clients or prospective clients may amount to cross-border activities that trigger the regulatory requirements in the foreign jurisdiction where such activities are taken; and
- His dealings with the clients or prospective clients, although not undertaken in Singapore may still be subject to the regulatory requirements prescribed in the SFA and FAA under certain circumstances.

2.3.2 Cross-Border Activities

Cross-border activities generally refer to the provision of wealth management or other private banking services by a Singapore Covered Entity to clients or prospective clients in another country. Examples of cross-border activities include the following:

- Travelling to another country to meet clients or prospective clients;
- Organising and participating in marketing events in another country;
- Providing account-opening documentation or account statements to clients in another country;
- Providing advice on investment products to clients or prospective clients in another country;
- Offering investment products or services to clients or prospective clients in another country; and
- Accepting client orders for investment products or signing up mandates for investment services in another country.

2.3.3 Offshore Rules Affecting Cross-Border Activities

Cross-border activities may trigger local licensing or regulatory requirements in the countries where these activities are undertaken. For example, offshore jurisdictions may have rules governing public offerings of investment products, solicitation of investment services, cold calling, or risk disclosure obligations.

There is a risk that Covered Entities or their Covered Persons may incur regulatory or other liabilities when carrying on cross-border activities if the appropriate licences or permissions are not obtained. As a Covered Entity may not be licensed as a financial services provider in all the countries where clients or prospective clients are located, Covered Persons must take care not to conduct cross-border activities in

countries where the Covered Entity is not licensed and where the activities may be considered regulated activities.

The breach of licensing or other obligations in a foreign country may have negative consequences for a Covered Entity and/or a Covered Person, including fines, criminal sanctions or reputational damage. In some jurisdictions, Covered Persons may be permitted to:

- Carry on relationship management with existing clients or contact clients on a social basis;
- Provide clients with general information about its Covered Entity or about a particular market or sector, but not relating to specific investment products or services; or
- Provide services or sell investment products on an unsolicited basis (i.e. where the request for such products and services came from the client and without the Covered Entity having marketed such products or services to the client).

However, Covered Persons must consult their legal and compliance department for guidance and permission before carrying on any of the above cross-border activities.

2.3.4 Extra-Territoriality

There are Singapore laws that restrict a person from conducting cross-border activities such as cross-referring, introducing and marketing in Singapore of certain regulated services of a foreign bank.

The SFA and FAA have extra-territorial effect, in that acts which, if done in Singapore, would constitute an offence under the SFA and FAA will also constitute such offence even if done partially in Singapore and partially outside Singapore (Section 339(1) of the SFA and Section 90 of the FAA).

There are also restrictions and/or conditions on, for example, marketing and introducing to customers in Singapore of deposit taking services of a foreign bank. Covered Persons should generally consult their legal and compliance department for guidance and permission before conducting cross-border activities

Supervisory Regimes That May Impact a Covered Entity's Cross-Border Activities

When carrying on cross-border activities, Covered Persons should also be aware of international standards promulgated by international organisations which may be applicable to them and certain foreign financial regulatory authorities which may have regulatory purview over them when they conduct cross-border activities in foreign jurisdictions regulated by these authorities. Information on such relevant

international organisations and foreign regulatory authorities are set out in the Appendix.

2.4 Chapter Summary

In the performance of marketing and client acquisition activities, a Covered Person will need to be mindful of the relevant restrictions and requirements. When conducting cross-border activities, the application of international rules and that of the host country must also be taken into consideration. Covered Persons should be familiar with the legal issues of the domestic country, the country of visit as well as international rules which may be applicable.

Appendices

Appendix 2.1: Information on relevant international organisations and foreign regulatory authorities

International Organisations

- **Bank for International Settlements** – The Bank for International Settlements (the “BIS”) is an international organisation which fosters international monetary and financial cooperation and serves as a bank for central banks. It acts as a forum to promote discussion and policy analysis among central banks and within the international financial community, a centre for economic and monetary research, a prime counterparty for central banks in their financial transactions and an agent or trustee in connection with international financial operations.

Amongst the various committees associated with the BIS, the Basel Committee on Banking Supervision (the “Basel Committee”) provides a forum for regular cooperation on banking supervisory matters. The Basel Committee develops guidelines and supervisory standards with the aim of improving the quality of banking supervision worldwide. One such standard is the Basel III Accords, a comprehensive set of reform measures developed by the Basel Committee, aimed at strengthening the regulation, supervision and risk management of the banking sector.

The Basel III measures aim to improve the banking sector's ability to absorb shocks arising from financial and economic stress, improve risk management and governance, and strengthen banks' transparency and disclosures. The Basel III reforms also target bank-level, or microprudential, regulation, which will help raise the resilience of individual banking institutions to periods of stress and macroprudential, system wide risks that can build up across the banking sector as well as the pro-cyclical amplification of these risks over time.

- **Organisation for Economic Co-operation and Development** – The Organisation for Economic Co-operation and Development (the “OECD”) is an international organisation with 34 member countries to date. The OECD seeks to promote international economic and social policies and provides an international forum for a range of topics (including finance and international investment). Private bankers should consider the OECD policies which may be applicable to them when carrying on cross-border activities.
- **Foreign Regulatory Authorities** – Covered Persons should also note that, when carrying on cross-border activities in other European countries, directives or other rules promulgated by the regulatory authorities may be applicable.

Chapter 3:

KYC and Understanding Client's Needs

Objective

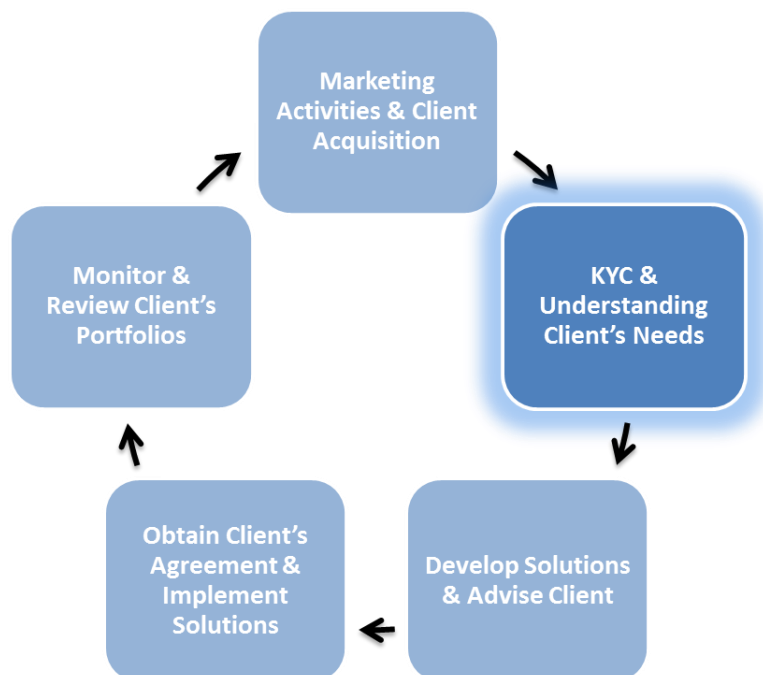
The candidate should be able to:

- ✓ Understand the anti-money laundering and terrorism financing framework applicable to Covered Entities and Covered Persons
- ✓ Appreciate the process of Customer Due Diligence
- ✓ Understand the risks of failing to conduct adequate customer due diligence measures
- ✓ Identify examples of suspicious transactions or situations which warrant a disclosure to a Compliance Officer
- ✓ Develop a structured approach for client profiling
- ✓ Understand a client's needs and priorities
- ✓ Build trust and confidence

3.1 Introduction

The Know Your Client (KYC) process is a vital due diligence process that must be performed in order to identify, understand and gather relevant information of a prospective client. This chapter highlights the reasons for conducting the KYC process, and also explains how this process is conducted. The chapter also discusses client profiling and performing client needs analysis by means of a rational, structured and systematic approach.

Exhibit 3.1 Essential Roles of a Covered Person



3.2 Know Your Client (KYC) Requirements

A Covered Person must always review the background and financial status of a prospective client and existing clients in order to allow a judgment to be made about whether he would conduct business with the client and to assess the type of services which would be offered.

In carrying out a Customer Due Diligence (CDD) process, a Covered Person must ensure that he complies with the requirements set out in the Notices and Guidelines on Prevention of Money Laundering and Countering the Financing of Terrorism issued by the MAS to financial institutions. A breach of the requirements in the Notice is an offence punishable with a fine, amongst other sanctions.

The MAS Notices and Guidelines on Prevention of Money Laundering and Countering the Financing of Terrorism which may be applicable to a Covered Person are those addressed by:

- Banks (MAS Notice 626 and Guidelines to MAS Notice 626);
- Merchant banks (MAS Notice 1014 and Guidelines to MAS Notice 1014); or
- CMSL Holders (MAS Notice SFA04-N02 and Guidelines to MAS Notice SFA04-N02).

The discussion that follows is based on the MAS Notice on Prevention of Money Laundering and Countering the Financing of Terrorism – Banks (MAS Notice 626) (the “Notice”) and its Guidelines (the “Guidelines”). Most of these requirements are

general basic requirements that are applicable to most Covered Entities and their Covered Persons.

3.2.1 When Should Client Due Diligence (CDD) be Performed?

CDD measures must be performed on a customer when (Paragraph 4.2 of the Notice):

- The Covered Entity establishes business relations with any customer;
- The Covered Entity undertakes any transaction of a value exceeding S\$20,000 for any customer who has not otherwise established business relations with the Covered Entity;
- There is a suspicion of money laundering or terrorist financing, notwithstanding that the Covered Entity would otherwise not be required to perform CDD measures; or
- The Covered Entity has doubts about the veracity or adequacy of any information previously obtained.

3.2.2 Identification of a Client (Beneficial Interest)

Every customer who applies to a Covered Entity to establish business relations must be identified (Paragraph 4.3 of the Notice). A Covered Entity or its Covered Person is also expected to determine if there exist any beneficial owners in relation to a customer and apply the identification and verification procedures to those beneficial owners (Paragraphs 4.14 and 4.15 of the Notice).

Please refer to Appendix for the information required to identify each customer. The Notice allows a Covered Entity to perform CDD measures to effectively identify and verify the identity of a customer if it is satisfied that the risks of money laundering and terrorist financing are low (Paragraph 5.1 of the Notice).

On the other hand, enhanced CDD measures are expected for customers, business relations or transactions which present a higher risk for money laundering and terrorist financing and Politically Exposed Persons (PEP), i.e. a natural person who has prominent public functions in Singapore or a foreign country and his immediate family members and close associates (Paragraphs 6.2 and 6.3 of the Notice).

Private banking is also considered a relatively higher risk business, and hence enhanced due diligence should generally be conducted. Covered Persons should consult their legal and compliance departments on the circumstances that warrant the performance of standard or enhanced CDD measures.

Identifying Purpose of Business Relations

When processing the application to establish business relations, a Covered Entity or its Covered Persons must also obtain information as to the purpose and intended nature of business relations (Paragraph 4.19 of the Notice).

CDD Measures by Intermediaries

The Notice allows a Covered Entity to rely on an intermediary to perform the CDD measures provided that certain requirements are satisfied. Covered Persons should consult their legal and compliance department on whether they are allowed to rely on an intermediary to perform the CDD measures and the circumstances in which they are allowed to do so.

Notwithstanding the reliance upon an intermediary, a Covered Entity remains responsible for its obligations under the Notice (Paragraph 7 of the Notice).

On-Going CDD

After a business relationship is established, a Covered Entity or its Covered Persons shall monitor, on an on-going basis, the business relationship with the customer and review periodically the adequacy of customer information (Paragraph 4.20 of the Notice).

If a Covered Entity or a Covered Person becomes aware upon a review that it may lack sufficient identification information on a customer, it should proceed to perform CDD on the areas found deficient (Paragraph 44 of the Guidelines).

Correspondent Banking

The Notice specifies various measures that a Covered Entity which is a bank or merchant bank must perform when providing cross-border correspondent banking services. For instance, the Covered Entity is required to:

- Assess the suitability of a respondent bank by gathering adequate information about the respondent bank to understand fully the nature of the respondent bank's business;
- Determine the reputation of the respondent bank and, as far as practicable, the quality of supervision over the respondent bank; and
- Assess the respondent bank's Anti-Money Laundering/Counter-Financing of Terrorism (AML/CTF) controls and ascertain that they are adequate and effective before providing the services.

The respective AML/CTF responsibilities of the Covered Entity and the respondent bank must be documented. A Covered Person is required to obtain approval from the senior management of the Covered Entity before providing new correspondent

banking services (Paragraphs 8.3 and 8.4 of the Notice). Covered Persons should consult their legal and compliance departments on these requirements before providing new correspondent banking services.

Further, a Covered Entity which is a bank or merchant bank is prohibited from entering into or continuing correspondent banking relations with a shell bank. It is also required to take appropriate measures when establishing correspondent banking relations, to satisfy itself that its respondent banks do not permit their accounts to be used by shell banks (Paragraphs 8.6 and 8.7 of the Notice).

3.2.3 Wire Transfer and Due Diligence

A Covered Entity which is a bank or a merchant bank is also required under the Notice to conduct CDD measures on an originator in a wire transfer before affecting the wire transfer, if the Covered Entity is an ordering institution.

Therefore, if a Covered Person is required to execute a cross-border wire transfer in the course of providing financial services to a client and the Covered Entity which he is working for is the ordering institution, he is required to:

- Identify the wire transfer originator and verify his identity (if the Covered Entity has not already done so by virtue of the CDD measures mentioned above); and
- Record adequate details of the wire transfer so as to permit its reconstruction, including at least the date of the wire transfer, the type and amount of currency involved the value date and the details of the wire transfer beneficiary and the beneficiary institution (Paragraph 9.3 of the Notice).

The Covered Entity which is an ordering institution in a cross-border wire transfer where the amount to be transferred exceeds S\$2,000, must include in the message or payment instruction that accompanies or relates to the wire transfer, the following information regarding the originator:

- Name;
- Account number (or unique identification number assigned by the ordering institution where no account number exists); and
- Address, unique identification number, or date and place of birth.

A Covered Entity or its Covered Persons should ensure that the requirements to include the customers' personal details are adequately communicated and explained to their customers and the necessary customer consent has been obtained to include such information in the wire transfer or payment instruction (Paragraph 9.4 of the Notice and Paragraph 58 of the Guidelines).

A Covered Entity which is an ordering institution in a domestic wire transfer must either include:

- In the message or payment instruction that accompanies or relates to the wire transfer all of the originator information required to be included as if the transaction had been a cross-border wire transfer exceeding S\$2,000; or
- Only the originator's account number (or unique reference number where no account number exists) but be in position to make the remaining originator information available within three working days of a request being made by the beneficiary institution (Paragraph 9.5 of the Notice).

3.2.4 Money Laundering

It is important that a Covered Person should conduct adequate CDD measures on a customer in compliance with the requirements and standards set by the Notice and Guidelines. A Covered Person who has failed to do so, risks not merely breaching a requirement of the Notice but also committing money laundering offences under the Corruption, Drug Trafficking and other Serious Crimes (Confiscation of Benefits) Act ("**CDSA**").

An offence will be committed by the Covered Person if, for example, he is found to have assisted a criminal to transfer the latter's ill-gotten wealth out of Singapore or to disguise the source of the latter's ill-gotten wealth through the performance of financial services. The Covered Person would be liable if he/she knows or has reasonable grounds to suspect that the customer's source of wealth or funds are benefits of drug trafficking, corruption or other serious offences as defined in the CDSA.

The CDSA criminalises the laundering of benefits from drug trafficking, corruption or other serious offences. These offences include one of those prescribed under the First and Second Schedules to the CDSA which include bribery, corruption, criminal breach of trust, counterfeiting, theft, extortion, robbery, misappropriation, cheating. They also include market misconduct offences under the SFA like insider trading, false trading and market rigging transactions, etc (Section 2 of the CDSA).

Money Laundering Offences under the CDSA

Briefly, the CDSA prohibits a Covered Person from:

- Assisting another person to retain the latter's benefits of drug trafficking , corruption or other serious offences; and
- Acquiring, possessing, using, concealing, disguising, converting, transferring or removing from the jurisdiction, any property that represents benefits of drug trafficking, corruption or other serious offences.

A Covered Person will be liable under these money laundering offences if he knows that he is dealing with a client's property that represents benefits of drug trafficking, corruption or other serious offences. Furthermore he is also liable if he has reasonable grounds to believe so.

It is also an offence under the CDSA to "tip-off", namely to disclose information or any matter that is likely to prejudice any investigation or proposed investigation conducted under the CDSA.

For instance, if a Covered Person/Entity has submitted a Suspicious Transactions Report (the "STR") or is aware or has reasonable grounds to suspect that the police is investigating the source of the client's property to ascertain whether the property represents the proceeds of drug trafficking, corruption or other serious offences, he is not allowed under the CDSA to inform his client about the STR or investigation conducted by the police or his suspicion.

Reporting Suspicious Transactions

If, in the course of carrying out his duty as a Covered Person, he knows or has reasonable grounds to suspect that any property represents the proceeds of any act which may constitute drug trafficking, corruption or other serious offences, he has a positive duty under the CDSA to disclose his knowledge or suspicion or the information or other matter on which that knowledge or suspicion is based on.

The disclosure must be made as soon as it is reasonably practicable after the information or matter substantiating the person's knowledge or suspicion comes to his attention (Section 39 of the CDSA).

This duty of disclosure arises so long as there are reasonable grounds to suspect the property represents the proceeds of, or was or is intended to be used in connection with, an act which may constitute criminal conduct, corruption or other serious offences.

The person making the disclosure is not required to ascertain whether the property is derived from or related to a specific type of activity that falls within the meaning of criminal conduct, corruption or other serious offences defined under the CDSA. It applies when the possibility that the property may be the proceeds of criminal conduct, corruption or other serious offences cannot be ruled out.

A person is guilty of an offence punishable with a fine if he fails to disclose such knowledge, suspicion, or other related information. Please refer to the Appendix for examples of transactions or situations which suggest that money laundering may be taking place or may arouse the suspicion that a customer's property may be the proceeds of drug trafficking, corruption or other serious offences.

The disclosure should be made to a person within a Covered Entity's organisation who has been established as a single reference point with regard to the reporting of transactions suspected of being connected with money-laundering or terrorist financing (the "**Compliance Officer**"). It is common for such persons to come from the compliance or legal department within a Covered Entity (The MAS Notices and

Guidelines on Prevention of Money Laundering and Countering the Financing of Terrorism).

Covered Persons should familiarise themselves with the anti-money laundering policy and the procedures for reporting suspicious transactions within their Covered Entities.

3.2.5 Application of “Know-Your-Client” (KYC)

To reiterate, it is clear that the KYC process is intended for the Covered Entity and its Covered Persons not only to know a customer’s source of funds (and wealth) but also to evaluate how the funds would be used by the customer.

One of the main objectives is to prevent the Covered Entity and its Covered Persons from being used for potential money laundering, terrorist financing, and the conduct of other criminal activities. For example, individuals opening an account at a Covered Entity could be fronting criminal organizations and a corporate account holder could become legally non-existent over time from simply not paying its annual government fees.

Under the Notice, it is specifically required that Covered Entity and its Covered Persons shall:

- Inquire if there exists any beneficial owner in relation to a customer (Paragraph 4.14); and
- Obtain from the customer information as to the purpose and intended nature of business relations (Paragraph 4.19).

Specific information required to identify and verify customers and persons appointed to act for them are provided in the Appendix of this chapter. However, the collection of this information is not meant to be a mechanical exercise using a “Check-the-box” approach (See discussion below).

Additional, independent verification of the declared beneficial ownership of an account and legal existence of account holders may be required at the point of **Client Acceptance Review** and other periodic KYC reviews to ensure that a client’s account information is kept up to date.

Covered Entities may also carry out an additional process to establish the legitimacy of the source of a client’s funds and his on-going wealth generation capabilities. There are businesses or industries which are considered sensitive due to their perceived or actual association with money laundering, terrorist financing and other criminal activities (e.g. diamond trade, casinos, weapon sales, money changers, money lenders).

Covered Entities will need to exercise extra care when accepting clients with those business backgrounds. And, more importantly, it is also necessary to determine

whether or not the client's type and size of business is commensurate with the amount of wealth generated.

Additional KYC Requirements

Covered Persons should also identify whether a prospective or existing client is or has become a Politically Exposed Person (PEP) e.g. a politicized figure, a politician, a high ranking government official, or former politician with influence including someone closely associated with politicians such as an immediate family member, a personal aide or a known personal nominee. This is a regulatory compliance requirement under the MAS Notices.

Another key area in KYC relates to the prospective or existing client's nationality or nationalities, country of residence and official domicile (if different from the declared country of residence) and country or countries of origin (i.e. from where the client and close family members originate).

Enhanced KYC should also be performed for clients or whose source of wealth originate from countries rated as AML/CFT high risk as identified by the United Nations, OECD or other relevant authorities such as the Financial Action Task Force (FATF) or other high net worth clients.

The type of business relationship or bank transactions requested by the prospective or existing client may also prompt an internal KYC review. Many Covered Entities have system-supported or regular, risk-based checks for unusual or suspicious transactions to guard against money laundering, terrorist financing and other criminal activities. These include but not limited to the following:

- Transactions that do not make economic sense or are not commensurate with the client's business or personal profile;
- Transactions involving large amounts of cash deposits and withdrawals, that are unrelated to client's business, especially if they are intraday transactions, which cancel each other with a netting effect;
- Wire transfers abroad and cash transactions without adequate explanation, especially involving unidentified beneficiaries or beneficiaries without any business or close relationship with the client; and
- Investment related transactions such as the buying and selling of a single security with no apparent investment purpose.

In summary, KYC profiling questions are used to determine the identity of a client, plausible explanations for the source of client's funds and wealth, intended business relationship and systematic review of unusual or suspicious transactions. Through a robust KYC process, Covered Entities would be able to detect undesirable client relationships.

Comprehensive information gathered about prospective and existing clients helps Covered Persons and Covered Entities combat money laundering of criminal sources

of funds, terrorist financing activities, legal violations and other abuses of the banking system, which in turn will prevent potential financial and reputational loss and preserve the integrity of the financial system.

“Check-the-box” Versus a Holistic Approach to Performing KYC

Covered Entities need to use a risk-based approach to determine the type, degree of detail and quantity of information that has to be collected before a prospective client is accepted.

Whether information or documents is obtained by a Covered Entity from its customers directly or indirectly (e.g. sourced from a third party or the internet), it should take reasonable steps to ensure that such information or documents are reliable and reasonably up-to-date.

With international standards of AML/CFT, organized criminals and professional money launderers may over time, be familiar with a Covered Entity’s internal AML / CFT Compliance policies, guidelines and related risk management procedures, and hence, find many ways to circumvent the internal controls.

A thoughtless, mechanical, “**check-the-box**” compliance attitude by Covered Persons towards internal KYC policies, guidelines and procedures in the performance of “Client Acceptance Review” will likely fail to detect money laundering and terrorist financing activities when they appear.

The Covered Person needs to look at the various pieces of client information and documentary evidence in context, together with their perceived interconnections as one single picture, which then may reveal a more holistic impression of the client.



Tips / Key Points

Notwithstanding the existence of comprehensive checklists and processes for client data collection and evaluation of KYC evidence, it would be wise not to take a mechanical “check-the-box” approach but evaluate the information holistically with focus on the reliability of its source and independent verification.

3.3 Profiling Clients and Performing Client Needs Analysis

Failure of communication between Covered Persons and clients can have negative consequences. Proposing wealth management or investment recommendations, where mandated to do so by a client, that match the specific needs of a client depends very much on the information gathered from the client.

Incomplete or inaccurate financial and non-financial client information can easily lead to the use of incorrect assumptions or a wrong emphasis in the development of

solutions. This can result in an unreasonable basis for the recommendations and subsequent client complaints, which may damage the reputation of a Covered Entity and diminish the public's good faith and trust in the industry.

Best practices in profiling clients and performing client needs analysis require a rational, structured and systematic approach in the collection of client information. Its skilful application, however, demands sensitivity and appreciation of how clients' emotions and level of trust or confidence in the Covered Person and Covered Entity can impact the quantity and quality of information disclosed.

A Covered Person's understanding of clients' individual financial situation, wealth management needs, preferences, goals and aspirations must be a continuous process of discovery because changing life circumstances and life changing experiences can, over time, transform clients' values, attitude, outlook and perspectives which, in turn, may give reason for new wealth management solutions.

3.3.1 Regulatory Requirements with Regard to Performing Client Needs Analysis

Section 27 of the FAA provides that a Covered Person acting as a "financial adviser" must have a reasonable basis for making recommendations in respect of any investment products to its customers or prospective customers. In order for there to be a "reasonable basis", the Covered Person must have considered the investment objectives, financial situation and particular needs of the person.

The MAS Notice on Recommendations on Investment Products (MAS Notice No. FAA-N01) sets out the information which should be collected by a Covered Person so that he is able to make a reasonable recommendation.

For purposes of Section 27, a Covered Person should then analyse the collected information from the customer and identify a product that is suitable for the customer. The basis on which the recommendation is made must be documented, and the Covered Person should explain to the customer the basis for the recommendation. If a Covered Person is unable to identify a suitable investment product for the customer, he must inform the customer.

When a customer chooses not to accept the Covered Person's recommendation or not to receive any recommendation from the Covered Person at all, the Covered Person should document this material fact before proceeding to purchase or sell the investment product chosen by the customer himself. A Covered Person should also document the decision of the customer who did not agree to provide the information requested by the Covered Person.

Although a Covered Person is exempted from the scope of section 27 of the FAA and MAS Notice on Recommendations on Investment Products when providing financial advisory services to accredited investors, institutional investors and overseas

investors,³ he is expected to observe requirements pertaining to these issues under the Code. The Code requires a Covered Person to:

- Take into account a client's profile when recommending products to the client;
- Have a reasonable basis for recommending a particular product, in particular, the relevant features and risk-reward characteristics of the product should generally be consistent with the client's profile;
- Explain to the client any inconsistencies in the risk-reward characteristics between the product recommended and the client's profile; and
- Maintain appropriate records to provide evidence of the client's instructions for relevant transactions.

In addition, a Covered Person and its Covered Entity are strongly encouraged to observe the requirements in Fair Dealing Outcome Two in the MAS Guidelines on Fair Dealing (Guideline No. FAA-G11) which provides that a Covered Entity should undertake formal due diligence on any investment product it intends to distribute in order to assess and fully understand the features and risk-reward characteristics of the product and identify customer segments for which the product is suitable or not suitable.

The Covered Entity should then tailor its marketing approach to the profiles, financial objectives and general financial literacy of its target customer segments.

3.3.2 A Rational, Structured and Systematic Approach

This understanding of clients is not achieved overnight or from just one or two client meetings. The vast amount and variety of financial and non-financial client information, which can be collected by a Covered Person about each client in a long-term relationship, can be quite overwhelming and time-consuming.

The actual collection of relevant, wide-ranging information also requires proper planning by Covered Persons in order that their client meetings are spent efficiently for this purpose. It cannot be expected that prospective or existing clients will automatically volunteer comprehensive, private and confidential information about their businesses, personal and family wealth, the linkages between their businesses and private wealth, their current or future needs and goals without active questioning.

Probing for such information opportunistically or in a haphazard manner lacks focus and may unintentionally allow the dynamics of client conversations to side-track a Covered Person from obtaining the needed information. It is therefore prudent for Covered Persons to communicate with clients, in advance, their intention and rationale for focusing particular client meetings on performing client needs analysis.

³ Refer to Part 4.4.1 of the Study Guide for a more detailed discussion of such exemption.

To make good sense of the information, it may be helpful for Covered Persons to use a well-structured framework for categorizing such client data logically and to employ a systematic process to purposefully collect and connect the data for needs analysis. Most Covered Entities have at least one and some have possibly several in-house questionnaires to aid their Covered Persons to perform client needs analysis.

Investment questionnaires are typically used to determine whether or not a client is an “Expert Investor”, “Accredited Investor” or “Institutional Investor” or a HNWI, which could affect the marketing of certain investment products to the client, and also to ensure compliance with the FAA in regard to having a reasonable basis for making specific financial product investment recommendations.

Other in-house questionnaires could be designed to obtain relevant client information regarding personal or family wealth planning needs and for client suitability analysis of using specific insurance products.

3.3.3 Collection of Client’s Financial and Non-Financial Information

The figure below illustrates the type of information to be collected from clients to facilitate the assessment of needs and the recommendation of appropriate wealth solutions.

Exhibit 3.2 Collection of Client Data



Non-Financial Personal / Family Information

It should be noted that there are many purposes in gathering non-financial personal / family information. The information is useful not only for KYC purposes but for establishing a client's wealth planning needs and priorities. Some objectives are itemized below:

- Proper identification of individual beneficial owner(s) and account holder(s) for the purpose of treating them as clearly non-communal or segregated assets of individual family members;
- Segmentation of primary and secondary client relationships within the family to determine who are the principal leaders or key decision makers of the family;
- Appreciation of evolving individual / family values and social behaviour shaping the hierarchy and various personal relationships of family members for the purpose of supporting family wealth succession and continuity;
- Impact of education, occupation, marriage status, stage in lifecycle and lifestyle interests on individual family members and their potentially diverse wealth management focus; and
- Current and anticipated changes to nationality, legal domicile and residence of individual family members which may have an impact on both individual and the family's tax optimization strategies.

Such non-financial information typically have significant bearing on how a Covered Person reviews the complex issues of asset ownership and control, the balance between wealth preservation, wealth accumulation and wealth succession, family governance, potential legal and tax liability management, etc. The information can also help the Covered Person to establish a healthy, long-term client relationship.

Data on Personal / Family Financial Situation

Personal financial data assists a Covered Person to develop holistic wealth solutions and recommend investment products (where mandated to do so) for the client. Useful client information would include the client's individual and his family's:

- Assets and liabilities (both private as well as business assets and liabilities at other financial institutions, and especially how business liabilities and exposures may or may not be connected to the private assets and liabilities);
- Income and tax liabilities;
- Cash flow and cash flow requirements;
- Fixed and variable annual expenses;
- Insurance plans, coverage or portfolio(s) of insurance policies; and
- Estate planning structures.

The quantity and quality of available information on a client's financial situation can influence how a Covered Person can develop and deliver custom-built "Wealth

Management” solutions (where mandated to do so) and to conduct meaningful client reviews at a later date.

It is necessary for a Covered Person to have on-going communication with his clients regarding the latter’s personal and family wealth needs, goals and aspirations to determine any change in priorities and purposes of the business relationship. The client may have needs for:

- New estate planning or business succession strategies;
- A refreshed investment plan;
- Tax advice;
- Retirement planning; and/or
- Advice on use of his or the family’s inheritance.

Each of the client’s wishes and financial needs can potentially be resolved separately but learning more about them and seeing how they could be connected may help the Covered Person to come up with a holistic wealth management strategy that has potential synergies, cost efficiency and ease of implementation.

Data on Personal/Family Wealth Management Risk Profile

Risk information would enable Covered Persons to recommend (where mandated to do so) suitable products with the appropriate risk-reward characteristics and exclude products which are not suitable to the client. Useful information includes the client’s:

- Overall risk appetite;
- Financial ability for taking risk;
- Investor profile;
- Individual portfolio risk profile (i.e. different risk tolerance related to different investment needs and goals as illustrated in the above paragraph);
- Risk-taking approach and risk tolerance for own private investment assets versus the growth of own business enterprises;
- Risk aversion towards certain products; and
- Views on absolute versus relative return strategies.

As mentioned earlier, where a Covered Entity is mandated to provide advice to a client, evidence of a reasonable basis for making investment or product recommendations is required.

Well documented wealth management risk profile information about a client helps to address questions about client investment and product suitability, determining suitable recommendations of strategic and tactical asset allocation, and ascertaining the level of the client’s exposure to financial liabilities.

Data on Knowledge and Experience of Investment and Finance

Comprehensive data regarding the client's knowledge and experience with investment and finance can assist Covered Persons to disclose the appropriate amount and disclosure level of information. For example:

- A client's knowledge of and exposure to the financial industry, different asset classes and investment strategies, various financial market instruments and how they are transacted can help Covered Persons to determine product suitability for the client; and
- A client's appreciation of the finance principles, typical terminology applied to investment and financing solutions can affect the level of plain English to be used by Covered Persons in their dialogues with the client on wealth management issues, investment objectives, and liquidity needs.

Greater care would be required of Covered Persons in communicating product information to less knowledgeable and inexperienced investors.

Data on Personal / Family's Service Preferences and Expectations

This information may assist the Covered Person to structure the client relationship. Important elements include the:

- manner in which the client would be contacted (e.g. face-to-face meetings or emails);
- client's interest and desire to be involved in investment decisions;
- frequency of investment portfolio reviews (where mandated to do so); and
- client's preferred purpose, agenda and scope of scheduled meetings (e.g. to settle routine administrative matters between the Covered Person and client's legal and tax advisors, to discuss wealth management solutions or active trading opportunities).

3.3.4 Client's Needs and Priorities for Wealth Management

Analysis of a client's wealth management needs and priorities allows the Covered Person to structure an optimal balance between "Wealth Preservation", "Wealth Accumulation" and "Wealth Succession" for each client. The needs and priorities of a client for each of these areas of wealth management would take into consideration many factors, including the client's:

- Financial situation;
- Non-financial situation;
- Risk profile;
- Knowledge and experience of investment and finance; and
- Service preferences and expectations.

3.3.5 Building Trust and Confidence

Skilful profiling of a client and the ability to analyse the client's needs require sensitivity and appreciation of a client's emotions. The level of trust a client has in the Covered Person and Covered Entity will impact on the quantity and quality of information that can be obtained.

From the client's perspective, some of the probing questions may be very sensitive because they involve disclosure of private and confidential personal information. To pre-empt any potential concern and awkwardness, Covered Persons should explain clearly about the intention and purpose of collecting personal data, including details of wealth, the individual client's financial situation, unique needs, goals and aspirations.

For an existing client, it is equally important to obtain regular updates on any changes in the client's life circumstances, profession or businesses and family events which may provide insights into the client's values, attitudes, perspectives, social behaviour, etc.

Soft skills needed to build trust and confidence can be developed. What is more important is the Covered Person's personal attitude towards the client and his motivation for building and enhancing client relationships. A sincere interest in improving a client's financial well-being and genuine rapport with the client would be very helpful.

The process of client profiling and performing clients' needs analysis is a continuous process and the scope may involve working with other family members of the client.



Tips / Key Points

Profiling a client for the purpose of obtaining data to perform client's wealth management needs analysis (where mandated to do so) requires the client's trust and confidence in the Covered Person and Covered Entity.

Private and confidential, non-financial and financial information about a client's business enterprises/profession, financial assets and liabilities, liquidity needs, wealth management knowledge, experience, needs, goals, priorities, aspirations, preferences and expectations – should be gathered thoroughly.

Data collection is best performed systematically with a rational, structured framework categorizing clients' financial and non-financial information logically and comprehensively in order not to omit important data from the process. A bespoke "Wealth Management" solution cannot be properly developed with inaccurate or incomplete assumptions.

3.4 Chapter Summary

This chapter has highlighted the importance of the KYC process and the important considerations in the undertaking of Customer Due Diligence. A Covered Person must constantly be vigilant in being able to identify any potential money laundering activities and/or suspicious transactions. Once identified, all such activity must be reported to the Covered Entity's Compliance Officer.

Client profiling is carried out using a rational, structured and risk-based approach. The process facilitates the collection of a client's financial as well as non-financial information, which then allows the Covered Person to analyse the gathered information to fully understand the client's needs and priorities for wealth management in accordance with the client mandate. Lastly, the important aspects of building a client's trust and confidence should be considered.

Appendices

Appendix 3.1: Information Required to Identify and to Verify Customers

Identification of Customers who are Natural Persons [Paragraph 4.4 of the Notice⁴]

A bank must obtain and record information of a customer, including but not limited to the following:

- Full name, including any aliases;
- Unique identification number (such as an identity card number, birth certificate number or passport number, or where the customer is not a natural person, the incorporation number or business registration number);
- Existing residential address, registered or business address (as may be appropriate) and contact telephone number(s);
- Date of birth, incorporation or registration (as may be appropriate); and
- Nationality or place of incorporation or registration (as may be appropriate)

Identification of Customers who are Not Natural Persons [Paragraphs 4.5 to 4.7 of the Notice*]

Where the customer is:

- A company, the directors should also be identified;
- A partnership or limited liability partnership, the partners should also be identified; and/or
- A body corporate or unincorporate, the persons having executive authority in that body should also be identified.

Verification of Identity [Paragraphs 4.8 and 4.9 of the Notice*]

Customers' identities should be verified using reliable, independent sources and copies of all reference documents used for this verification should be retained.

⁴ MAS Notice on Prevention of Money Laundering and Countering the Financing of Terrorism – Banks (MAS Notice 626).

Identification and Verification of Identity of Natural Persons Appointed to Act on Customer's Behalf [Paragraphs 4.10 to 4.13 of the Notice*]

Where the customer appoints one or more natural persons to act on his behalf in establishing business relations with a bank or the customer is not a natural person, the bank shall:

- Identify the natural persons that act or are appointed to act on behalf of the customer;
- Verify the identity of these persons using reliable, independent sources; and
- Retain copies of all reference documents used to verify the identity of these persons.

A bank shall verify the due authority of such persons to act on behalf of the customer by obtaining, including but not limited to the following:

- The appropriate documentary evidence that the customer has appointed the persons to act on its behalf; and
- The specimen signatures of the persons appointed.

Where the customer is a Singapore government entity, the bank shall only be required to obtain such information as may be required to confirm that the customer is a Singapore government entity as asserted.

Appendix 3.2: Examples of Suspicious Transactions (MAS Guidelines on Prevention of Money Laundering and Countering the Financing of Terrorism)

General Comments

The list of situations given below is intended to highlight the basic ways in which money may be laundered. While each individual situation may not be sufficient to suggest that money laundering is taking place, a combination of such situations may be indicative of a suspicious transaction.

The list is not exhaustive and will require constant updating and adaptation to changing circumstances and new methods of laundering money. The list is intended solely as an aid, and must not be applied as a routine instrument in place of common sense.

A customer's declarations regarding the background of such transactions should be checked for plausibility. Not every explanation offered by the customer can be accepted without scrutiny. It is reasonable to suspect any customer who is reluctant to provide normal information and documents required routinely by the bank in the course of the business relationship.

Covered Persons should pay attention to customers who provide minimal, false or misleading information or, when applying to open an account, provide information that is difficult or expensive for the Covered Person to verify.

Transactions Which Do Not Make Economic Sense

- A customer-relationship with the Covered Person where a customer has a large number of accounts with the same Covered Entity, and has frequent transfers between different accounts or exaggeratedly high liquidity.
- Transactions in which assets are withdrawn immediately after being deposited, unless the customer's business activities furnish a plausible reason for immediate withdrawal.
- Transactions that cannot be reconciled with the usual activities of the customer, for example, the use of Letters of Credit and other methods of trade finance to move money between countries where such trade is not consistent with the customer's usual business.
- Transactions which, without plausible reason, result in the intensive use of what was previously a relatively inactive account, such as a customer's account which shows virtually no normal personal or business related activities but is used to receive or disburse unusually large sums which have no obvious purpose or relationship to the customer and/or his business.
- Provision of bank guarantees or indemnities as collateral for loans between third parties that are not in conformity with market conditions.
- Unexpected repayment of an overdue credit without any plausible explanation.
- Back-to-back loans without any identifiable and legally admissible purpose.
- Cash deposited at one location is withdrawn at another location almost immediately.

Transactions Involving Large Amounts of Cash

- Exchanging an unusually large amount of small-denominated notes for those of higher denomination.
- Purchasing or selling of foreign currencies in substantial amounts by cash settlement despite the customer having an account with the Covered Entity.
- Frequent withdrawal of large amounts by means of cheques, including traveller's cheques.
- Frequent withdrawal of large cash amounts that do not appear to be justified by the customer's business activity.

- Large cash withdrawals from a previously dormant/inactive account, or from an account which has just received an unexpected large credit from abroad.
- Company transactions, both deposits and withdrawals, that are denominated by unusually large amounts of cash, rather than by way of debits and credits normally associated with the normal commercial operations of the company, e.g. cheques, letters of credit, bills of exchange, etc.
- Depositing cash by means of numerous credit slips by a customer such that the amount of each deposit is not substantial, but the total of which is substantial.
- The deposit of unusually large amounts of cash by a customer to cover requests for bankers' drafts, money transfers or other negotiable and readily marketable money instruments.
- Customers whose deposits contain counterfeit notes or forged instruments.
- Large cash deposits using night safe facilities, thereby avoiding direct contact with the bank.
- Customers making large and frequent cash deposits but cheques drawn on the accounts are mostly to individuals and firms not normally associated with their business.
- Customers who together, and simultaneously, use separate tellers to conduct large cash transactions or foreign exchange transactions.
- A large amount of cash is withdrawn and immediately deposited into another account.

Transactions Involving Bank Accounts

- Matching of payments out with credits paid in by cash on the same or previous day.
- Paying in large third party cheques endorsed in favour of the customer.
- Substantial increases in deposits of cash or negotiable instruments by a professional firm or company, using client accounts or in-house company or trust accounts, especially if the deposits are promptly transferred between other client company and trust accounts.
- High velocity of funds through an account, i.e., low beginning and ending daily balances, which do not reflect the large volume of funds flowing through an account.
- Multiple depositors using a single bank account.

- An account opened in the name of a moneychanger that receives structured deposits.
- An account operated in the name of an offshore company with structured movement of funds.
- Frequent deposits of a company's cheques into an employee's account.
- Transfers of funds from a company's account to an employee's account and vice-versa.

Transactions Involving Transfers Abroad

- Transfer of a large amount of money abroad by a person who does not maintain an account with the Covered Entity and who fails to provide a legitimate reason when asked.
- A customer who appears to have accounts with several banks in the same locality, especially when the Covered Entity is aware of a regular consolidated process from such accounts prior to a request for onward transmission of the funds elsewhere.
- Repeated transfers of large amounts of money abroad accompanied by the instruction to pay the beneficiary in cash.
- Large and regular payments that cannot be clearly identified as bona fide transactions, from and to countries associated with (i) the production, processing or marketing of narcotics or other illegal drugs or (ii) other criminal conduct.
- Substantial increase in cash deposits by a customer without apparent cause, especially if such deposits are subsequently transferred within a short period out of the account and/or to a destination not normally associated with the customer.
- Building up large balances, not consistent with the known turnover of the customer's business, and subsequent transfer to account(s) held overseas.
- Cash payments remitted to a single account by a large number of different persons without an adequate explanation.
- "U-turn" transactions. i.e. where funds received from a person or company in a foreign jurisdiction are immediately remitted to another person or company in the same foreign jurisdiction, or to the sender's account in another jurisdiction.

Investment Related Transactions

- Purchasing of securities to be held by the bank in safe custody, where this does not appear appropriate given the customer's apparent standing.
- Requests by a customer for investment management services where the source of funds is unclear or not consistent with the customer's apparent standing.
- Larger or unusual settlements of securities transactions in cash form.
- Buying and selling of a security with no discernible purpose or in circumstances which appear unusual.
- Large transfers of securities to non-related accounts.

Transactions Involving Unidentified Parties

- Provision of collateral by way of pledge or guarantee without any discernible plausible reason by third parties unknown to the Covered Entity and who have no identifiable close relationship with the customer.
- Transfer of money to another Covered Entity without indication of the beneficiary.
- Payment orders with inaccurate information concerning the person placing the orders.
- Use of pseudonyms or numbered accounts for effecting commercial transactions by enterprises active in trade and industry.
- Holding in trust of shares in an unlisted company whose activities cannot be ascertained by the Covered Entity.
- Customers who wish to maintain a number of trustee or clients' accounts that do not appear consistent with their type of business, including transactions that involve nominee names.

Other Types of Transactions

- Purchase or sale of large amounts of precious metals by an interim customer.
- Purchase of bank cheques on a large scale by an interim customer.
- Extensive or increased use of safe deposit facilities that do not appear to be justified by the customer's personal or business activities.
- Account activity is not commensurate with the customer's known profile (e.g. age, occupation, income).

- Transactions with countries or entities that are reported to be associated with terrorist activities or with persons that have been designated as terrorists.
- Frequent changes to the address or authorised signatories.
- A large amount of funds is received and immediately used as collateral for banking facilities.
- When a young person (aged about 17-26) opens an account and either withdraws or transfers the funds within a short period, which could be indication of terrorist financing.
- When a person receives funds from a religious or charitable organisation and utilises the funds for purchase of assets or transfers out the funds within a relatively short period

Chapter 4:

Develop Solutions and Advise Client

Objective

The candidate should be able to:

- ✓ Appreciate the aspects involved in developing solutions for clients, as well as in advising the client and in making recommendations, each in accordance with the client mandate (if any)
- ✓ Understand the obligations applicable to Covered Persons when providing financial advisory services in respect to investment products or designated investment products, and the respective exemptions available
- ✓ Identify the situations when a Covered Person is required to provide risk disclosure statements to customers and to obtain signed and dated acknowledgements of these risk disclosure statements
- ✓ Appreciate the requirements relating to the conduct of securities borrowing and lending
- ✓ Understand the need for the disclosure of interests to avoid conflicts in serving clients

4.1 Introduction

This chapter begins by examining the process of developing solutions for clients, followed by the various considerations when giving advice and when making recommendations, where mandated to do so. The various regulatory aspects that a Covered Person will need to be aware of in relation to developing such solutions and making such recommendations are also discussed.

Exhibit 4.1 Essential Roles of a Covered Person



4.2 Developing Solutions for Client

There are many best practices in the provision of wealth management solutions and product recommendations. Nevertheless, these practices rest on the successful execution of prior activities of the wealth management process – client profiling and clients’ needs analysis described in Chapter 3. Communication with clients must be undertaken effectively in the earlier steps so as to ensure solutions are suitable.

The recommendation of an optimal wealth management solution that matches the specific needs and requirements of a client very much depends on the information, which a Covered Person is able to gather from the client.

Incomplete or inaccurate financial and non-financial client information, profiling of investment risk tolerance, wealth management knowledge and experience can easily lead to the use of incorrect assumptions or a wrong emphasis in the development of bespoke wealth management solutions.

Assuming that the client profiling and wealth management needs analysis were performed well, the Covered Person should next consider the following in developing solutions or product recommendations – the extent of any such activity would depend on the mandate which the Covered Entity has signed with the client:

- Determine the various strategies suitable for the individual client;
- Evaluate the regulatory restrictions on and issues pertaining to the identified solutions;

- Understand the applicability of identified solutions or products to client;
- Understand the risk characteristics of identified solutions and products;
- Evaluate the relative suitability of identified solutions or products;
- Evaluate the variables (economic, market, etc.) which can affect the results;
- Determine relevant performance measures and indicators for client; and
- Understand the disclosure obligations, e.g. fees and charges, client's rights, etc.

For complex cases and extensive mandates, the Covered Person may wish to consult relevant Products and Services Consultants (e.g. Investment Portfolio Managers, Market Research Analysts, Wealth Planners, Corporate Advisory Specialists, Treasury Product Specialists, Trust Administrators, etc.) to formulate optimal wealth management strategies with suitable product recommendations that matches the client's specific needs and requirements.

4.3 Advising Client on Solutions and Making Recommendations (where mandated to do so)

When mandated to provide advice to a client, one wealth management solution should be presented as the preferred recommendation while a second or third be positioned as alternative proposals for the client to choose from.

The strategy, solutions and product recommendations are best presented in a transparent and easy to understand manner using minimal financial jargons, acronyms and exotic financial terms to ensure that the client clearly understands the risk and benefits.

If there is a need to use sophisticated financial concepts with technical terminology, then a lexicon or financial glossary should be appended to the presentation material, so as to ensure that full and relevant disclosures are made to the client.

The Covered Person should focus on providing the client with wealth management advice in accordance with the mandate and not use the client meeting as a product pushing opportunity. The client should also be made to understand that the recommended solutions and product offerings have been put together to fit the client's specific needs and objectives.

For clients with special requirements (such as religious, cash management or tax-related needs), these should be linked to the recommendations. Recommendations should preferably be explained in terms of their relevance to, for example, the current economic, political, social, regulatory, financial and technological environment.

Emphasis is to be made on client's comprehension of the proposed solution's risks and benefits, and the importance of not simply trusting the Covered Person or the good reputation of the Covered Entity.

The Covered Person should provide the client with sufficient information for the client to make an informed decision. If experts are required to answer the client's more complex questions and issues, then they should be involved in the client advisory process.

A Covered Person and his Covered Entity are strongly encouraged to observe the requirements in Fair Dealing Outcome Two in the MAS Guidelines on Fair Dealing (Guideline No. FAA-G11) which provides that a Covered Entity should undertake formal due diligence on any investment product it intends to distribute in order to assess and fully understand the features and risk-reward characteristics of the product and identify customer segments for which the product is suitable or not suitable.

The Covered Entity should then tailor its marketing approach to the profiles, financial objectives and general financial literacy of its target customer segments. A Covered Person should consider the following in undertaking an advisory mandate for the client:

- The suitability analysis should be determined on a reasonable basis, taking into account of profiling information obtained earlier from the client such as client's risk tolerance, financial situation, investment priorities and personal circumstances;
- The wealth management advice and investment recommendations are explained with an analysis of the risks, costs, benefits, and why they are suitable for the individual client;
- Any communication with the client that would involve market misconduct, such as unauthorized transfer of inside information and perceived or actual insider trading, front-running or parallel running activities must be avoided;
- Information provided to the client must never be false or misleading and any warnings, disclaimers should be drawn to the attention of the client;
- Professional conduct also means that a Covered Person should not unduly influence, or coerce any client to enter any transaction;
- The client should be provided applicable key terms, including fees and charges related to a specific transaction; and
- If any legal documentation is involved, these should also be disclosed and explained clearly to the client and the client may be advised to seek the professional opinion of lawyers, tax accountants, insurance agents, etc.

4.4 Regulations on the Development of Wealth Management Solutions and Product Recommendations (where mandated to do so)

4.4.1 Obligations on Making Recommendations and Disclosure

The Financial Advisers Act (“FAA”), Financial Advisers Regulations (“FAR”) (regulations issued under the FAA) and the MAS Notices issued under the FAA require, unless an exemption applies, a Covered Person of a Covered Entity to observe a number of obligations when providing financial advisory services in respect of an investment product or designated investment product (please refer to the Appendix for definitions of “Investment Products” or “Designated Investment Products”).

The specific provisions require the Covered Person to:

- Disclose all material information relating to a designated investment product when making a recommendation of the designated investment product to a client (section 25(1) of the FAA);
- Prohibition against making false or misleading statement relating to the amount payable in respect of an investment product or the effect of a contract in respect of an investment product (section 26(1) of the FAA);
- Ensure it does not omit matter that is material to a statement relating to the amount payable in respect of an investment product or the effect of a contract in respect of an investment product (section 26(2) of the FAA);
- Make any recommendation with respect to an investment product on a reasonable basis (section 27 of the FAA);
- Comply with certain disclosure requirements with regard to a contract of life insurance and forms submitted to an insurer in relation to the contract of life insurance (section 34 of the FAA);
- Disclose interests that the Covered Person or the Covered Entity has in securities recommended by the Covered Person or the Covered Entity in a circular or written communication (section 36 of the FAA);
- Comply with the requirements pertaining to disclosure of information to the client on designated investment products, including but not limited to information relation to general information about the status of the representative, remuneration of the Covered Entity, conflicts of interest, marketing materials, etc. (MAS Notice on Information to Clients and Product Information Disclosure (FAA – N03) and MAS Practice Note on the Disclosure of Remuneration by Financial Advisers (FAA – PN01) which provides further guidance on disclosure requirements on remuneration of the Covered Entity);

- Comply with the requirements pertaining to recommendations on investment products to the client (MAS Notice on Recommendations on Investment Products (FAA – N01));
- Comply with additional disclosure requirements when providing any financial advisory services to a client concerning a "Dual Currency Investment" (i.e. a deposit that is accepted in one currency and which may be repayable in another currency) (MAS Notice on Dual Currency Investments (FAA – N11));
- Comply with the requirements pertaining to advising on a "Structured Deposit". Generally, the requirements set out in these Guidelines relate to product information disclosure, recommendations on structured deposits, training and competency requirements of representatives providing financial advisory services in relation to structured deposits and segregation of activities in relation to the marketing and advisory process for structure deposit from those related to traditional fixed deposits (MAS Guidelines on Structured Deposits (FAA – G09)); and
- Comply with the MAS Guidelines on Fair Dealing – Board and Senior Management Responsibilities for Delivering Fair Dealing Outcomes to Customers (FAA – G11). These MAS Guidelines focus on the responsibilities of the Board and Senior Management of financial institutions for delivering fair dealing outcomes to customers. The Board oversees Senior Management in implementing the corporate policy and strategy approved by the Board. The Board and Senior Management are accountable for setting the culture and direction of the financial institution to align business practices with the fair dealing outcomes.

The above regulatory requirements have been written with retail customers and investment products in mind. Some examples of situations where exemptions apply are given below.

In addition, where Covered Entities or their units operate under the MAS Guidelines on Exemption for Specialised Units Serving HNWI's under Section 100(2) of the Financial Advisers Act (FAA-G07), they may be exempt from the foregoing requirements. Covered Persons should consult their legal and compliance department on the availability of this exemption, and the specific coverage of this exemption.

However, Covered Entities are nonetheless expected to abide by the standards governing client relationship management within the Private Banking in Singapore – Code of Conduct.

Exemptions When Advising Accredited / Institutional / Overseas Investors

A Covered Person may be exempted from complying with some of the above requirements set out in the FAA, FAR and the MAS Notices issued under the FAA when he is dealing with a client who is classified as an:

- Accredited investor;
- Institutional investor; or
- Overseas investor.

Please refer to the Appendix for the definitions of these categories of investors and on the exemptions available to a Covered Person when he is providing financial advisory services to these investors.

Exemptions for Units in Covered Entities Serving High Net Worth Individuals (HNWIs)

Covered Entities or divisions of Covered Entities have or may be “units” which have been approved under the MAS Guidelines on Exemption for Specialised Units Serving HNWIs under Section 100(2) of the Financial Advisers Act (FAA – G07). Such Covered Entities or the relevant “unit” serving HNWIs would be exempt from the various regulatory requirements specified above relating to the advisory process.

Covered Persons should consult their legal and compliance department on the availability of this exemption, and the specific coverage of this exemption.

Other Exemptions

Apart from the exemptions discussed above, there are other provisions in the FAA and its regulations which could exempt a Covered Person from complying with the specific obligations under the FAA.

Covered Persons should consult their legal and compliance department as to the exemptions that they may rely on in advising a client and the classification of an investor for the purpose of the application of these exemptions.

4.4.2 Risk Disclosure Statements for Client Opening Futures Trading, Leveraged Foreign Exchange Trading or Fund Management Accounts

If a Covered Person provides capital markets services to a client in respect of:

- “Trading in futures contracts”;
- “Carrying out leveraged foreign exchange trading”; or
- “Fund management”,

the Covered Person must before opening the futures trading account or leveraged exchange trading account or when he is soliciting or entering into an agreement with a prospective customer for the purpose of managing the customer’s futures trading account or foreign exchange trading account or guiding the customer’s futures trading account or foreign exchange trading account:

- Provide the customer with a separate written risk disclosure document in the form prescribed under the SFR (L&C); and

- Obtain a signed and dated acknowledgement from the customer that he has received and understood the nature and contents of the risk disclosure document.

A Covered Person who breaches the above requirement is guilty of an offence punishable with fine and/or imprisonment (Regulation 47E of the SFR (L&C)).

4.4.3 Securities Borrowing and Lending

If in the ordinary course of business of providing capital markets services to a client, a Covered Entity borrows or lends “securities” (please refer to the Appendix for the definition of “securities”), the Covered Entity is required to ensure that a written agreement setting out the terms and conditions of the borrowing or lending (as the case may be) is entered into with the lender or borrower or their duly authorised agent (as the case may be).

The written agreement must contain the particulars prescribed in Regulation 45 of the SFR (L&C). The securities borrowing and lending transactions must be fully collateralised. The acceptable forms of collateral are prescribed in Regulation 45(9) of the SFR (L&C).

However, when a Covered Entity borrows securities from a person who is an accredited investor (please refer to the Appendix for the definition of “accredited investor”), it is not required to provide collateral to the accredited investor. When the “securities” being lent by a Covered Entity belong to its customer, Covered Person acting on behalf of the Covered Entity must:

- Explain the risks involved in the transaction to the customer (unless the customer is an “accredited investor”);
- Obtain the customer’s (including an accredited investor) written consent to the lending; and
- Before the commencement of such lending:
 - Enter into a written agreement with the customer setting out the terms for the lending; or
 - If the Covered Entity arranges with a custodian to lend the customer’s securities, enter into an agreement with the custodian to set out the terms for the lending and disclose these terms to the customer (Regulation 33 of the SFR (L&C)).

4.4.4 Disclosure of Interests in Securities

A Covered Person of a Covered Entity who engages in “fund management” or “dealing in securities” is required to disclose his interests or any changes in such interests in securities (please refer to the Appendix on the definition of “securities”) which are listed on the SGX-ST or a recognised market operator⁵.

His interests in these securities are recorded in a register of securities maintained by the Covered Person. A breach of this requirement is an offence punishable with fine (Section 131 of the SFA).

4.5 Chapter Summary

A Covered Person should know the important aspects involved in the process of developing wealth management solutions where mandated to do so. The Covered Person must also understand the duties and obligations when rendering financial advisory services in accordance with the client’s mandate (if any).

Some scenarios where there may be exemptions from these duties and obligations are mentioned in this chapter. This chapter also highlights the requirements relating to securities borrowing and lending. Lastly, there is a requirement to disclose interest in securities to avoid conflicts.

⁵ The recognised market operators under the SFA are Chicago Mercantile Exchange Inc.; Euronext Paris S.A.; LIFFE Administration and Management; New York Mercantile Exchange Inc.; ICE Futures Europe (formerly known as “ICE Futures”); Eurex Deutschland; Board of Trade of the City of Chicago, Inc.; Australian Securities Exchange Limited (formerly known as “Sydney Futures Exchange Limited”); Australian Stock Exchange Limited; Dubai Gold and Commodities Exchange DMCC; London Metal Exchange Limited; Dubai Mercantile Exchange Limited; ICE Futures U.S., Inc.; Tokyo Financial Exchange, Inc.; Chi-East Pte Ltd and Cleartrade Exchange Pte Limited.

Appendices

Appendix 4.1: Glossary of Defined Terms

Terms	Definition
Accredited investor	Defined in section 4A(1)(a) of the SFA as: ▪ An individual whose: – Net personal assets exceed in value S\$2 million (or its equivalent in a foreign currency); or – Income in the preceding 12 months is not less than S\$300,000 (or its equivalent in a foreign currency); ▪ A corporation with net assets exceeding S\$10 million in value (or its equivalent in a foreign currency), as determined by: – The most recent audited balance-sheet of the corporation; or – Where the corporation is not required to prepare audited accounts regularly, a balance-sheet of the corporation certified by the corporation as giving a true and fair view of the state of affairs of the corporation as of the date of the balance-sheet, which date shall be within the preceding 12 months; ▪ A trustee of a trust of which all property and rights of any kind whatsoever held on trust for the beneficiaries of the trust exceed S\$10 million in value (or its equivalent in foreign currency); ▪ An entity (other than a corporation) with net assets exceeding S\$10 million in value (or its equivalent in a foreign currency); ▪ A partnership (other than a limited liability partnership within the meaning of the Limited Liability Partnerships Act (Cap. 163A)) in which each partner is an accredited investor; or ▪ A corporation, the sole business of which is to hold investments and the entire share capital of which is owned by one or more persons, each of whom is an accredited investor.
Institutional investors	Defined in section 4A(1)(c) of the SFA as: ▪ Banks licensed under the Banking Act; ▪ Merchant banks approved as financial institutions under

Terms	Definition
	Section 28 of the Monetary Authority of Singapore Act; ▪ Finance companies licensed under the Finance Companies Act; ▪ Companies or societies registered under the Insurance Act as insurers; ▪ Trust companies licensed under the Trust Companies Act; ▪ The Singapore government; ▪ Statutory bodies established under any Act; ▪ CMSL Holders under the SFA for dealing in securities, fund management, providing custodial services for securities, real estate investment trust management, securities financing or trading in futures contracts; ▪ Persons (other than individuals) who carry on the business of dealing in bonds with accredited investors or expert investors; ▪ Pension funds or collective investment schemes; ▪ Trustees of such trusts as the MAS may prescribe, when acting in that capacity; or ▪ Designated market-makers, ▪ Headquarters companies or Finance and Treasury Centres which carry on business involving fund management (where such business has been approved as a qualifying service in relation to those headquarters companies or finance and treasury centres under the Income Tax Act), ▪ Persons resident in Singapore who undertake fund management in Singapore on behalf of not more than 30 qualified investors; and ▪ Service Companies which carry on business as agents of a member of Lloyd's.
Investment product	Defined in section 2 of the FAA to include: ▪ Securities; ▪ Futures contracts; ▪ Contracts or arrangements for the purpose of foreign exchange trading or leveraged foreign exchange trading;

Terms	Definition
	▪ Life policy; and ▪ Structured deposit.
Designated investment product	Defined in section 25 of the FAA to include: ▪ Units in collective investment schemes; ▪ Life policies (including group life policies); and ▪ Structured deposit.
Expert investor	Defined in section 4A(1)(b) of the SFA as a person whose business involves the acquisition and disposal, or the holding, of capital markets products (i.e. any securities, futures contracts, contracts or arrangements for the purpose of foreign exchange trading or leveraged foreign exchange trading), whether as principal or agent.
Overseas investor	Defined in regulation 36 of the FAR as a person who: ▪ In the case of an individual, is not a citizen or permanent resident of Singapore, and not wholly or partly dependant on a citizen or permanent resident of Singapore; and ▪ In any other case, has no commercial or physical presence in Singapore.
Securities	Defined in section 2 of the SFA to include: ▪ Debentures or stocks issued or proposed to be issued by a government; ▪ Debentures, stocks, or shares issued or proposed to be issued by a corporation or body unincorporate; ▪ Any right, option or derivative in respect of any such debentures, stocks or shares; ▪ Any right under a contract for differences or under any other contract the purpose or pretended purpose of which is to secure a profit or avoid a loss by reference to fluctuations in: – The value or price of any debentures, stocks or shares; – The value or price of any group of such debentures, stocks or shares; or – An index of any debentures, stocks or shares; ▪ Any unit in a collective investment scheme; ▪ Any unit, or derivative of a unit, in a business trust;

Terms	Definition
	▪ Any debenture stock, bond, note and any other debt securities of a real estate investment trust (“REIT”) listed on the SGX-ST which is issued or proposed to be issued by a trustee on behalf of the REIT (the “debentures of a listed REIT”); ▪ Any right, option or derivative in respect of any such debentures of a listed REIT; or ▪ Any right under a contract for differences or under any other contract the purpose or pretended purpose of which is to secure a profit or avoid a loss by reference to fluctuations in the value or price of any such debentures of a listed REIT, any group of such debentures of a listed REIT or any index of such debentures of a listed REIT. However, it does not include: ▪ Futures contracts which are traded on a futures market; ▪ Bills of exchange; and ▪ Promissory notes.
Structured deposit	Defined in the Financial Advisers (Structured Deposits – Prescribed Investment Product and Exemption) Regulations as: ▪ A deposit under which any interest or premium is payable, or is at risk, in accordance with a formula which is based on: – The performance of any financial instrument or securities as defined in section 2(1) of the SFA; or – The occurrence of any credit event in respect of a credit derivative: ▪ To which the bank or the finance company, as the case may be, is a contracting party; or ▪ From which the bank or the finance company, as the case may be, would enjoy a benefit or incur a loss; or ▪ A dual currency investment, namely, a deposit which is accepted in one currency and which may be repayable in another currency.

Appendix 4.2: Exemptions available to Covered Persons when advising Accredited / Institutional / Overseas Investors

Section/ Notice/ Guidelines/ Practice Note/ Information Paper	Accredited Investor*	Institutional Investor	Overseas Investor*
Section 25 of the FAA	√	√	√
Section 26 of the FAA		√	√
Section 27 of the FAA	√	√	√
Section 28 of the FAA		√	√
Section 29 of the FAA		√	√
Section 34 of the FAA		√	√
Section 36 of the FAA	√	√	√
MAS Notice on Recommendations on Investment Products	√	√	√
MAS Notice on Information to Clients and Product Information Disclosure	√	√	√
Practice Note on the Disclosure of Remuneration by Financial Advisers	As this Practice Note elaborates on the requirements of the MAS Notice on Information to Clients and Product Information Disclosure, to the extent that a Covered Entity is exempt from this Notice, the Covered Entity would similarly be exempt from the requirements of the Practice Note.		
MAS Notice on Dual Currency Investments	√	√	√
MAS Guidelines on Structured Deposits	√	√	√
Information Paper on Good Practices for Licensed and Exempt Financial Advisers	The Information Paper is not intended to address business dealings with high net worth individuals, accredited investors, corporations and persons whose business involves the acquisition and disposal of or holding of securities (whether as principal or agent).		

Section/ Notice/ Guidelines/ Practice Note/ Information Paper	Accredited Investor*	Institutional Investor	Overseas Investor*
MAS Guidelines on Fair Dealing – Board and Senior Management Responsibilities for Delivering Fair Dealing Outcomes to Customers	While the Guidelines have been written with retail customers and investment products in mind, Covered Entities and Covered Persons are strongly encouraged to apply the principles in the Guidelines to other customers and products.		

* The “Accredited investor” and “Overseas investor” exemptions apply subject to a Covered Person disclosing to an investor to whom the financial advice is provided his exemption from complying with the relevant obligation under the FAA, FAR and the MAS Notices issued under the FAA.

“V” indicates that a Covered Entity as well as its Covered Persons are exempt from complying with the relevant requirement when dealing with the “Accredited/ Institutional/ Overseas investor”.

Chapter 5:

Obtain Client's Agreement and Implement Solutions

Objective

The candidate should be able to:

- ✓ Understand the need to secure a client's agreement for proposed wealth solutions
- ✓ Understand the requirements in relation to granting investors a right to cancel agreements to purchase unlisted debentures or Collective Investment Schemes (CIS)
- ✓ Understand the various prohibitions and obligations in the implementation of wealth solutions
- ✓ Understand the prohibitions in relation to trading against own customers, cross-selling, dealing with unregistered insurers and falsification of records
- ✓ Understand the obligations in relation to giving priority to client's orders, proper record keeping, non-disclosure of client's orders, proper handling of client's assets and a duty not to furnish false information to the MAS

5.1 Introduction

This chapter discusses the fourth step in the Private Banking process. It emphasizes the need to secure a client's understanding and agreement regarding any proposed wealth solution (provided in accordance with the client's mandate, if any). The Covered Person also has to implement the proposed solutions diligently.

Exhibit 5.1 Essential Roles of a Covered Person



5.2 Securing Client's Understanding and Agreement and Implementation Issues

A Covered Person should provide a client competent wealth solutions for the latter to make informed decisions, in accordance with the mandate signed with the client (if any). The client should be provided with clear, relevant and timely information. Additional disclosures may be required in cases where there is actual or potential conflict of interest, or if the Covered Person's objectivity or independence may be compromised.

The client's agreement should not be obtained based on deceptive, false or misleading statements. If forecasts about the economy, stock and bond markets are provided as part of the product recommendations, the client should be made aware that such forecasts are not necessarily indicative of the future or likely performance of the product being recommended.

A Covered Person must not unduly influence, or coerce any client to enter into any transaction and should inform the client if the client chooses solutions or products that are clearly not suitable. A Covered Person should explain any inconsistencies in the risk-reward characteristics between a product and the client's profile to enable the client to make informed decisions.

Client should also be notified of the amount, frequency of payment, and nature, of fees and charges payable under each product recommended. If a product is subject to a deferred sales load, the Covered Person shall explain this fact and disclose the

details. Contractual rights and obligations of client must be communicated as part of any agreement.

5.3 Client's Rights to Cancel Agreements

This section discusses the rights of a client to cancel transactions related to unlisted debentures and Collective Investment Schemes (CIS).

5.3.1 Unlisted Debentures

When a Covered Person sells unlisted debentures to an individual investor with the following features:

- Tenures of three months or longer; and
- Not exempted from prospectus requirements under the SFA;

A Covered Person must ensure that the unlisted debentures contain a right for the client to cancel the agreement within seven (7) calendar days from the agreement date.

This requirement and other obligations of a Covered Person in relation to the cancellation and sale of unlisted debentures are set out in the following Notices and Guidelines issued under the SFA and FAA:

- MAS Notice on Cancellation Period for Unlisted Debenture (SFA 04/13 – N02) (the “**SFA Notice**”);
- MAS Guidelines on Cancellation Period for Unlisted Debentures (SFA 13-G12); and
- MAS Notice on Cancellation Period for Unlisted Debenture (FAA – N15) (the “**FAA Notice**”).

The SFA Notice sets out the obligations of a Covered Entity and its Covered Persons in relation to the cancellation period of an unlisted debenture when they purchase or arrange for the purchase of an unlisted debenture on an investor's behalf to be held in a nominee arrangement. These obligations include:

- Providing an investor clear and prominent written notice of his right to cancel, accompanied by a form to enable the investor to effect the cancellation request. Information that must be included in such notice is prescribed;
- Specifying reasonable means by which the investor may exercise his right to cancel;

- Complying with the requirements in relation to the reimbursement of the expenses incurred by the investor, including ensuring that no penalty may be imposed on the investor for the termination of the purchase agreement; and
- Recovering only expenses incurred by the Covered Entity by reducing the amount to be repaid to the customer if such expenses are reasonably related to the purchase and cancellation and the expenses incurred have been disclosed in writing to the investor before the purchase agreement is concluded.

When a Covered Person of a Covered Entity sells an unlisted debenture to an investor, he is required to conduct due diligence to ensure the offerors of the unlisted debenture have put in place steps and processes to satisfy their obligations in relation to the cancellation of unlisted debenture by an investor which are set out above.

The FAA Notice further requires a Covered Person of a Covered Entity to disclose and explain to the investor:

- The time frame for the investor to reconsider his purchase of an unlisted debenture;
- The terms and procedures for exercising his right to cancel his purchase of the unlisted debenture; and
- That the risk of any fall in value of the unlisted debenture during the cancellation period would have to be borne by the investor.

5.3.2 Collective Investment Schemes (CIS)

The MAS Notice on Cancellation Period for Collective Investment Schemes Constituted as Unit Trusts (SFA 04/13 – N01) applies to a Covered Entity or its Covered Persons (the “**relevant CIS Covered Persons**”) who:

- Purchases or arranges for the purchase of, on behalf of an investor, units in a unit trust and through whom the investor would redeem the units so purchased; and
- Arranges for the units purchased by the investor, to be held in a nominee account or to be held by a nominee corporation or on trust.

This Notice sets out the obligations of a relevant CIS Covered Person in relation to a cancellation of purchase of units in a unit trust that is not listed on the SGX-ST, and is constituted in Singapore and authorised for retail distribution in Singapore.

Under the MAS Notice on Cancellation Period for Collective Investment Schemes Constituted as Unit Trusts, a relevant CIS Covered Person is required to:

- Give an individual investor a right to cancel an agreement to purchase units in a unit trust within seven (7) calendar days from the date the investor signs the purchase agreement, subject to certain exceptions;
- Give the investor clear and prominent written notice of his right to cancel accompanied by a form to enable the investor to effect the cancellation request. Information that must be included in such notice is prescribed;
- Specify reasonable means by which the investor may exercise his right to cancel;
- Comply with the requirements in this MAS Notice in respect of the calculation of the amount to be repaid to the investor, including not imposing a penalty on the investor for the termination of the purchase agreement;
- Recover only expenses incurred by the Covered Entity by reducing the amount to be repaid to the customer if such expense is reasonably related to the purchase and cancellation and the expense incurred have been disclosed in writing to the investor before the purchase agreement is concluded;
- Refrain from imposing a realisation charge on an investor who has submitted a valid cancellation request even if a unit trust provides for the levy of such realisation charge;
- Make clear to an investor certain prescribed information relating to the effect of choosing to redeem his units if an investor chooses to redeem his units instead of exercising his right to cancel during the cancellation period; and
- Inform an investor in writing certain prescribed information relating to the effect of choosing to switch his units if an investor chooses to switch his units to another unit trust during the cancellation period applicable to such purchase agreement.

5.4 Implementing Client Solutions and Execution of Transactions

In implementing any agreed wealth solutions for a client, it is important to ensure that transaction orders are executed promptly and at fair market prices with equitable allocations and avoidance of abuses from cross-trades.

To protect client confidentiality, disclosure of client information to providers of professional services is permissible only under specific situations, e.g. where there is contractual agreement for legal and tax consultancy.

Transaction orders should be implemented with appropriate sales surveillance and compliance monitoring tools to facilitate the identification of issues relating to sales practices and suitability that may arise. The Covered Person needs to provide the client with clear, relevant and timely updates of execution, including contract notes, if applicable. These issues are elaborated in the following sub-sections.

5.4.1 Prohibition against Withdrawing Client's Orders for Own Benefit (Regulation 47 of the SFR (L&C))

The law expressly prohibits a Covered Entity or its Covered Persons from withholding or withdrawing from the market a customer's order for the benefit of the Covered Entity, the Covered Persons or that of any other person when they are providing capital markets services relating to "dealing in securities", "trading in futures contracts" and "carrying out leveraged foreign exchange trading".

5.4.2 Prioritising Client's Interests and Avoiding Conflicts of Interests (Regulation 44 of the SFR (L&C))

A Covered Person who is providing capital markets services relating to the securities and futures trading must give priority to the client's outstanding orders over his own trades. This obligation also extends to his Covered Entity.

Regulation 44(1) of the SFR (L&C) specifically provides that the Covered Person is prohibited from entering into a transaction for his own account or on behalf of a person associated with or connected to him, if his client has given instructions to purchase or sell securities or futures contracts of the same class, and he (the Covered Person) has not yet complied with the instructions.

This requirement applies to dealing in securities or futures contracts that are traded on the securities market of a securities exchange, the futures market of a futures exchange or the futures or securities market of a recognised market operator.

A Covered Person who breaches the above requirement is guilty of an offence punishable with fine and/or imprisonment. However, a Covered Person is not required to give priority to a customer's order in the above circumstances if:

- The customer's order must be effected only on specified conditions; or
- If the transaction is entered into in accordance to the business rules or practices of the securities exchange or futures exchange through which the transaction is entered into.

5.4.3 Dealing as Principal with Client (Regulation 47B of the SFR (L&C))

When a Covered Entity enters into a trade as principal with a client in respect of any securities traded on a local or overseas securities exchange or any recognised market operator, the client must be notified in advance of the transaction that the Covered Entity is dealing as principal and not as agent. The contract note for the transaction must also state that the Covered Entity is transacting as principal and not as agent.

A failure to comply with this requirement is an offence punishable with fine and/or imprisonment. In addition, the client has a right to rescind the contract by a written notice given to the Covered Entity not later than thirty (30) days after the receipt of the contract note.

5.4.4 Prohibition of Trading against Client (Regulation 47C of the SFR (L&C))

Before a Covered Entity enters into a transaction to buy from or sell to its client any futures contract for the Covered Entity's own account (or the account of its associated or connected person or any account in which the Covered Entity has an interest), it must obtain the client's prior consent for such transaction. Further, the transaction must be executed in accordance with the business rules and practices of a futures exchange or recognised market operator.

A Covered Person who breaches the above requirement is also guilty of an offence punishable with fine and/or imprisonment.

5.4.5 Prohibition against Cross-Trading (Regulation 47D of the SFR (L&C))

A Covered Entity which provides capital markets services relating to trading in "futures contracts" is prohibited from knowingly filling or executing a customer's order for the purchase or sale of a futures contract in a futures market by off-setting against the order or orders of any other person.

A Covered Person who breaches the above requirement is guilty of an offence punishable with fine and/or imprisonment.

5.4.6 Compliance with Rules for Government Securities (Regulation 48 of the SFR (L&C))

A Covered Entity which is a CMSL Holder when dealing in Government securities must comply with the Rules and Market Practices of the Singapore Government Securities Market.

Banks and merchant banks have separate requirements applicable to their activities in the Singapore Government Securities Market.

5.4.7 Time Stamping (Regulation 39 of the SFR (L&C))

A Covered Entity which is providing capital markets services relating to “dealing in securities”, “trading in futures contracts” and “carrying out leveraged foreign exchange trading” must prepare and keep a written record of the following information in relation to a client’s order:

- Particulars of the client’s instruction in the order;
- Date and time of receipt of the order, amendment or cancellation where the order, amendment or cancellation is transmitted to a member of a securities exchange, a futures exchange, an overseas securities exchange or an overseas futures exchange, or to the trading floor of such exchange, the date and time the order, amendment or cancellation is transmitted; and
- Date and time of execution of the order or amended order (if any).

The above requirements apply to a client’s order for securities quoted on a securities exchange, an overseas securities exchange or a recognised trading system provider, futures contracts or foreign exchange in connection with leveraged foreign exchange trading.

The information must be documented as soon as practicable upon the receipt of the client’s order, of any amendment or cancellation of such an order or upon the execution of the order. For an order of securities other than those mentioned above, the Covered Entity must prepare and keep a written record of:

- Particulars of the client’s instruction in the order;
- Date of receipt of the order, amendment or cancellation; and
- Date of execution of the order or amended order (if any).

A Covered Person who breaches the above requirement is guilty of an offence punishable with fine.

5.4.8 Non-Disclosure of Client's Orders (Regulation 47(2) of the SFR (L&C))

A Covered Person of a Covered Entity is prohibited from divulging information relating to a client's order held by the Covered Entity. He is only allowed to disclose information about his client's order if the disclosure is:

- Necessary for the effective execution of the order,
- Permitted under the rules of the relevant securities exchange, futures exchange, clearing house or recognised market operator (as the case may be), or
- Required by the MAS under the SFA or SFR (L&C).

5.4.9 Issuing Contract Notes

A Covered Entity which provides capital markets services relating to "dealing in securities", "trading in futures contracts" and "carrying out leveraged foreign exchange trading" must give, in respect of each transaction, to the other party a contract note no later than the business day immediately following a sale or purchase of securities or futures contract.

The contract note must contain the information prescribed in Regulation 42(1B) of the SFR (L&C). Where any information required in a contract note can only be determined at a later date, the contract note may be given the business day following such date.

A failure to comply with the above requirement is an offence punishable with fine.

5.4.10 Handling of Client's Money and Property

A Covered Person of a Covered Entity should be aware that the Covered Entity is required to adhere with the following requirements in handling a client's money or property:

- When it receives money or other assets from or on account of the client, it must ensure that the money or property:
 - Shall be applied solely for such purpose as may be agreed to by the client;
 - Pending such application, pay or deposit the money or other assets in such manner as may be prescribed in the law; and
 - Record and maintain a separate book entry for each client in relation to that client's money or other assets (Section 104 of the SFA read with Part III of the SFR(L&C));
- A Covered Entity which provides capital markets services relating to "trading in futures contracts" must comply with the requirements for daily

computation in respect of trust accounts (moneys) and custody accounts (assets) set out in Regulation 37 of the SFR (L&C);

- A Covered Entity which provides capital markets services relating to “providing custodial services for securities” is obliged to notify the client of the terms and conditions that would apply to the safe custody of the client’s assets before providing custodial services for the client’s assets. The terms and conditions must contain the matters prescribed in the SFR (Regulation 31 of the SFR (L&C)); and
- A Covered Entity which provides financial advisory services is required to hand over a client’s money or property which is received in marketing of any collective investment schemes to the persons prescribed in the FAA within the prescribed time frame (section 28 of the FAA read with regulation 19 of the FAR).

5.4.11 Prohibition against Dealing with Unregistered Insurers (Section 33 of the FAA)

A Covered Entity or its Covered Persons who arrange a life policy should only negotiate a contract of insurance (on behalf of its client) with an insurer which is registered under the Insurance Act.

This requirement does not apply if the Covered Entity and its Covered Persons are negotiating a contract of reinsurance or are conducting a business relating to risks outside Singapore (i.e. risk which would be classified as an offshore policy as defined in the First Schedule to the Insurance Act had the risk been underwritten by a registered insurance in Singapore). A failure to comply with this requirement is an offence punishable with fine and/or imprisonment.

In addition, a Covered Entity or its Covered Persons shall not solicit insurance business for insurers which are not registered under the Insurance Act (Cap. 142), regardless of whether the Covered Entity or its Covered Persons are doing so for a business relating to Singapore risks or risks outside Singapore. A failure to comply with this requirement is an offence punishable with fine and/or imprisonment (Section 6 of the Insurance Act (Cap. 142)).

5.4.12 Record Keeping

In addition to the general record keeping requirements provided under the Banking Act, SFA or FAA which may be applicable to a Covered Entity, it is specifically required under the Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act (**CDSA**) and the MAS Notice on Prevention of Money Laundering to retain, among other things:

- Financial transaction documents relating to the opening of an account, for five (5) years after the date the account is closed;

- Financial transaction documents relating to the opening of a deposit box, for five (5) years after the day on which the deposit box ceases to be used;
- Other financial transaction documents, for five (5) years after the date on which the transactions take place;
- Client identification information, and other documents relating to the establishment of business relations, as well as account files and business correspondence, for five (5) years following termination of the business relations;
- Any information needed to explain and reconstruct a transaction, for five (5) years following the completion of the transaction; and
- Any records pertaining to a matter which is under investigation or which has been the subject of a suspicious transaction report, for such longer period as may be necessary in accordance with any request or order from the relevant authority in charge of the reporting of suspicious transactions under the anti-money laundering law.

The documents must be stored in a manner that makes retrieval of the documents reasonably practicable.

5.5 Chapter Summary

This chapter has provided a discussion of the role of a Covered Person and Covered Entity in the Private Banking Client process to secure a client's agreement to enter into a transaction.

A Covered Person has an obligation to provide clear and prominent written notice of the rights of clients, as investors, to cancel transactions related to unlisted debentures and collective investment schemes under SFA and FAA within seven (7) calendar days of the agreement date.

In the implementation of client solutions and execution of transactions, there are various prohibitions and obligations. The prohibitions include:

- Withdrawing Clients' orders;
- Trading against Client;
- Cross-Selling;
- Dealing with Unregistered Insurers; and
- Falsification of Records.

The obligations include:

- Priority of Client's orders;
- Dealing as a Principal with Client;
- Compliance with Rules for Singapore Government Securities;
- Time stamping transactions;
- Non-disclosure of Client's orders;
- Issue of contract notes;
- Proper handling Client's assets;
- Duty not to furnish false information to MAS; and
- Proper record keeping.

Chapter 6:

Monitor and Review Client's Portfolio

Objective

The candidate should be able to:

- ✓ Maintain proper business conduct when monitoring and reviewing a client's portfolio pursuant to the mandate for a sustained client relationship
- ✓ Understand the need for monitoring and review of client portfolio (if mandated to do so)
- ✓ Understand the need for reporting of misconduct
- ✓ Handle client disputes and complaint resolution
- ✓ Respect client confidentiality

6.1 Introduction

This chapter discusses proper business conduct in carrying out the process of portfolio monitoring and review for Covered Entities and Covered Persons.

The extent of the obligations (if any) of Covered Entities and Covered Persons to monitor and review portfolios for clients depend on the mandate which the relevant Covered Entity has signed with its clients. They are required to be diligent in addressing client disputes and complaints, and be familiar with the issue of client confidentiality.

Exhibit 6.1 Essential Roles of a Covered Person



6.2 Managing a Successful Long-term Client Relationship

The ability to listen carefully to a client and appreciate his immediate and longer term needs, goals, aspirations and preferences are important attributes of a good Covered Person. A Covered Person would use every contact opportunity to build a trusting relationship with his clients by listening well and proffering advice in accordance with the mandate signed with the client (if any). The importance of a sustainable client relationship cannot be over-emphasized.

Further, as mentioned in Chapter 3, insufficient communication between a Covered Person and his client may result in an inaccurate picture of the client's financial situation, risk profile, investment knowledge and experience, personal needs, goals and aspirations, amongst other useful data. Moreover, a client may change his goals and priorities over time. Therefore, a Covered Person should be aware of their client's changing situation and circumstances.

It is also important to have proper documentation and records of monitoring and review, e.g. written records of client communication and meeting outcomes. These can offer invaluable information for Covered Persons and the Covered Entity to sustain long-term client relationships.

6.3 Review of Client's Portfolio

In cases where Covered Entities have been mandated to manage a client's portfolio on a discretionary or non-discretionary basis, a Covered Person should first consider how the investment portfolio stands in the context of the overall client relationship. Where the client has only one investment portfolio consisting of different asset classes, the usual approach is to examine the risk and return of the asset classes and their constituent securities, including exposure to currency and market risks.

If there are multiple investment portfolios under the same client relationship, the Covered Person may need to review the purposes of and inter-relationship between the client's different investment portfolios. Discussed below are two common scenarios.

- A client relationship may have multiple investment portfolios with the same Covered Entity involving different investment strategies and investment preferences. Such a scenario may require a consolidated review of all assets and liabilities under the client's name, in addition to separate reviews of each portfolio.
- The multiple investment portfolios could be linked to collateralized credit facilities which were cross-pledged. Collateral shortfalls may trigger the liquidation of certain investment assets into cash (or less risky assets with higher lending value), which would, in turn, affect the investment strategy and performance of the individual investment portfolios.

A Covered Person should abide by the pre-determined frequency for a formal portfolio review as agreed with his clients under the mandate. If for some reasons, clients decline to have a portfolio review, it would be the responsibility of a Covered Person to encourage these clients to take more interest in their own portfolios and undergo a formal review.

The most current market valuation of client's investments should be used for the review. If this is not feasible, then a Covered Person shall use the latest available consolidated financial statement(s). Comparison of current and past portfolio(s) may be useful to show the changes between review periods.

In any review of a client's portfolio, it would be good practice to have a comprehensive presentation with minimal technical jargon and at a level that clients can understand. A Covered Person should, from time to time, check for the client's understanding of the presentation and not to take for granted a client's ability to follow the Covered Person's explanations.

Discussions with clients regarding changes to investment strategies, their strategic asset allocations, agreement to re-balance their investment portfolio(s), unusual and specific client requests are to be recorded by the Covered Person and the report kept for future reference. For important situations, it would be the responsibility of a Covered Person to obtain his client's signature as documentary evidence to pre-empt future disputes.

6.4 Client Complaints

Some clients write formal letters of complaint against Covered Persons for mistakes and system errors. These complaints may escalate into the public domain and mar the good reputation of a Covered Entity. Complaints may also reduce trust in the industry as a whole, and attract unnecessary attention from regulators.

Covered Persons and Covered Entities need to support the objective and independent handling processes of their organization. The resolution of client disputes and complaints are best left to other staff independent of the complaint because the Covered Person himself may be too involved in the case to remain emotionally detached and objective.

Many disputes and complaints are often brought to the attention of the Covered Person informally by the client at an early stage of the client's unhappiness. Inaction by the Covered Person could cause the client to escalate the complaints to senior management.

Client disputes and complaints must be taken seriously by Covered Persons. Any existing internal compliance policies or processes established for the reporting and independent and objective handling of such cases should be followed with discipline and a sense of duty to the Covered Entity.

6.5 Reporting of Misconduct

The MAS Notice on Reporting of Misconduct of Representatives by Holders of Capital Markets Services Licence and Exempt Financial Institutions (SFA 04 – N11) and the MAS Notice on Reporting of Misconduct of Representatives by Financial Advisers (FAA – N14) require a Covered Entity to submit to the MAS a Misconduct Report not later than 14 days after the discovery of the following types of misconduct committed by their Covered Persons:

- Acts involving fraud, dishonesty or other offences of a similar nature;
- Acts involving inappropriate advice, misrepresentation or inadequate disclosure of information;
- Failure to satisfy the MAS Guidelines on Fit and Proper Criteria; and
- Other misconduct as set out in the Notices.

The Covered Entities must also report any of such misconduct that is committed by any of their Covered Persons who has ceased to be a “representative” before the misconduct was discovered, or before disciplinary action has been decided upon or taken.

In addition to the Misconduct Report, where a Covered Entity has not concluded its investigation or has not taken any disciplinary action against a Covered Person who has committed the reportable misconduct, the Covered Entity must lodge with the MAS an Update Report to provide an update of the case as and when there is any significant development.

6.6 Client Confidentiality

A Covered Person must observe principles of confidentiality which apply under common law, and for Covered Persons employed by Banks and Merchant banks, under the Banking Act and Banking Regulations.

Under common law, where information is of a confidential nature (i.e. information not in the public domain) and is imparted in circumstances where the recipient know or ought to have known that the information is confidential, a duty of confidence is imposed on the recipient even in the absence of any statutory or contractual obligation of confidence.

In addition, a Covered Person, who is employed by a Covered Entity which is a bank or a merchant bank, is not allowed to disclose “customer information”⁶ to any other person except as expressly provided in the Banking Act (for Banks) and Banking Regulation (for Merchant banks).

There are exceptions to the general prohibition against disclosure of customer information by a Covered Person. These exceptions are divided into two categories, as set out in Parts I and II of the Third Schedule of the Banking Act (for Banks) and Part I and II of the Third Schedule to Banking Regulations (for Merchant banks):

- Where disclosure of customer information is made pursuant to an exception in Part I, the recipient of the information is not prohibited from further disclosing the information to any other person; and
- Where disclosure of customer information is made pursuant to an exception in Part II, the recipient of the information is prohibited from further disclosing the customer information to any other person, except as authorised under the Third Schedule of the Banking Act or Banking Regulations as the case may be or if required to do so by an order of the court. The confidentiality obligation of the recipient of customer information continues after termination or cessation of the recipient’s appointment, employment, engagement or other capacity or office in which he had received the information.

⁶ Customer Information is defined in section 40A of the Banking Act to mean:

- i) Any information relating to, or any particulars of, an account of a customer of the bank or merchant bank, whether the account is in respect of a loan, investment or any other type of transaction, but does not include any information that is not referable to any named customer or group of named customers; or
- ii) “Deposit information”, which in turn is defined as information relating to:
 - Any deposit of a customer of the bank or merchant bank;
 - Funds of a customer under management by the bank or merchant bank; or
 - Any safe deposit box maintained by, or any safe custody arrangements made by, a customer with the bank or merchant bank.

But, customer information excludes any information that is not referable to any named person or group of named persons.

The exceptions include where disclosure is:

- Permitted in writing by the customer or, if he is deceased, his appointed personal representative;
- Necessary for compliance with a garnishee order served on the bank / merchant bank attaching moneys in the account of the customer;
- Necessary for compliance with a request made under the law for investigating or prosecuting an offence alleged or suspected to have been committed under any written law;
- Subject to specified conditions, strictly necessary for compliance with a request made by its parent supervisory authority, where the Covered Entity is incorporated outside Singapore or is a foreign-owned bank or merchant bank in Singapore;
- In compliance with the provisions of the Banking Act, the Deposit Insurance Act or any notice or directive issued by the MAS to banks;
- Made by a Covered Person solely in connection with the performance of his duties as an officer or a professional adviser of the Covered Entity and such disclosure can only be made to persons prescribed in the Banking Act or Banking Regulations, for example, an officer of the Covered Entity, or a lawyer, consultant or other professional adviser appointed or engaged by the Covered Entity;
- Solely in connection with the conduct of internal audit of the Covered Entity or the performance of risk management;
- To any other bank/merchant bank in Singapore, where the disclosure is strictly necessary for the assessment of the credit-worthiness of the customer in connection with or relating to a bona fide commercial transaction or a prospective commercial transaction;
- To any financial institution in Singapore, where the disclosure is solely in connection with the promotion, to customers of the Covered Entity in Singapore, of financial products and services made available in Singapore by such financial institution, etc.

When a Covered Person receives a request to disclose any customer information, he should always consult with the legal and compliance department with regards to the Covered Entity's position on whether the disclosure is permitted by law or the contractual agreement between the Covered Entity and the relevant customer.

Apart from the exceptions to disclosure of customer information under the Banking Act, the Income Tax Act (Cap. 134) provides for procedures that empower the Inland Revenue Authority of Singapore (the "IRAS") to apply for an order of court for the disclosure of information falling within the purview of section 47 of the Banking Act.

These Income Tax Act provisions empowered the IRAS to obtain from a bank or merchant bank information formally requested by a foreign tax authority concerning the tax position of any person pursuant to any Avoidance of Double Taxation Agreement which Singapore has entered into with the country of the foreign tax authority to implement the international standard for the exchange of information for tax purposes developed by the Organisation for Economic Co-operation and Development (OECD).

Any person, who discloses customer information in contravention of the banking secrecy rules, set out in the Banking Act or as the case may be the Banking Regulations, commits an offence punishable with fine and/or imprisonment (Section 47(6) of the Banking Act; Paragraph 6 of the Second Schedule to the Banking Regulations).

Further, there has been greater emphasis and a clearer focus by Covered Entities on information security to protect the confidential electronic data of clients' accounts and e-banking portals.

Maintaining client confidentiality is a legal duty of Covered Person and Entities. Many Covered Entities have a "clear desk policy". Covered Persons should extend this vigilance to their conversations in public. They should avoid using clients' names in open discussions.

6.7 Chapter Summary

This chapter emphasizes the need to be vigilant to any changes in a client's risk profile. Where the client has mandated the Covered Entity to manage his portfolio (on a discretionary or non-discretionary basis); the Covered Person should monitor and review the client's portfolio in accordance with the client's mandate. This should be done in the context of the client's relationship with the Covered Person and Covered Entity. Covered Persons must diligently address disputes and complaints, and observe client confidentiality.

Chapter 7:

Wealth Transfers and Succession Planning for Private Banking Clients

Objective

The candidate should be able to:

- ✓ Identify needs and objectives of clients in relation to wealth transfers and succession planning
- ✓ Understand trusts and foundations
- ✓ Appreciate the relevant legal and regulatory issues of trust and foundation structures
- ✓ Understand the basic concepts of life insurance
- ✓ Recognise the various uses for life insurance by a HNWI

7.1 Introduction

This chapter discusses the needs and concerns of High Net Worth Individuals (HNWIs) in planning for wealth transfers and succession. It will then introduce the topics of trusts and foundations, and compare these solutions. Linked to wealth management is the use of insurance for wealth preservation and wealth transfer. The last portion of this chapter discusses the various types of insurance for wealth management.

7.2 Key Considerations of Wealth Transfers and Succession Planning

7.2.1 Identifying Client's Needs

The generic focus areas of wealth management, discussed earlier, are:

- Wealth accumulation;

- Wealth preservation; and
- Wealth succession;

Embedded within these areas is the need (or desire) of HNWI's to carry out wealth planning for a number of objectives, including:

- To pass on wealth smoothly and efficiently (i.e. with minimal “leakage”) to the next generation or their loved ones; and
- Leaving a legacy for charitable and philanthropic causes.⁷

Yet, a HNWI may face issues or obstacles in preserving, protecting or transferring his wealth efficiently, both during and after his lifetime, because of varied circumstances, including:

- Complex family situations, including a family business owned by a patriarch with many children;
- Divorce and matrimonial problems;
- Probate or administration;
- Personal risks (e.g. kidnapping, blackmail, extortion);
- Sovereign risks (e.g. nationalization, confiscation, forfeiture of assets); and
- Forced Heirship laws (e.g. in some countries, this applies where a client has no freedom to choose his own beneficiaries as the law of the country mandates specific rules for the transfer to the successors).⁸

⁷ To facilitate global philanthropic organizations, including private and corporate foundations, to set up in Singapore, several changes were made to the fiscal and regulatory frameworks since 2007. The changes include: (a) Automatic income tax exemption granted to all registered charities without requiring them to spend at least 80% of their annual income receipts on charitable objects in Singapore within 2 years; (b) Approved entities will no longer need to spend in Singapore at least 80% of the private donations raised for foreign charitable causes; Double tax deductions will be allowed for donations to qualifying grant-making philanthropic organizations as long as the donations are channelled to Institutions of a Public Character (IPCs) in Singapore; and income tax exemption will be granted to bona-fide Not-for-Profit Organisations (NPOs) that have links to key clusters of our economy, such as standards organizations and research bodies. Trusts, foundations and insurance policies can be used as vehicles for charitable giving.

⁸ Forced heirship regimes are found mainly in continental Europe and other civil law jurisdictions as well as countries of Islamic traditions where prescribed heirs and their share of a deceased's estate are spelled out in the law. Generally speaking, under Muslim law, female heirs inherit less than male heirs and that applies even when the client has female daughters only.

Example

A Muslim residing in Syria who has only daughters comes to seek your advice on how he can ensure his wife and daughters inherit all his assets if he should die?

Advise him to create a trust where his wife and daughters are named as beneficiaries, preferably in a jurisdiction (such as Singapore) where specific trust laws have been enacted that do not recognize forced heirship rules applicable to the settlor's domicile.

7.2.2 Movable and Immovable Assets

The assets for wealth transfers and succession can be broadly divided into 2 classes:

- Immovable or real property, e.g. real estate; and
- Movable property such as cash, fixed income securities or bonds, equities or shares in private or public companies, insurance policies, art & antiques, yachts, cars, etc.

Different types of assets are likely to have different transfer issues (e.g. costs and procedures) and different ways of management (both in terms of necessary expertise and risk), all of which need to be considered when putting forward a solution to a client. Some of the assets may give rise to tax implications. For example, estate duties, taxes related to capital gains and gifts to the next generation may be applicable in some jurisdictions.

7.2.3 Taxation – Domicile and Tax Residence

A holistic wealth management solution must necessarily take into account the tax position of a client and his family members. Whilst it is outside the scope of this chapter to delve into the specifics and complexities of taxation, it is useful to point out that any failure to properly address potential tax issues may have dire consequences for both the client and his family in the future.

The first step towards tax compliant structuring is to determine the tax position of the client and his family members (or beneficiaries in the proposed structure). And, the first issue to be considered is the client's *domicile*.

A person's domicile generally refers to the place where he is born or the place which he considers to be his permanent home and where he wants to return to whenever he is away from that place. Domicile is important because issues like inheritance (or estate) tax and succession are determined by a person's domicile. A person can have many places of residences but can only have one domicile.

It is also necessary to ascertain where a client is *tax resident*. Tax residence is not the same as residency in the immigration context. Different countries have different rules for determining whether a person is a tax resident of that country for tax purposes. There are both quantitative (i.e. number of days spent in the country) and qualitative tests (to determine a person's intention) applied in determining tax residence.

A person's tax residence determines the taxes he is subject to. Certain countries like Singapore tax on a territorial basis (i.e. only income sourced in Singapore or remitted into Singapore is subject to tax). Other countries like the United States tax on a worldwide basis and a U.S Person (such definition includes a U.S citizen, U.S green card holder or U.S tax resident) is liable to U.S tax on all income, regardless of where the income is sourced.

7.2.4 Ownership versus Control

Ownership and control are technically two separate issues. It is possible, as will be illustrated later, for a client to not legally own an asset yet be able to control how it is used and enjoy the benefits of it. In general, certain objectives such as probate avoidance and confidentiality can be achieved by simply giving up ownership.

Other objectives, however, require relinquishing control as well. For example, a structure's effectiveness from an asset protection perspective depends on the amount of control the client has over the structure. The more control the client has, the less effective it will be.

7.3 Toolkit for Wealth Transfers and Succession

There are various tools employed by wealth managers to provide solutions to address the needs of a client. It is not always the case that a more sophisticated solution is preferable to a simple one. The appropriate solution depends on the particular client's situation, special needs and preferences. The various tools (or options) are discussed below.

7.3.1 Inter Vivos Gifts

Large gifts are often given to beneficiaries during a client's lifetime. However, this may not always be a satisfactory approach. There may be concerns that the beneficiaries would not be able to cope with a sudden receipt of wealth. Alternatively, the client may not be ready to part with a significant gift at that point in time.

Further, a gift is likely to have the effect of shifting the tax burden from the donor to the donee immediately. This is also not tax-efficient as the amounts transferred

may be subject to successive incidence of taxes as it gets passed on from one generation to the next.

7.3.2 Wills

A common way to transfer assets upon death is a Will. A Will is a legal statement listing the wishes of a person (known as the Testator) with regards to the persons who would receive his assets upon his demise. A Will is valid and enforceable if executed in accordance with the applicable law.

In Singapore, a Will must be executed by the Testator in the presence of two or more independent witnesses both present at the same time. The witnesses (and their spouses) cannot be beneficiaries. An Executor is usually appointed to vest and distribute the assets. There are filing obligations known as a “probate” in the courts.

Although having a Will does ensure a smooth succession by identifying the beneficiaries, there are drawbacks, which include the following:

- Assets can only pass when the testator dies. Until the point of death, the assets remain the property of the testator. Accordingly, transferring assets to beneficiaries via a Will does not provide any tax planning advantage or asset protection;
- A probate process and court documents are public. This may be a concern for clients who place a premium on confidentiality. Probate may also take a long time to complete and until the grant of probate is obtained, the assets of the deceased are “frozen” and cannot be dealt with;
- A person’s assets are also “frozen” when he is legally incapacitated;
- The probate process can also be held up when the Will is contested or if there are disputes among the potential beneficiaries;
- Wills can be revoked any time before death; and
- If wealth is dissipated before death, there may be no wealth remaining to transfer when the client passes away. That is, there is no wealth preservation in a Will, per se.

Transfer of assets using a Will typically involves an outright transfer upon death. However, clients usually do not wish to have their assets pass outright to their intended beneficiaries. The primary motive may be to preserve assets for later generations and over a period of time.

For example, the motives may include the education of existing and future descendants, provision for a young widow, and long term care for infants, aged or disabled persons. Thus, Wills may not always be the appropriate tool for wealth planning.

7.3.3 Joint Ownership

Another common method used to transfer assets upon death is to hold assets in a joint account with the right of survivorship. As the term implies, where assets are held this way, upon the death of a joint accountholder, his share of the asset automatically passes to the surviving joint accountholder. This is quite common in the case of assets held in bank accounts or real estate assets.

While holding assets on a joint survivorship basis may address the issue of succession, clients may encounter practical difficulties. The Covered Person should be familiar with the policies and procedures related to this issue and seek appropriate guidance and consultation from the legal and compliance department of the relevant Covered Entity to advise the client.

7.3.4 Insurance Solutions

Clients may also use what is known as “insurance wrappers” as a way of transferring value to beneficiaries. In essence, assets are transferred by a client to an insurer who then agrees, under the insurance contract, to pay the value of those assets to the stipulated beneficiaries upon the death of the client.

Although this method avoids the need for probate in respect of the assets held under the insurance policy, the time of payment is fixed, unless the payout is made to a trust or foundation. This topic is discussed in Section 7.8.

7.3.5 Private Investment Companies

It is quite common for clients to hold assets under a private investment company (PIC), which is typically an offshore company. See Exhibit 7.1 for an illustration of this arrangement. This arrangement has several advantages, including:

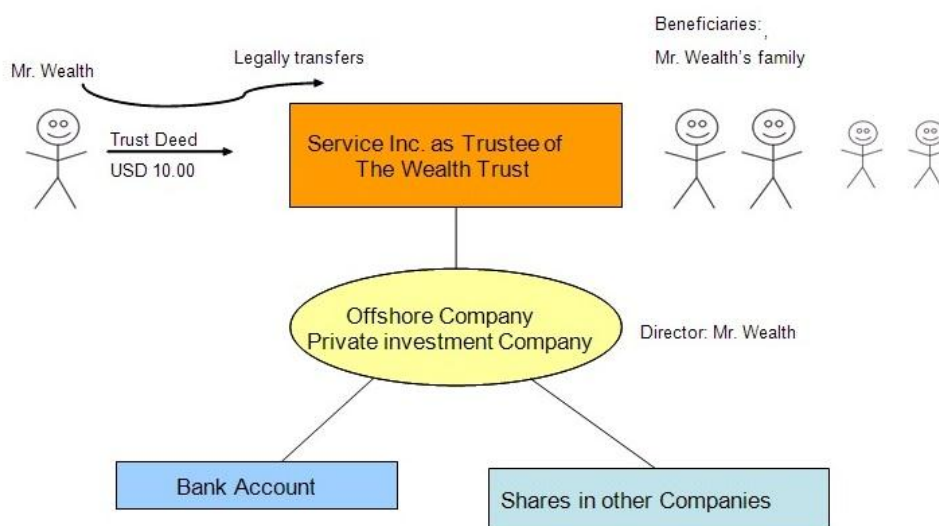
- The assets will not be subject to probate as the legal owner of those assets is the PIC itself. The PIC exists until wound up, which is an event independent of the death of its shareholder(s).
- There could also be some tax benefits (e.g. inheritance tax for US shares) by virtue of the fact that the asset owned by the client is the share(s) in the PIC and not the assets held by the PIC.
- An offshore company established whether in the Caribbean like the British Virgin Islands, Cayman Islands or Pacific zones in Panama, Cook Islands or Indian ocean of Seychelles and Mauritius may offer a greater degree of confidentiality since information on directors and shareholders are not available in the public registry (hence these offshore companies are known as non-transparent). In contrast, companies formed in countries like Singapore, Hong Kong and United Kingdom are fully transparent to the

extent that information on directors and shareholders and the financial accounts are accessible through the public registry.

- Where appropriate without compromising the integrity of the trust, the settlor can be the director, shareholder and bank signatory (usually jointly with the trustee) of the PIC.

Notwithstanding the above, holding assets through a PIC does not fully address the issue of succession or probate avoidance. It merely pushes the problem one level up because the shares of the PIC are still ultimately held by the client. Tax planning is also limited.

Exhibit 7.1 Transfer of Wealth and Using a Private Investment Company



7.3.6 Structures under Common Law and Civil Law

Trusts and foundations together are special structures for wealth transfers and succession. It should be pointed out that trusts have their origin in the common law whereas foundations have historically come from civil law jurisdictions.

However, common law jurisdictions increasingly have legislations to recognise foundations. It may be helpful to briefly discuss the distinction between common law and civil law at this juncture before discussing the features of trusts and foundations.

Common Law

Historically, the Common Law system is a body of principles of law developed by judges and hence based on case law or precedents. A judge will look to and be

bound to follow past precedents of similar court's rulings. Over time, legislation or statutes were passed for specific areas of laws which either displaced entirely the precedents developed by common law or such statutes generally gave only statements of general principle and hence the reliance on case law is still relevant to interpret the meaning of the statutes.

The common law originated in England and thus former colonies (such as the United States, Malaysia, Singapore, Bangladesh, Pakistan, Sri Lanka, India, Canada, Ireland, New Zealand, South Africa, Hong Kong and Australia) are also common law jurisdictions.

Common law systems place great weight on court decisions and judges are given more freedom to interpret certain provisions of a statute. Such judge-made law has the same force of law as statutes.

Civil Law

In contrast, civil law or "civil code" jurisdictions rely on laws which have been written down and codified. Civil law systems trace their history to Roman law and the Napoleonic Code and therefore widely adopted by countries in Western Europe and the colonies or former European colonies such as Indonesia and Panama.

In contrast to common law systems, in civil law jurisdictions, less weight is given to judicial precedent (which means that a judge deciding a given case has less freedom to interpret the text of a statute independently) and scholarly literature is given more weight. In fact, the Napoleonic code expressly forbade French judges from pronouncing general principles of law.

The distinction between civil and common law is relevant as trusts are based on common law whereas foundations are creations of civil law. Clients from civil law countries may therefore not be familiar with trusts and vice versa.

From a planning perspective, an awareness of the legal system which a client belongs to, or which the client or his advisors are more familiar with is helpful in proposing an appropriate solution for the client. In some cases, it is easier to use a structure or a vehicle that is more readily recognized by the country in which activities are going to be carried out.

For example, it may be more difficult to open a bank account for a foundation in a country whose laws do not recognize foundations. Some countries which do not recognize trusts may tax the settlor and/or the beneficiaries in ways that could undermine the objective of setting up the structure in the first place.

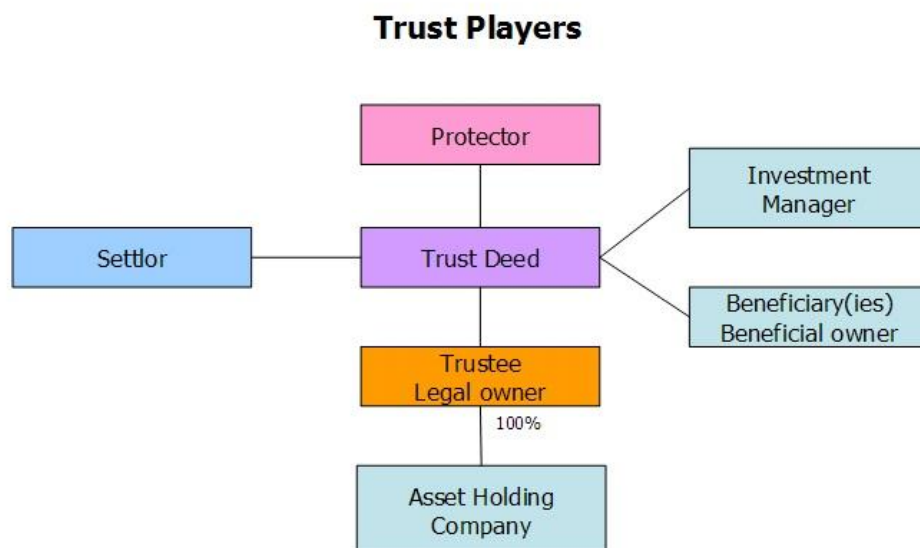
7.4 Trusts

A trust is a relationship between key players governed specifically by a trust deed or a trust instrument and the law in general. It is an arrangement where there is stewardship to administer the assets of a person (the “settlor”) for one or more beneficiaries. It would be useful to point out what a trust is not:

- It is not a company.
- It is not a contract.
- It is not a foundation.
- It is not a legal entity.

7.4.1 Components of a Trust

Exhibit 7.2 Components of a Trust



Settlor

The settlor transfers legal title of his assets to the trustee during his lifetime, hence one can say he forms an inter-vivos (living) trust. Generally, once the settlor has transferred the assets to the trustee, he no longer has a role to play in his capacity as settlor.

However, if the settlor is also a beneficiary, he can in that capacity hold the trustee accountable for its actions. If the settlor is appointed as an investment adviser or manager under the terms of the trust, he can be responsible for the investments of the trust assets.

Trustee

A trustee can be an individual or a company. It is possible to act as trustee either in a private capacity or in a professional capacity. In certain jurisdictions, trust business is a regulated activity and professional trustees are subject to licensing (unless specifically exempted)⁹.

In Singapore, the trust business is regulated by the Monetary Authority of Singapore. The law governing trusts and trustees is found in the Trustees Act (Cap. 337) and the Trust Companies Act (Cap. 336).

Since the trustee legally holds trust assets for the benefit of the beneficiaries, the trustee is obligated to act in the best interests of the beneficiaries as a whole and in strict adherence to the terms of the trust. Where the trustee is given discretionary powers, the exercise of such powers must be in the interests of the beneficiaries.

The interests of the beneficiaries come before the interests of others, including the trustee and the settlor. The obligation is fiduciary and personal in nature. This obligation imposes upon a trustee an onerous duty of care and skill, honesty, integrity and good faith.

- **Duties of a Trustee** – As a fiduciary, the trustee must avoid conflicts of interest. There must be no self-interest or self-dealing on the part of the trustee. For example, if a trustee purchases an insurance policy on behalf of the trust, it would be a breach of the trustee's fiduciary duty if he receives any commission or other benefit as a result of such purchase unless this has been authorized by the terms of the trust or all the beneficiaries have assented.

All trustees are bound to act with honesty, integrity and good faith. Furthermore, the law expects that in the discharge of a trustee's duties and the exercise of his powers, the trustee adopts the same standard of care and skill as an ordinary prudent man of business would take in managing his own similar affairs. Notwithstanding, a higher standard of care and skill is expected from a trustee who holds himself out as a professional and is remunerated for his services as compared to a layman.

- **Investments by a Trustee** – A trustee also has a duty to invest the assets of the trust suitably and failure to do so may render the trustee liable for breach of trust. Under Singapore law, a trustee has very wide powers of investment and there is no restriction on the type of investments a trustee may make.¹⁰

Rather, the trustee can invest in any manner as though he was absolutely entitled to the assets of the trust but this is subject to the principle that a trustee needs to consider and review the suitability of investments in light of the overall circumstances of the trust.¹¹

⁹ Exempted persons include banks, lawyers and the CDP.

¹⁰ Trustees Act (Cap. 337) s4

¹¹ Trustees Act (Cap. 337) s5

Furthermore, in the exercise of such power of investment, a trustee has to exercise such care and skill as is reasonable in the circumstances.¹² Exercising reasonable care and skill may require the trustee to obtain and consider proper investment advice.¹³

However, the above duty of care only applies insofar as a contrary intention is not expressed in the trust instrument itself.¹⁴ A trust instrument can therefore expressly exclude the applicability of the statutory duty of care.

Another common way trustees deal with the complexity and uncertainties in the area of investments is by way of reserved powers trusts, where the power of investment is expressly excluded from their available powers and reserved to the settlor.¹⁵

Beneficiaries

The rights of beneficiaries depend on whether the trust in question is a **fixed trust** or a **discretionary trust**. A fixed trust is one in which the beneficial interests have been set out in definite terms by the settlor (e.g. 20% of the trust assets to be held on trust for Beneficiary A and 80% of the trust assets to be held on trust for Beneficiary B).

A discretionary trust, on the other hand, leaves the distribution of the trust assets to the trustee's discretion. In other words, it is up to the trustee to decide which beneficiaries amongst a class so named should receive a distribution, when such distribution should take place and the amount to be distributed.

Consequently, the beneficiary under a discretionary trust has no interest in the trust assets but just a hope or expectation that the trustee will exercise his powers in the beneficiary's favour. Hence compared to a fixed trust, a discretionary trust is more flexible and is more effective for asset protection.

Trust Assets

The assets may be held directly by the trustee, or via an underlying asset holding company that is wholly owned by the trustee. The latter scenario is more commonly the case because it allows the trustee to manage risk more effectively.

Legally, there is no restriction to the type of assets (e.g. family businesses, real estate, liquid assets, personal property, insurance policies, etc.) which can be held under a trust but for practical reasons, trustees may impose restrictions or conditions on certain types of assets (e.g. operating businesses) which they consider to be of a higher risk.

¹² Trustees Act (Cap. 337) s3A(1)

¹³ Trustees Act (Cap. 337) s6

¹⁴ Trustees Act (Cap. 337) s3A(2)

¹⁵ Trustees Act (Cap. 337) s90(5)

The general position is that a trustee must administer the trust assets in strict adherence to the terms of the trust. In the discharge of his duties, the trustee must adopt the same standard of care as an ordinary prudent man of business would take if he were managing or conducting his own affairs.

Furthermore, the trustee is considered a fiduciary, which means that the trustee must act in utmost good faith and in the best interests of the beneficiaries as a whole. Failure to do so would render the trustee liable for breach of trust.

In the example of an operating business highlighted above, a trustee needs to be familiar with the business in question so that it can manage it properly and prudently, otherwise it could potentially be in breach of trust for failing to preserve the value of the trust assets.

Protector

Since the settlor has to relinquish title to the assets and transfer to the trustee, the settlor may be concerned about too much power and control vested in the trustee. It is therefore fairly common for trusts to have a protector. A protector is typically appointed for the purpose of monitoring or supervising the trustee.

Some jurisdictions have enacted laws for a protector to stand guard over the trustee with legislative provisions which allow a protector to have enormous power. For example, the power to remove trustee, appoint a new trustee, exclude or add beneficiaries, change the governing law of the trust, etc.

Most trust legislations allow the settlor to be appointed as the protector. Notwithstanding, in determining the division of powers and responsibilities between trustee and protector, it is necessary to tread carefully to ensure that the law would not regard the protector as trustee (or a co-trustee) by virtue of the powers the protector has under the trust.

In practice, a protector's role is usually passive in the sense that he merely gives consent to the trustee to exercise certain powers (e.g. the power to distribute, add or exclude beneficiaries, amend the terms of the trust).

However, the protector is given at least one "active" role, which is the power to remove and appoint trustee. Taken together, the protector's power to change the trustee and having the right to be informed in advance is a useful way for a settlor to indirectly influence a trustee.

Investment Adviser / Manager

It is relatively common for trustees to appoint investment advisers (or managers) and delegate to such professionals the task of managing the investments of the trust. This is because trustees generally do not have expertise in the investment arena. Alternatively, in jurisdictions which permit “reserved powers” trusts, it is possible for the settlor himself to reserve for himself the power to manage the investments of the trust.¹⁶

Letter of Wishes

A Letter of Wishes states the desires of a settlor for the trustee to exercise the latter’s powers in a guided manner for the benefit of the beneficiaries. The Letter of Wishes can be amended at any time by the settlor. It serves to guide the actions of the trustee but it is not legally binding.

Asset Holding Company

Although it is possible for the trustee to own assets directly, it is common for assets to be held through holding companies called Asset Holding Companies (“AHC”). They are usually set up for risk management purposes as companies are separate legal entities and shareholders are not liable for the debts of the company.

Risk to trust assets as a whole can be managed by holding different assets under different companies or ring-fencing the liabilities under the holding companies. If there is a change of trustee, it can simply be done efficiently and quickly. All that is required is merely to change the shareholder of an AHC from one trustee to another.

Otherwise the current trustee has to transfer each and every asset in the trustee’s name to the in-coming trustee. Obviously having another entity raises the cost of the trust structure.

Governing Law

The governing law of the trust is also important as it has various implications. For example, different governing laws have different prescribed perpetuity periods. A trust’s perpetuity period is basically the maximum duration it can last for. In some jurisdictions, perpetuity periods have been abolished, meaning it is possible for the trust to last indefinitely. Under Singapore law, the perpetuity period is 100 years.¹⁷

The governing law of a trust also affects its effectiveness. For example, Singapore’s trust law provides that, subsection to certain conditions, a trust and the transfer of assets to the trust shall be valid notwithstanding any forced heirship rules which may apply to the settlor. The governing law of a trust is also important when it

¹⁶ Certain jurisdictions have enacted legislation which specifically provides that this power does not of itself invalidate the trust. In some jurisdictions like the BVI and Cook Islands, the scope of reserved powers may go beyond the power to invest.

¹⁷ Civil Law Act (Cap. 43) s32

comes to the recognition of “purpose trusts” which will be discussed later. Singapore law does not recognise non-charitable purpose trusts.

Example

Client has approached you and wants to create a Singapore trust but he definitely wants to be involved in the decision making. He wants to have the final say relating to the investment of the trust assets and the ability to change the beneficiaries including the amount to be distributed. How do you respond to your client?

The issue here is settlor control and influence. A trustee has no issue with this request. It is a question of whether the settlor control /influence is so excessive that it may jeopardize the validity of the trust. Under Singapore law, a settlor can reserve to himself full investments powers.

In relation to beneficiaries, this can be achieved in several ways. The settlor can mention in his letter of wishes that he wishes to be consulted on all appointments and distributions. In addition, the terms of the trust can provide for a Protector and the client can be appointed as Protector, whose written prior consent is needed when the list of beneficiaries are changed and distributions made.

Private Trust Companies (PTCs)

An independent trustee can sometimes create concerns for a wealthy family accustomed to managing its own affair. To mitigate this, it is possible for a settlor to set up his own company managed by a Board of Directors selected by the settlor to act as a private trustee of his trust, as opposed to using a professional trustee.

PTC legislation is to be found in many of the “island” jurisdictions, such as the BVI, Bahamas, Mauritius, and Cayman Islands. Singapore also has PTC legislation.¹⁸ In a nutshell, some of the key benefits of using a PTC are:

- The issue of “higher risk” trust assets, such as operating businesses, in relation to a professional trustee described above will be less relevant.
- Control over the entire structure (i.e. the PTC, the trusts and the assets held by the trusts) remains within the settlor’s family or persons he has chosen to manage the structure.
- The PTC, as trustee, can respond more efficiently and appropriately to whatever issues arise in relation to the businesses under the trust and other family matters.

¹⁸ Trust Companies Act (Cap. 336) and Trust Companies (Exemption) Regulations

In Singapore, a PTC is exempt from having to apply for a trust business license if it acts as trustee for trusts whereby the settlor and beneficiaries are “connected” persons or charities, and if the PTC engages a licensed trustee to provide administration services for the purposes of anti-money laundering and countering of financing of terrorism.¹⁹

7.4.2 Types of Trusts

It was mentioned earlier that a trust can be revocable or irrevocable; it can benefit live persons or purposes which are fixed or discretionary in the trust instrument. There are other types of trusts which are discussed below.

VISTA Trusts

In relation to business assets, the “prudent man of business rule” makes a trustee potentially liable for not exercising sufficient supervisory care over assets held in underlying companies owned by the trust. This is especially the case where the trust owns a substantial block of shares in a company. In such a situation, the rule imposes an obligation on the trustee as shareholder to monitor the conduct of the directors and to intervene where necessary if the company is being mismanaged.

There is also a duty to preserve the capital of the trust. Various methods that are used to discharge this duty include diversification of investments and disposal of underperforming or wasting assets. This may mean that in certain circumstances, a trustee may have to dispose of the shares in an underlying company.

To address these issues, the BVI has enacted a legislation known as the Virgin Islands Special Trust Act (**VISTA**) which modifies the common law position insofar as it prohibits the trustee from intervening in the management of a company except in certain limited circumstances, and allows the trustee to hold onto the shares in such company indefinitely regardless of whether it would be financial advantageous to dispose of the shares.

Purpose Trusts

Although trusts have their origin in the common law and are governed by common law rules, in some jurisdictions, certain common law rules have been modified by statute. This includes the topic of purpose trusts.

Under common law, the only valid purpose for a trust is purely charitable, i.e. the relief of poverty, advancement of health, education, religion or public benefit. Apart from a charitable trust, all other trusts require one or more “human” beneficiaries, who can enforce the terms of the trust or hold the trustee accountable.

However, a number of jurisdictions have allowed non-charitable **purpose trusts**. Purpose trusts are typically established to hold shares in a company, such as a

¹⁹ Trust Companies (Exemption) Regulations, regulation 4.

private trustee company (discussed below), with the objective of “orphaning” the company.

When the shares of a private trustee company are held by a purpose trust, there is no ultimate owner of those shares. Countries that recognise purpose trusts include the BVI, Bermuda, Cook Islands, Cayman Islands, Mauritius, Isle of Man, Cyprus, Seychelles and Jersey. Singapore does not have legislation on purpose trust.

7.4.3 Motivation for the Use of a Trust

The key factors which motivate people to set up trusts include:

- **Transfer of Ownership** – Clients may want to remove themselves from the ownership of an asset for succession planning, tax planning and confidentiality.
- **Custodianship** – Clients may have a need to have assets held safely.
- **Stewardship** – Clients may have the desire to have a custodian to administer the wealth to benefit beneficiaries (whether named or part of a class) or for charity or philanthropy, even after one’s lifetime.

7.4.4 Benefits of a Trust

A properly or appropriately structured trust has the following benefits for the settlor:

- During his lifetime, he remains low profile so that his assets can be enjoyed in privacy, secure from threats, ransom demands and bodily harm.
- In the event of disability or illness, his wealth is handled in the way he would want and is in capable hands.
- Upon death, his wealth will continue, without interruption or disruption, to be managed in privacy.
- After death, assets will pass to charity or beneficiaries free of delays, publicity and costs of probate, estate duty and forced heirship rules (if applicable).
- At all times both during and after his lifetime, his wealth and the family’s wealth are safe from attacks by private or public claimants as a result of either the client or his family members being publicly exposed to:
 - Business risks (business failure, insolvency, class action damages and other private law suits); or
 - Personal risk (excessive taxation, frivolous and vexatious lawsuits, bankruptcy, divorce, kidnapping, blackmail, extortion, etc.).

7.4.5 Factors against the Use of a Trust

Notwithstanding the above benefits, trusts may not be preferred by clients who:

- Are unfamiliar with trust structures, especially if the client is from a civil law country;
- Are uncomfortable in handing over ownership of assets to a “third party”;
- Are unable to find a suitable trustee;
- Dislike the complexities of a trust deed;
- Prefer not to reveal potential beneficiaries as required in a trust; and
- Conclude that trusts are not cost effective.

7.5 Foundations

A foundation can be set up for beneficiaries and charitable or non-charitable purposes. A foundation is a distinct legal entity that operates pursuant to its charter and bylaws. Unlike a trust, there is no separation of legal and beneficial ownership. Assets held by a foundation are owned completely by the foundation and beneficiaries do not have any rights to those assets.

Sometimes, a confusion of terminology may occur. For example, in the United States, the word “foundation” is used to mean an entity which is essentially a charity. In Singapore, names like “Shaw Foundation” and Tsao Foundation” are charities with trust structures.

Specific laws providing for foundation structures can be found in countries such as Monaco, Liechtenstein, Austria and Panama. Recently, common law jurisdictions like Jersey, Seychelles and Labuan have also allowed foundations to be recognized. However, Singapore currently does not recognise foundations.

Like trusts, a foundation is an effective means for an asset owner to divest himself of formal legal ownership of his assets while still retaining some influence over the way the assets are used and passed on.

7.5.1 Key Features of a Foundation

- A foundation is usually established by a charter and run by a council whose role is to carry out the objects of the foundation. The objectives can be very generic in nature, e.g. carry out investment planning. The council members can be individuals or corporations.
- A foundation is usually established with statutorily-mandated capital known as patrimony provided by the founder. Any asset transferred into the foundation belongs to the foundation legally and beneficially and ceases to be that of the founder.

- The foundation, unlike a company, does not have any members. A founder has the ability to reserve specific powers for himself. The scope of such powers can be extensive and give the founder much more control compared to a settlor of a trust. Hence the founder may reserve for himself certain founder's rights like investments, the appointment and removal of the council, and the appointment and removal of beneficiaries and their entitlements.
- Unless and until the assets are distributed, the beneficiaries are not the owners or creditors of the foundation.
- In addition to the charter, there is a set of rules known as the byelaws or regulations which govern the operations of the council. The byelaws or regulations may contain details of the beneficiaries and founder's rights.
- A foundation may also have an advisor appointed, who plays a role akin to that of a protector within a trust framework. The byelaws or regulations are private and not filed at the public registry.

There are some similarities between a trust and a foundation. For example, a founder establishes the foundation and appoints a council (of members), whose roles are spelled out in the Charter, whereas in a trust, a settlor establishes the trust and appoints trustees whose powers are contained in the Trust Deed.

7.5.2 Benefits and Disadvantages of a Foundation

Foundations may work better than trusts in certain situations where:

- People in civil law countries are more familiar with it;
- The founder wish to exercise extensive control over assets.
- The beneficiaries need not be named; and
- Cost saving are available as foundations are less expensive to set up and administer.

The following are some of the more common disadvantages associated with foundations:

- People in common law countries are not familiar with it;
- Due to a lack of familiarity or recognition of a foundation, tax authorities may view a foundation as either a company or a trust for tax purposes, depending on which view is the most beneficial to the tax authorities;
- In countries that do not recognise a foundation, it may be ineffective for asset protection purposes, particularly where the founder has extensive control; and
- Trusts are generally more widely recognised globally than foundations.

7.6 Industry Players

7.6.1 Corporate Service Providers

There are many organisations which provide partial or comprehensive services for the establishment and administration of trusts and foundations. In Singapore, many law firms offer these services. In addition there are other organizations that provide offshore companies to facilitate the formation of trusts and foundations.

It is advisable to deal only with a service provider that is licensed to form structures and provide related services. Apart from costs, doing so may minimise disclosure of a client's personal data to more than one party.

7.6.2 Trust and Fiduciary Service Providers

In Singapore, banks and law firms that provide trust services are exempted from holding a trust business license. Other service providers must obtain a license in the relevant jurisdiction unless exempted.

7.6.3 Professional Advisors

Apart from private bankers and investment advisors, there may be other professionals such as lawyers and tax advisors who may have a role in advising the client to devise a trust or foundation that would be appropriate to the client's needs as well as legally compliant.

7.7 A Final Note on Tools of Wealth Planning

Recent recognition of foundations in common law jurisdictions offer more choices for clients. Those seeking autonomy and a clear-cut and cost effective solution may be attracted to foundations.

Those who anticipate the possibility of cross-border issues and possibilities of arbitration in common law jurisdictions may prefer to use trusts. Trusts and foundations each have beneficial features and drawbacks. Exhibit 7.3 highlights the comparative effectiveness of the various tools of wealth planning.

Exhibit 7.3 Comparative Analysis of the Effectiveness of Tools of Wealth Planning

Planning Needs	Wills	Trusts	Foundations	Limited Liability Company
Tax	Not effective as the assets belong to the owner whilst he is alive	Effective if the owner is not a beneficiary and trust is irrevocable	Effective if the owner is not a beneficiary	Tax burden on income shifted to the company
Inheritance Tax	Not effective, as the assets belong to the owner whilst he is alive unless law of owner's domicile exempts such tax	Effective as the legal owner of the assets is the Trustee	Effective as the Foundation is the legal owner	Not effective if owner is the shareholder unless law of owner's domicile exempts such tax
Business Risks/Asset Protection	Not effective as the assets belong to the owner	Effective if the owner is not a beneficiary	Effective if the owner is not a beneficiary	Effective
Protect Vulnerable Beneficiary	Effective if the Will recites specific conditions	Effective	Effective	Limited if beneficiary is or will be the shareholder
Forced Heirship	Ineffective	Effective	Effective	Limited if owner is the shareholder
Privacy	Ineffective it is a public document	Effective	Effective if Charter is drafted well	It depends on country jurisdiction on the availability of information in the public registry and can be wholly or semi-transparent

7.8 Life Insurance for High Net Worth Individuals

Insurance is a promise of compensation for specific future losses in exchange for a payment. In other words, insurance can be considered a form of risk management where the risk of a potential loss is transferred to another party in exchange for a premium.

Broadly, insurance can be classified into 2 categories, life insurance and general insurance. Life insurance typically covers potential loss of life or the occurrence of certain illnesses while general insurance typically encompasses other financial losses, such as travel insurance, valuables insurance, homeowners insurance or professional indemnity insurance.

Insurance is a risk management instrument where the risks of an unknown event happening can be transferred to another party, hence regardless of how wealthy a client is, insurance does provide a hedge against unpredictable risks of financial loss. For HNWI, insurance is useful for wealth preservation and wealth transfers.

7.8.1 Key Features and Terminology of Life Insurance

Life Insurance is a contract between the policy owner and the insurance company to pay monetary proceeds to the beneficiary upon the death of the insured. Below are some common insurance terminologies:

Policy Owner

The policy owner can be a natural person or an entity such as a trust or investment company. All instructions to modify, change or operate the policy will have to be made by the policy owner.

The Insured

The insured is the subject of insurance. Underwriting is performed on the insured to determine his insurability; or in other words, capacity to be insured. The life insurance policy pays the death benefit upon the death of the insured. The insured can be the policy owner and this is a common structure for retail life insurance policies.

The Beneficiary

The beneficiary is the person who is entitled to the death benefits. While the insured is still alive, the policy's "living benefits" would usually be payable to the policy owner. In most insurance policies, beneficiaries can be revocable or irrevocable. A revocable beneficiary can be changed at any time by the policy owner while an irrevocable beneficiary can only be changed with the consent of the existing beneficiary.

Premium

Premiums are the cash payments that are paid into the policy. Depending on the type of life insurance policy, premium modes may include: single premium (a one-time payment), multi-pay (payments over a certain number of years) or regular premium (payments required over every year of the policy while it is in force).

Cost of Insurance

Cost of insurance are the charges deducted from the policy that is used to compensate the insurance company for the risk that the death benefit will be paid out. As cost of insurance is related to risk, certain factors of an individual's characteristics will affect the level of risk, and consequently the cost of insurance. For example, age, sex, residency and smoker status are 4 common factors that would impact the cost of insurance.

Death Benefit

The death benefit is the contractual amount of cash that will be paid out to the beneficiary upon the death of the insured.

Underwriting

This is the process where the insurance company forms a basis to make an offer to the client. Underwriting takes main 2 forms, medical underwriting and financial underwriting.

Medical underwriting typically entails a medical examination and test which provide evidence on the insured's state of health for underwriters to assess. Financial underwriting is the process where the underwriters decide if the insured has the financial capability to purchase insurance.

7.8.2 Types of Life Insurance

While there are many forms of life insurance available to the mass market, there are a few that are specifically designed to meet the needs of HNWIs. Policies that would appeal to a high net worth clients would typically feature a wider degree of flexibility, transparency and have the capacity for larger sum assureds that would typically correspond with the quantum of risk that a HNWI faces.

Whole Life

Whole life insurance is a type of fixed and permanent life insurance that pays a death benefit upon death of the insured while building cash values within the policy. Premiums are fixed and usually payable every year. Whole life insurance can be participating or non-participating.

Participating plans usually have cash values determined partly by an annual bonus or dividend which is declared by the insurance company while non-participating plans do not and usually have policy values that are predetermined at the point of issue. Whole life insurance does not give the policyholder any flexibility over premiums or death benefits and as such, has little appeal for the HNWI.

Jumbo Term Life

Term life insurance provides a death benefit for a predetermined period of time and premiums are payable every year. There are no cash values or maturity values. Term insurance is usually used to provide short-term coverage against a temporary need for risk management.

An example would be the case of a client who obtained a 15-year loan which he is expecting to invest into his business and utilise the resulting cash flows to repay the loan. In the unfortunate event that the client passes away unexpectedly, the

company may be faced with problems continuing the vision of the owner and subsequently repayment of the loan. With a term life policy, the death benefit proceeds can be used to repay the loan.

Jumbo term life is used to describe term life insurance policies that have very high death benefits. It is not uncommon to find sum assureds of \$20 million being applied for by HNWI's, and they can go as high as \$50 million or more.

Jumbo term life insurance also differs from common term life insurance in that there is usually less exclusion to be found and usually have different pricing tiers to differentiate and provide savings to healthier clients.

Universal Life

Universal life insurance is a type of permanent and flexible life insurance that can provide high coverage amounts. Unlike term, universal life insurance has an investment component where the policy values grow according to a declared interest rate. Charges are taken each month from the policy values to cover the cost of insurance.

Under normal circumstances, the interest credited to the policy values will exceed the charges deducted and the policy cash values are projected to grow over time. However if the converse happens, the policy values can be eroded as interest credited falls short of the charges deducted. The policy can lapse if eventually there is insufficient value to pay the monthly charges.

To provide additional comfort to policyholders, certain guarantees are provided within universal life policies. There are guarantees to the lowest minimum interest rate that can be declared on the policy. Guaranteed maximum charges are also predetermined for the plan.

No lapse guarantees are also available on certain universal life products where the death benefit is guaranteed to continue even if the policy has no more value to support the monthly charges.

Variable Universal Life

This is similar to the traditional universal life policy, except that variable universal life usually has its policy values allocated into other investments such as fund or bond portfolios. Charges are deducted from the policy and the policy will be in force for as long as there are sufficient policy values to meet the insurance charges.

Because the policy values are invested, policy values will fluctuate and are more volatile as compared to the traditional universal life policies. Like a universal life policy, a variable universal life policy allows some flexibility over the premium payments and the coverage amounts.

Private Placement Life Insurance

Private placement life insurance or PPLI is sometimes known as an insurance wrapper. This is because the HNWI will use the policy to “wrap” the assets that he owns, transferring custody of the investments to the insurance company that provides the product. Basically it is an investment or investments wrapped inside an insurance policy.

If structured carefully, a life insurance policy will effectively help the HNWI avoid capital gains or inheritance taxes as his assets are now enclosed within an insurance policy and any value growth or death benefits will be treated similarly to an insurance policy rather than an investment. Exhibit 7.4 illustrates the advantages and disadvantages of the different types of insurance for HNWIs.

Exhibit 7.4 Advantages and Disadvantages of Insurance for HNWIs

	Advantages	Disadvantages
Whole Life	- Fixed cash values - Fixed death benefit	- Smaller coverage amounts - Lack of transparency over charges and costs
Term Life	- Paying for pure protection - Paying for only the duration when the cover is needed	- No cash values - Limited coverage for predetermined number of years - Limited flexibility over coverage amounts
Universal Life	- Flexibility over death benefits - Flexibility over premium payments - Large coverage amounts - Transparency over costs and charges - Crediting rates are usually quite stable - Guaranteed minimum crediting rates and maximum charges	- Cash values grow according to an insurer declared rate - Policy may lapse if inadequate value to meet charges - Policy values accessed in the early years may incur charges - Requires routine monitoring of performance
Variable Universal Life	- Flexibility over death benefits - Flexibility over premium payments - Some flexibility over underlying investments - Large coverage amounts - Opportunity for greater returns - Transparency over costs and charges	- Volatile policy value from volatility in the underlying investments - Policy may lapse if inadequate value to meet charges - Policy values accessed in the early years may incur charges - Requires more routine monitoring of performance
Private Placement Life Insurance	- Control and flexibility over underlying investments - Transparency over costs and charges - Large coverage amounts	- Complex to structure - Policy may lapse if inadequate value to meet charges - Requires more routine monitoring of performance

7.8.3 Needs for Insurance

Why would a HNWI need life insurance? Especially when he may have assets that could last for 2 or 3 generations? Some reasons are discussed below.

Wealth Planning and Transfer

The most common need for insurance that is relevant to anyone, regardless of wealth is planning for transfer and succession. It is important to plan for the transfer of wealth to the next generation as severe erosion of wealth can arise between the point of decision and date of demise. First, market risk and/or business risk may erode wealth. For some clients, inheritance or estate taxes would further reduce the assets available.

Estate Equalisation

Sometimes a HNWI has an estate that is not easily divided among the beneficiaries in the next generation because the assets are illiquid or it consists of a business that does not lend itself to easy division or distribution.

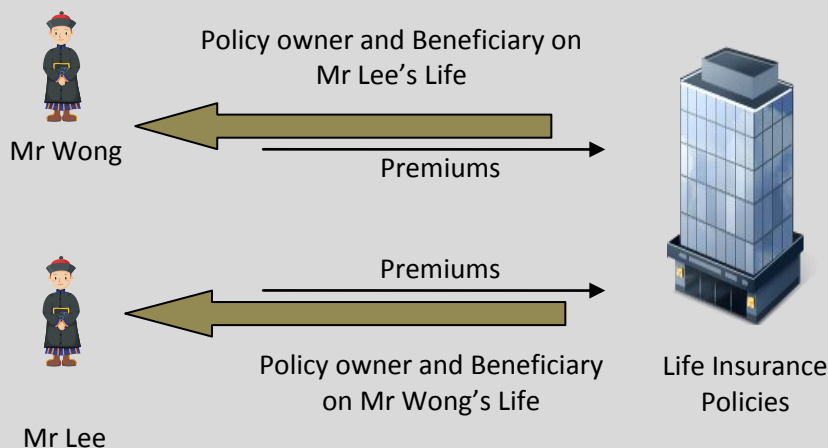
Business Insurance

A life insurance policy can also be used by a business to protect against the financial loss of a key-person's untimely demise. Financial losses can happen because the key-person may have some special skill sets, business acumen or relationships and might take time to find a replacement to accomplish the same results. The proceeds from the insurance policy can be used to fund operating cash flow needs while the company focus on hiring a replacement to handle the key-person's responsibilities.

Another form of business insurance is a buy-sell agreement. This is where 2 or more partners enter into an arrangement and use an insurance policy to ensure that if any partner were to pass away, there would be an agreement to structure the purchase of the shares of the deceased partner, hence keeping the ownership of the company within the original owners.

Example

Mr Wong and Mr Lee have a successful Chinese restaurant venture in Singapore operated by their company where both have an equal 50% share. They agree that for the long term survivability of the business, should one of them pass away before the other, the business would be retained fully by the surviving partner. At the same time, they see this business as a legacy for their families and wish that the value of the business gets passed on to their heirs.



By cross purchasing 2 policies on each other's lives, the proceeds from the life insurance policy would be paid to the surviving partner. There will be an agreement between Mr Wong and Mr Lee that these proceeds can be used to buy the shares of the company from the heirs, hence accomplishing both goals of retaining sole ownership by the survivor while releasing value from the company to the other family.

Debt Protection

When a HNWI leverages for greater returns, he would be inevitably be exposed to a level of debt. In the unfortunate event of his unexpected and premature demise, this debt can become a strain on his family or business as creditors may seek to recover the loan or unfavourably change the terms of the loan.

Charitable Giving

Sometimes clients may not have any immediate family or heirs and they might think they do not have any need to plan for a wealth transfer. They may however be actively involved within their communities in social and community work. An insurance policy can be used to ensure that a charity that they are supporting can continue to be financially protected even when they are no longer around.

7.8.4 Life Insurance in Singapore

Life Insurance companies are supervised by the Monetary Authority of Singapore (MAS) and operate according to the statutes of the Insurance Act Cap. 142. For a HNWI, they often get to enjoy a broader choice of investment solutions, both from onshore and offshore providers.

Similarly with life insurance, a client of a bank in Singapore may have the opportunity to consider insurance solutions from both onshore registered insurance companies as well as offshore ones. It is important to note that the scope of MAS's supervision is limited to Singapore registered life insurance companies only and any protection mechanisms within the Insurance Act will only apply to them.

A life insurance company need not be incorporated in Singapore to be considered a Singapore-registered life insurance company. However, any insurance company that carries on an operation or distributes its product in Singapore needs to be registered. In the private banking segment, it is not uncommon to have brokers or financial advisors acting as financial intermediaries to distribute life insurance solutions to clients of the bank. Any financial intermediary who operates in Singapore is also supervised by the MAS and is governed by the Financial Advisers Act unless specifically exempted.

7.9 Chapter Summary

This chapter has identified the needs and motivation of a client for wealth transfers and succession. Essentially, it is to pass on wealth smoothly and efficiently to the next generation or loved ones, and/or leave a legacy for charitable and philanthropic causes. In doing so, there are many important considerations, including the issues of taxation, ownership and control over the assets.

There is a toolkit available for HNWIs to plan his wealth transfers. Wills, gifts, joint ownership, insurance, trusts and foundations can be used. This chapter has further discussed the features, uses, benefits and drawbacks of trusts and foundations. It ended with a section on the key features, types of life insurance and the uses of insurance by HNWIs.

The Institute of Banking & Finance

A 10 Shenton Way | #13-07/08 | MAS Building | Singapore 079117
T (65) 6220 8566
F (65) 6224 4947
E cacs@ibf.org.sg
W www.ibf.org.sg